APOLLO



Turning Challenges into Opportunities

How Apollo is making change happen in companies, communities, and the world

2019 ESG Annual Report

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Recognizing the Value of ESG

Since our founding in 1990, Apollo has been known for our consistent and rigorous approach to finding value. Taking many paths to value across private equity, credit, and real assets has made us one of the largest alternative investment managers. Woven into the fabric of our value-oriented business and our culture is Apollo's commitment to recognize and realize the full value of environmental, social, and governance (ESG) factors. Apollo believes that actively managing ESG risks and seizing ESG opportunities makes us better investors, and better stewards of our investors' money, by positioning Apollo and portfolio companies for sustainable success. Just as important, we believe that Apollo can and should have a positive impact on society, helping to make the world a better place and improving people's lives.

Read Apollo's full Responsible Investing and ESG Policy on page 69.

Reporting Companies' Achievements in ESG

$974,060,

430+

ESG reports submitted by reporting companies to Apollo

24B+

pounds of waste recycled by reporting companies

26,000+

ESG data points submitted by reporting companies

100+

company site visits by Apollo's ESG team

1,066,00

Data as of January 1, 2008, through December 31, 2019, unless otherwise indicated.

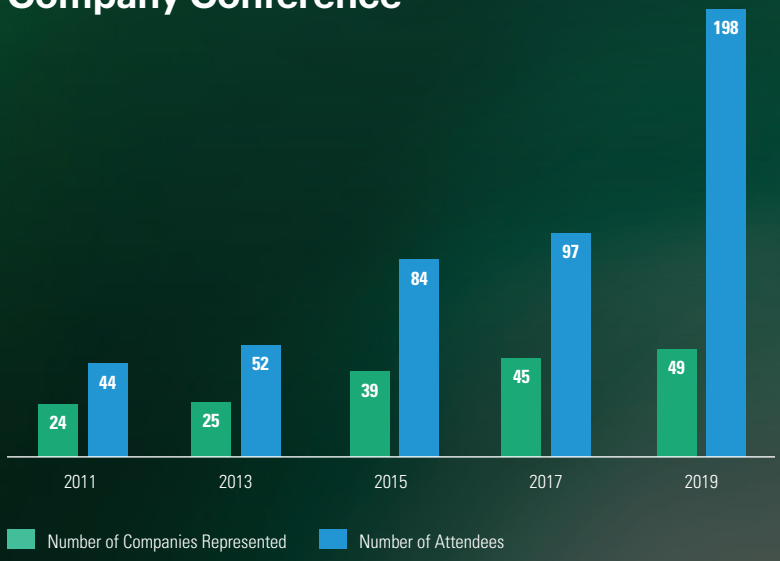
629

donated by reporting companies to charitable causes

40

ESG webinars

Apollo's Biennial Portfolio Company Conference



0+ **hours volunteered by reporting company employees**

125+ **companies have participated in Apollo's ESG reporting program**

A Message from Apollo's Leaders

We are proud to publish Apollo's 2019 ESG Annual Report. This marks our 11th year of reporting, and is the first time we have made the entirety of our report publicly available. While the focus of this report is on calendar year 2019, we cannot ignore the events of the first half of 2020, a year that we began with great optimism, only to be confronted by immense challenges: hundreds of millions of lives upended by a global pandemic and hundreds of thousands lost; still other lives ended by violence rooted in racial injustice. Just six months in, the events of 2020 have illustrated all too clearly the impact that environmental, social, and governance issues have in shaping our world.

To address challenges of this magnitude, we believe the firm must not just be open to change, but must also seize the opportunity to make positive change happen. As this report describes, Apollo has helped employees, companies, communities, and frontline workers cope with the pandemic while also recognizing the need to do more to help our firm and our industry welcome a more diverse set of talents. The strong relationships we have forged with our employees, partners, investors, and portfolio company management teams made this possible.

Apollo's success is built on the value we create for society. We help pension funds, which represent more than one-third of our investors, to meet their commitments to public servants and private employees; we help insurance companies to keep their promises to policyholders; and we provide financing that enables borrowers to grow and create jobs. Moreover, as this report shows, we also provide dozens of companies with an industry-leading program to help them actively address ESG issues.

As we enter our second decade of ESG reporting, Apollo has strengthened our policies and infrastructure to continue to make ESG a priority. We have the vision to see that financial returns alone are not enough, and recognize that we achieve better results when we keep ESG considerations in mind. Recycling reduces environmental waste, and can add value to a company's bottom line. Employee training creates safer working environments, increases productivity, and can help reduce costly employee turnover. This report documents many examples of how Apollo helps companies face challenges and capture opportunities.

In 2020, Apollo adopted a comprehensive Responsible Investing and ESG Policy, with specific policies for each asset class. We also built upon our existing governance infrastructure: firm-wide decisions on ESG issues are now made at the most senior level, led by a steering committee chaired by our Global Head of ESG that includes certain members of our Executive and Management Committees. This committee draws on recommendations from Apollo's cross-functional Green Teams from our Credit, Private Equity, and Real Assets businesses.

As we celebrate our 30th year as a firm, we believe Apollo has the policies and talent in place to view our investments more clearly than ever through an ESG lens, which better positions us to identify opportunities to create value for our investors and our stakeholders alike.



Scott Kleinman
Co-President,
Lead Partner, Private Equity



Jim Zelter
Co-President,
Chief Investment Officer, Credit



Laurie Medley
Global Head of ESG,
General Counsel, Private Equity

Apollo by the Numbers[1]

$316B
assets under management

18
global offices

1,400+
employees including 400+ investment professionals

FIGURE 1
AUM by Asset Class

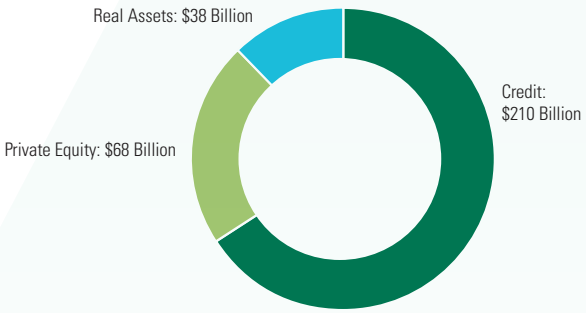
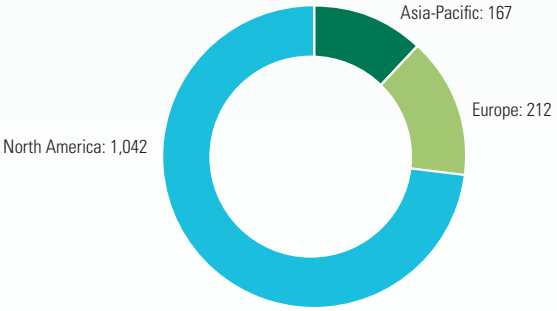


FIGURE 2
Employees by Geography[2]



Our Investors

FIGURE 3
Investors by Type

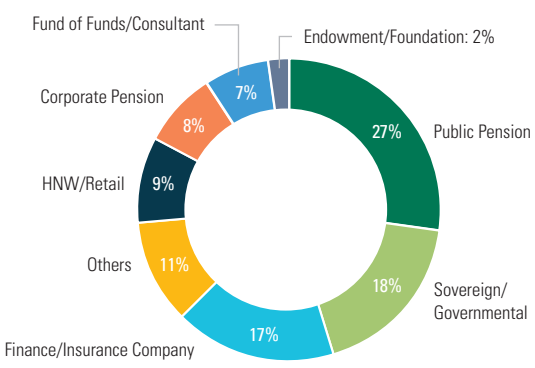
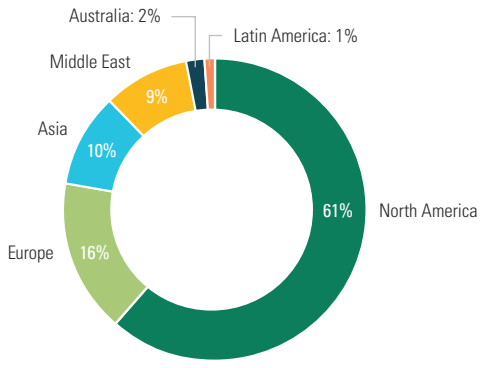


FIGURE 4
Investors by Geography



1. As of March 31, 2020. 2. As of December 31, 2019.

Apollo by the Numbers[1] (continued)

Our Citizenship

903

hours volunteered by Apollo employees

$1,322,000

donated to nonprofit organizations

$600M

In connection with Apollo's conversion to a corporation in August 2019, our Founder, Chairman, and Chief Executive Officer Leon Black, and Co-Founders and Senior Managing Directors Josh Harris and Marc Rowan, along with several other Apollo senior executives, announced their intention to set aside a portion of their equity stakes toward charitable giving. Apollo Operating Group units worth approximately $600 million based on recent trading prices are expected to be exchanged for an equal amount of Class A shares, which the executives intend to donate to charity over time.

Spotlight: Expanding Citizenship Efforts Across Our Platform



- To keep increasing Apollo's engagement, philanthropy, and positive impact on our communities, the firm formalized and expanded a variety of citizenship initiatives across our platform.
- We formed a senior leaders' Citizenship Steering Committee, chaired by our new Global Head of Citizenship, to collaborate with our employee-led Citizenship Advisory Council.
- Acting on Citizenship groups' discussions and the results of employee surveys, we are building a portfolio of opportunities for Apollo employees to develop their leadership skills as well as making a positive impact on our firm's culture and communities.
- Our new Citizenship Grant Program, announced in 2020, matches employees' charitable contributions or makes donations to match their volunteer hours, up to $2,500 per employee per year.

Helping Veterans



55,591

emails received by vets to engage on career interests

Apollo launched the Apollo Veterans Talent Network at apollovetnet.com, a website designed to help vets at every level find the right job for their talents and acquired skill sets. Built in conjunction with CareerBuilder, a company owned by Apollo-managed funds, this site is unique in the finance industry. It is the culmination of a commitment we made years ago to ease veterans' transition from service to civilian life. Apollo-managed funds invest in many companies that are committed to hiring veterans, National Guard, Reserve, and military spouses and partners. Here veterans can search opportunities using codes that identify specific jobs in the military — such as MOS, AFSC, or NEC codes — and instantly find entries that match their experience.

1. As of December 31, 2019, unless otherwise indicated.

Our Environmental Footprint

FIGURE 5

Energy Consumption and GHG Emissions

	Apollo	Global Financials Sector Median[1]
Total Energy Consumed (MWh)	7,397	127,538
Total Energy Consumption Intensity (MWh/employee)	5.21	6.00
Scope 1 GHG Emissions (MT CO_2e)	170	4,740
Scope 2 GHG Emissions (MT CO_2e)	2,616	24,614
Scope 3 GHG Emissions (MT CO_2e)	2,333[2]	14,425
Total GHG Emissions (MT CO_2e)	5,119	28,768[3]
Scopes 1 and 2 GHG Emissions Intensity (MT CO_2e/employee)	1.96	2.00

1. The Conference Board/Bloomberg (2019). 2. Apollo Scope 3 GHG emissions includes emissions from business air travel only. 3 Includes Scope 1 and Scope 2 GHG emissions only.

Workforce Safety and Turnover

FIGURE 6

Safety and Turnover Rates

Total Incident Rate	1.0
Voluntary Turnover Rate	9.0

Our Governance

FIGURE 7

Workforce Policies and Trainings

	Policy	Training
Anti-Discrimination	✓	✓
Anti-Harassment	✓	✓
Code of Conduct	✓	✓
Cybersecurity	✓	✓
Data Privacy	✓	✓
Equal Opportunity	✓	✓
Health & Safety	✓	✓
Whistleblower	✓	✓



3,000+

hours of compliance and cybersecurity trainings by Apollo employees

Apollo Responds to COVID-19

The unprecedented COVID-19 pandemic called for extraordinary action, and Apollo and reporting companies stepped up to meet the challenge. This global public health crisis has reshaped all aspects of daily life — and prompted remarkable acts of courage and generosity in support of our communities and those on the front lines. Apollo employees, our leaders, and dozens of companies addressed a variety of needs with total contributions amounting to more than $50 million.

Supporting frontline healthcare workers

- **The Debra and Leon Black Family** and Aramark, in partnership with the American Red Cross, Robin Hood, and the Mayor's Fund to Advance New York City, launched the NYC Healthcare Heroes program to provide shelf-stable food, household supplies, and health products to staff at hospitals across the five boroughs through June. The Black Family committed up to $20 million toward the high-impact initiative, and Apollo and its senior partners also made significant contributions.
- **Apollo and the Harris Family Charitable Foundation** purchased 200,000 KN95 respirator masks to distribute to New York City hospital systems, including the hard-hit Elmhurst Hospital in Queens.
- **LifePoint Health** is preparing for surges in community need by setting up a temporary hospital, participating in drive-by testing events, leading public education initiatives, deploying telehealth services, and providing childcare for frontline staff.
- **Talos and Express Energy** have tapped their supply chains to release and donate much-needed personal protective equipment.
- **Athene, Shutterfly, and Amissima** secured, funded, and donated items such as masks, ventilators, and hospital supplies.
- **Diamond Resorts** provided complimentary rooms for more than 10,000 nights for healthcare professionals and first responders.
- **Rackspace** offered significant free OpenStack Public Cloud hosting resources for COVID-19 relief organizations.



Supporting communities

- **CareerBuilder** launched a Crisis Support Center to help affected Americans find jobs.
- **ClubCorp** partnered with the Red Cross and other regional blood organizations to host more than 80 blood drives for club members across 16 states. The company also connected with more than 20 state and local government officials to offer facilities for large-scale community response needs.
- **The Fresh Market** provided 5 million meals for local food banks, and The Fresh Market and **Smart & Final** are offering early shopping hours for those at higher risk.

Supporting education

- **University of Phoenix** presented free, credit-bearing online courses and tool kits for K–12 teachers adapting to online learning environments; it launched the Alliance for Virtual Learning, helping teachers create a blueprint for the future of virtual education.
- **McGraw Hill** offered free access to online higher-ed coursework and training to help professors and students transition to digital learning platforms, and provided free K–12 digital products and access to the ALEKS learning platform.
- **Intrado** partnered with Cisco to provide free virtual learning software, online classroom platforms, and school messaging tools for K–12 schools in the US.

Apollo's ESG Program

As one of the world's largest alternative investment managers, Apollo believes that consideration of ESG issues is essential to companies' success, by enhancing their ability to manage risks and by identifying areas for cost savings and for growth. Apollo's ESG Program rests on three pillars: thorough ESG diligence, meaningful and tailored engagement with companies post-acquisition, and a commitment to transparency and periodic reporting of qualitative and quantitative ESG information. We believe the processes underlying these three pillars better position company management teams and our investment professionals to improve performance on ESG issues.

1

DILIGENCE

Apollo's proactive approach to integrating ESG issues begins with identifying ESG risks and ensuring they are appropriately addressed and documented throughout our diligence and pre-investment decision-making. Our investment professionals, together with third-party advisors, apply their expertise and an industry-specific approach to potential ESG risks. They assess potentially material risks and identify ways to minimize or eliminate them, at the same time seeking out potential ESG-related opportunities to engage with management teams post-acquisition.

2

ENGAGEMENT

Once a transaction has closed, our approach to engagement across ESG issues focuses on improving a company's long-term sustainability and increasing benefits for all stakeholders. Specific engagement topics are often tailored to a particular company's circumstances, based on the findings of our pre-investment diligence process. We also engage companies on topics that apply across industries and geographies, such as ensuring governance structures are implemented that provide appropriate levels of oversight, and internal processes for collecting and monitoring key ESG performance indicators. More generally, Apollo acts as a resource for company management teams on all ESG matters and provides programming to share best practices alongside operational assistance on environmental, health, safety, workforce, and governance issues.

3

TRANSPARENCY

We believe that being transparent about the ESG performance of reporting companies is an integral and essential element of a comprehensive ESG program, and we provide periodic reports to both limited partners and the public. We encourage companies to adopt this approach through compliance with applicable ESG regulatory regimes, and by voluntarily disclosing ESG data and information on their historical performance and future goals.

Spotlight: Portfolio Company Conference

In September 2019, Apollo hosted our fifth Portfolio Company Conference in Las Vegas, NV, continuing our tradition of bringing together portfolio company representatives. Nearly 200 participants attended, including more than 60 expert speakers and representatives from nearly 50 portfolio companies. In addition to providing attendees with an opportunity to meet their peers, share best practices, and participate in team-building events, the conference also offered three separate educational tracks focused on Sustainability, Human Capital, and Legal topics such as public ESG reporting, workforce talent retention and mental health, and data privacy and cybersecurity regulations.

190+ conference attendees

16 session topics

60+ expert speakers

4 team-building offsite events

49 companies represented









Reporting Companies Overview

FIGURE 8

Reporting Companies by Sector

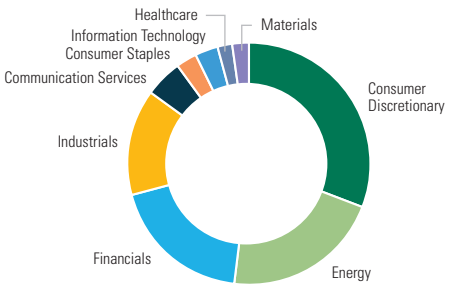


FIGURE 9

Reporting Companies by Revenue

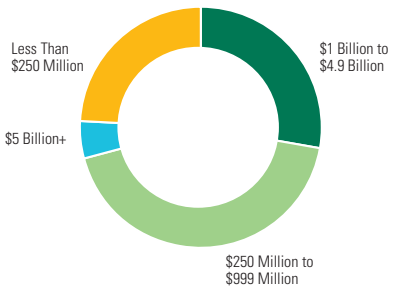
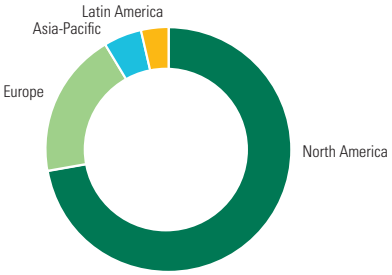


FIGURE 10

Reporting Companies by Region



58 **companies in the Apollo ESG Reporting Program**



North America

NUMBER OF COMPANIES
44

TOTAL REVENUE
$61.2B+

TOTAL EMPLOYEES
219,000+

TOTAL SITES
3,500+



Europe

NUMBER OF COMPANIES
11

TOTAL REVENUE
$8.9B+

TOTAL EMPLOYEES
29,000+

TOTAL SITES
780+



Rest of World

NUMBER OF COMPANIES
3

TOTAL REVENUE
$5.2B+

TOTAL EMPLOYEES
42,000+

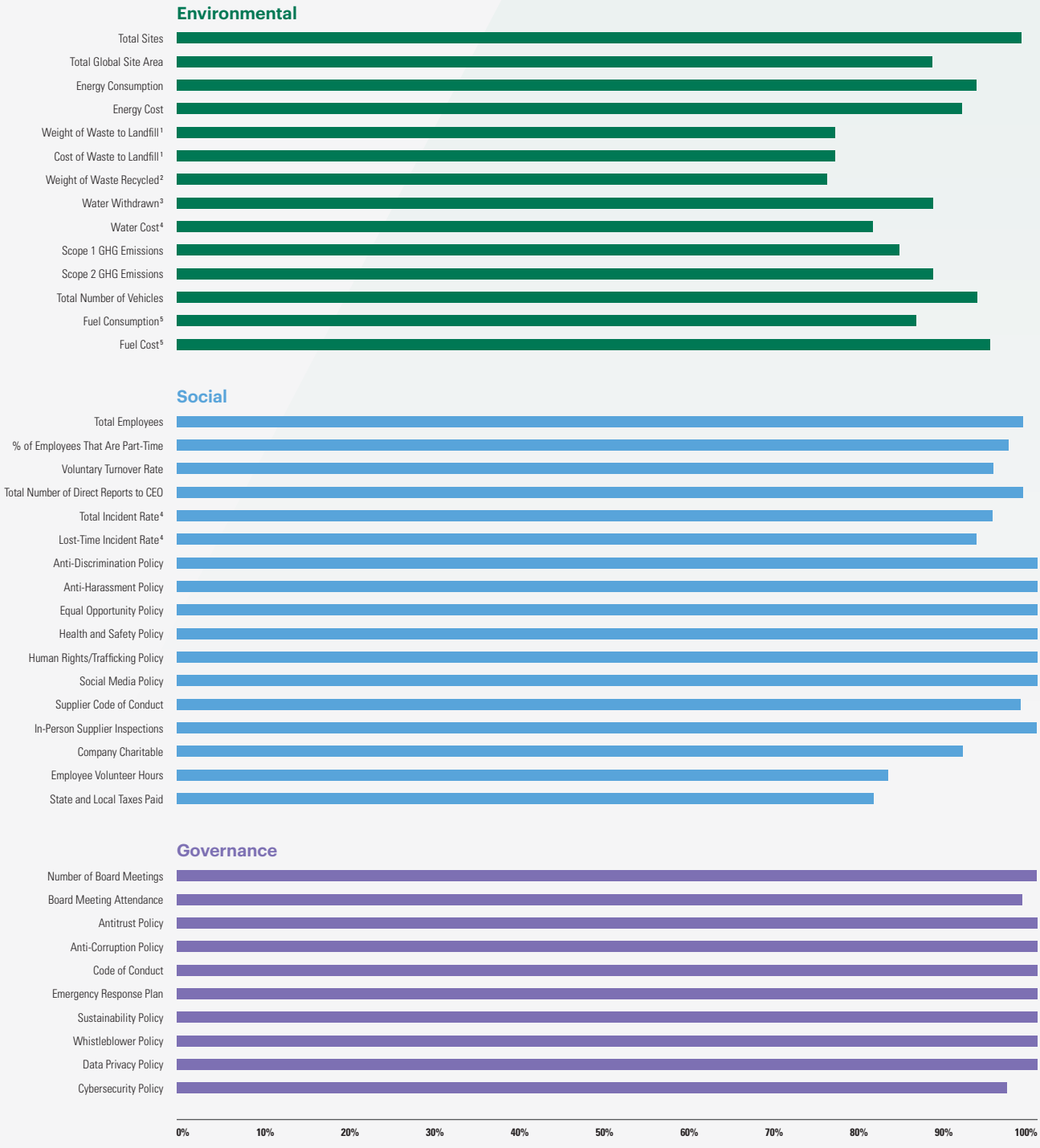
TOTAL SITES
350+

As of December 31, 2019. Total revenue based on each reporting company's headquarters location.

Robust Engagement with Apollo's ESG Reporting Program

FIGURE 11

Reporting Companies' Response Rates for Select ESG KPIs



1. Excludes Financials sector companies. 2. Excludes Financials sector and upstream oil and gas companies. 3. Excludes Communication Services, Financials, and Information Technology sectors companies.
4. Includes custom safety metrics. 5. Excludes companies with fleets of fewer than 10 vehicles.

Corporate Governance and Transparency

Intangibles such as corporate culture and governance represent an increasing share of corporate value. Apollo pays close attention to the governance practices of reporting companies, from oversight of ESG issues to compliance and risk management.



The Challenge

How to encourage publicly available ESG reporting?

The Opportunity

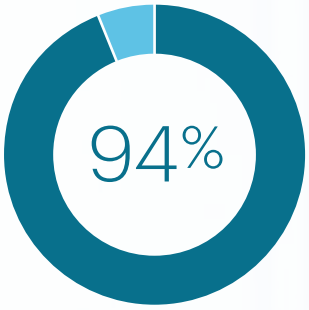
Provide companies with the tools and expertise to get started

Apollo's ESG Program, founded in 2008, illustrates the firm's conviction that careful attention to ESG factors is not only the right thing to do, but also makes good business sense. Apollo is focused on expanding public ESG reporting, starting with the companies owned by Apollo-managed funds. Public reporting of ESG data has become widespread, with 86% of S&P 500 companies publishing sustainability reports — a fourfold increase since 2011, according to the Governance & Accountability Institute. Apollo has taken the initiative, encouraging companies to use the data they compile for Apollo's ESG Reporting Program to develop their own ESG reports. At our 2019 Portfolio Company Conference, Apollo brought in expert advisors from Business for Social Responsibility to help companies identify fundamental ESG reporting principles and the key audiences for public ESG reports, and provide companies with a comprehensive report template to help them get started.

Corporate Governance Data Overview

FIGURE 12

Average Director Attendance at Reporting Companies' Board Meetings



400+

board meetings held by reporting companies in 2019

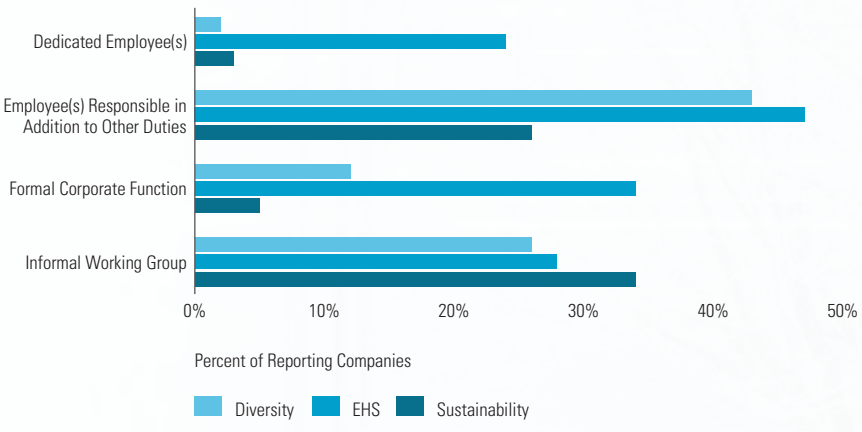
FIGURE 13

Reporting Companies' Median and Average Number of Board Meetings and Attendance by Sector

	Number of Board Meetings		Percent of Directors in Attendance	
	Median	Average	Median	Average
All Sectors	5.0	7.6	98%	94%
Communication Services	8.0	9.7	98%	90%
Consumer Discretionary	4.0	5.6	100%	98%
Energy	4.5	6.6	100%	92%
Financials	8.5	15.3	89%	87%
Industrials	4.0	4.3	100%	96%

FIGURE 14

Diversity, EHS, and Sustainability Functions at Reporting Companies



Policies, Trainings, and ESG Oversight & Disclosure

Reporting Company Policies

FIGURE 15

Reporting Companies' Disclosure of Company Policies

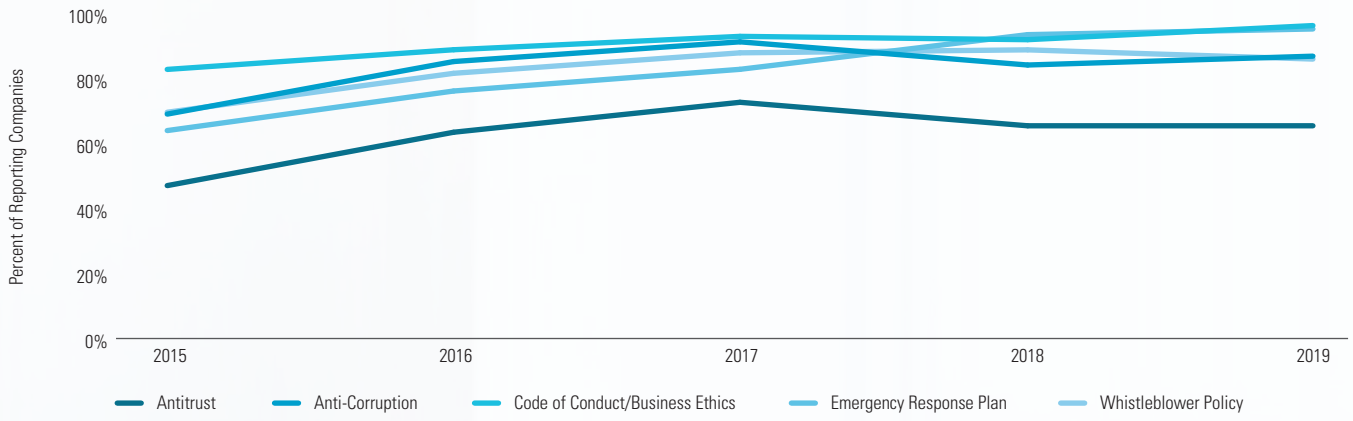
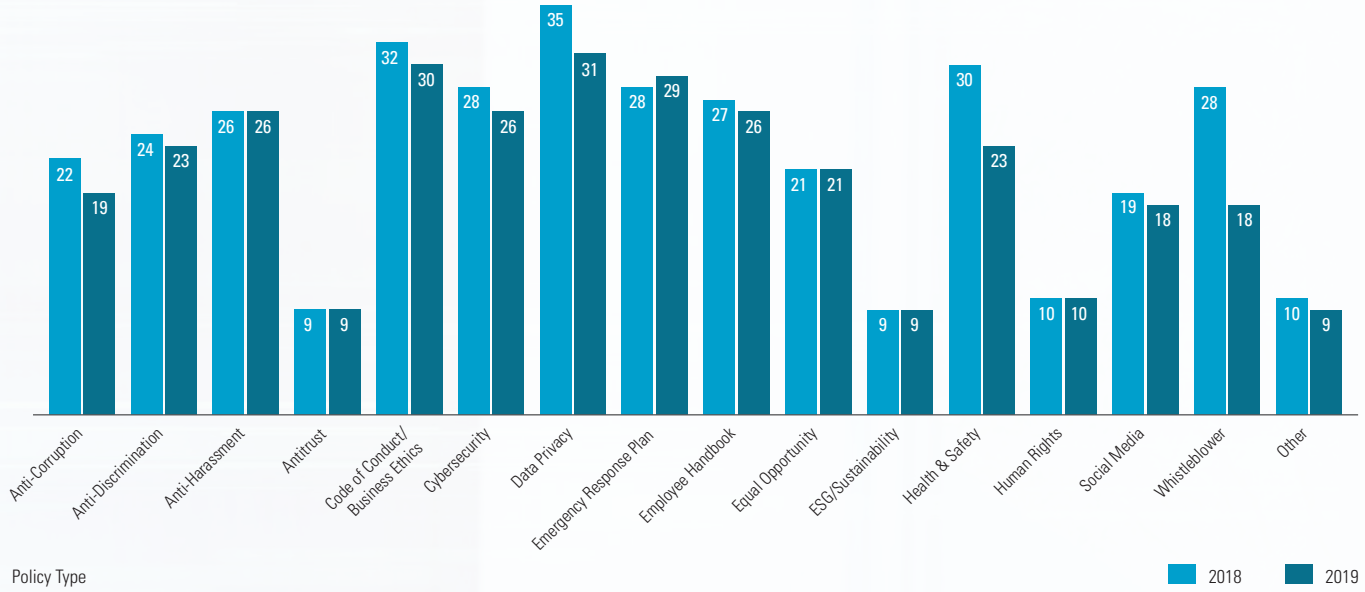


FIGURE 16

Number of Reporting Companies That Reviewed Company Policies



Reporting Company Trainings

FIGURE 17

Percent of Reporting Companies That Trained Employees on Company Policies

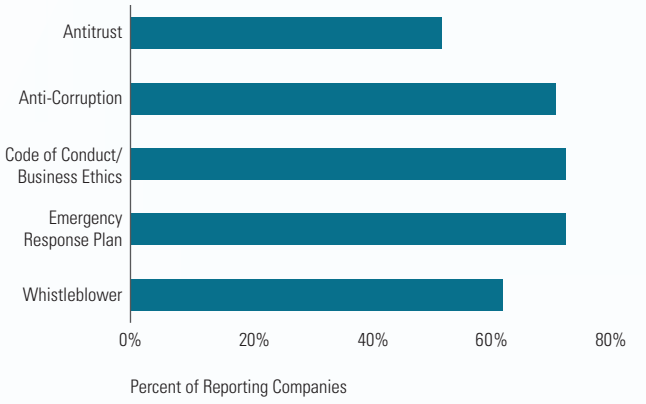
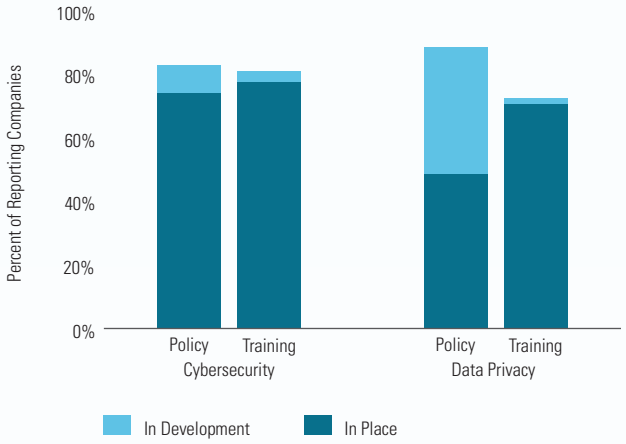


FIGURE 18

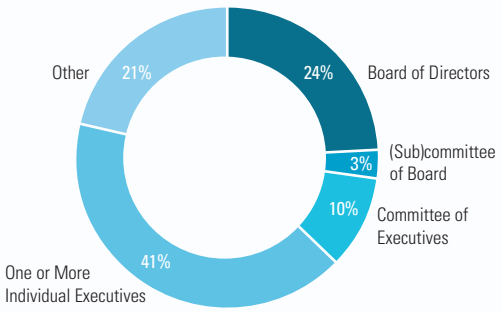
Percent of Reporting Companies with Cybersecurity and Data Privacy Policies and Trainings



ESG Oversight & Disclosure

FIGURE 19

Level of Oversight of ESG Issues at Reporting Companies



46% **of reporting companies have formal ESG targets in place or in development**

79% **of reporting companies exercise oversight of ESG issues at the board or executive levels**

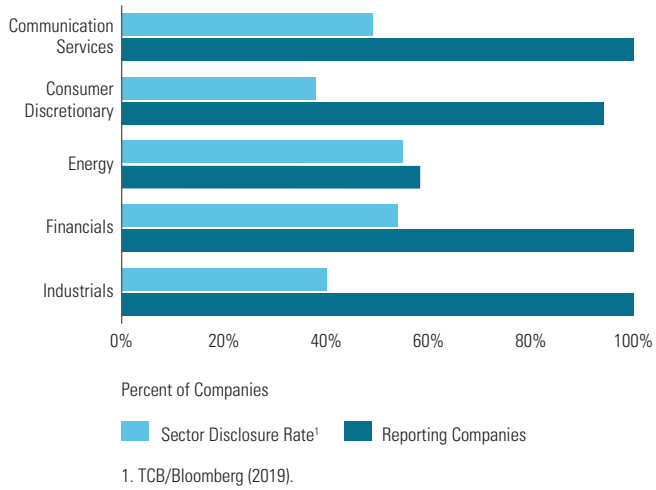
ESG matters at **Diamond Resorts** are overseen by the company's board of directors, who received oral or written reports on at least one ESG topic at every board meeting held in 2019. Diamond's global corporate Green Teams implement and establish environmental standards and initiatives, and set measurable targets for the company's sustainability performance at its North American and European resorts. For example, the company has set a goal of diverting 25% of its total waste from landfills by 2025, and of reducing overall energy consumption by 21.5% through upgraded LED lighting, renewable energy options, and targeted energy analysis. Toward these goals, from 2018–2019 Diamond succeeded in decreasing its Scope 2 GHG emissions by 3.4%. In Europe, Diamond's Green Team established goals that helped the company reduce its European resorts' energy consumption and cost by 2.9% and 0.6%, respectively, in 2019. Diamond's Green Teams also established sustainability partnerships with environmental organizations such as Audubon International, a nonprofit that helps businesses identify and set the highest standards of sustainability. Since partnering with Audubon International, 30 Diamond resorts have been Audubon Green Lodging certified, and in 2019, Diamond was recognized as a leader with 183 awards from sustainability and hospitality organizations.

Maxim Crane's focus on workforce safety and overall ESG matters begins with the company's board of directors. Maxim operates an anonymous hotline, with instructions prominently displayed in all branches, for employees to report any issues directly to the Audit Committee. Each monthly performance review and each quarterly board meeting begins with a thorough look at the company's safety statistics and safety procedures. The company's ESG Committee meets regularly and Safety Committee meetings are held quarterly, with their findings promptly reported to the board and addressed during monthly board calls. In recent years, the company witnessed an increased exposure of motor vehicle accident rates in its truck fleet — a trend identified in part through quarterly Safety Committee meetings at the branch level and monthly Executive Safety Review calls. As a result, Maxim Crane purchased dash and backup cameras for the fleet, leading to a significant decrease in accident rates.

Talos developed a comprehensive Health, Safety, Environment & Sustainability Strategic Plan (HSE Plan) in 2019. The HSE Plan takes an active top-down approach to workplace safety and emergency preparedness. It also emphasizes key ESG performance indicators, such as improving risk assessments of work activities, eliminating serious incidents through active contractor and subcontractor management, enforcing emergency preparedness through regular drills and audits, and helping employees to better understand the emergency response procedures. Talos reduced its total recordable incident rate (TRIR) and lost-time incident rate (LTIR) by 54% and 55%, respectively, in 2019, which the company attributes to the successful implementation of the HSE Plan. The Talos Operations Compliance Group, established in 2017, performs annual compliance audits on all Talos offshore facilities and provides field personnel with regulatory education and training. In 2019, the group oversaw more than 26 safety device tests at each of the company's major facilities, more than double the requirement of one device test per month. In addition, Talos recently established a Crisis Management Team comprised of senior company representatives tasked with responding to emergency situations other than spill response. Talos in 2019 also updated the company's Code of Conduct and Business Ethics, adding a new human rights provision to vendor selection.

FIGURE 20

Reporting Companies' Disclosure of Anti-Corruption Policy vs. Sector Benchmarks

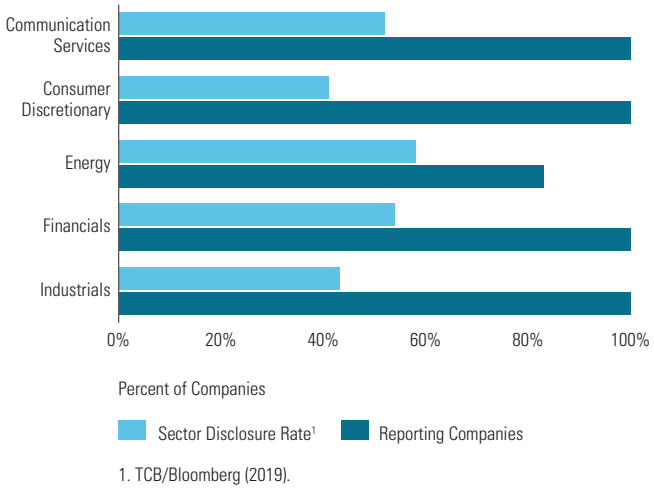


1. TCB/Bloomberg (2019).

The Watches of Switzerland Group is committed to high standards of corporate governance. It took several steps toward realizing its transparency goals in 2019, publishing its first Corporate Governance Report, distributed as part of its publicly available 2019 Annual Report and Accounts. This governance report provides detailed insights into the board's organizational structure and the identities and roles of each board member,

FIGURE 21

Reporting Companies' Disclosure of Code of Conduct vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

and describes current projects and accomplishments of the board's committees. For example, a committee comprised of a majority of independent, non-executive directors developed a new Remuneration policy, which was put to a vote by the Group's shareholders in October. The company also updated its anti-corruption and whistleblowing policies, in connection with its listing on the London Stock Exchange. It has maintained its status as an accredited member of the Responsible Jewellery Council, an international nonprofit dedicated to advancing responsible business practices from mine to retail in the diamond and jewelry metals supply chains. The Watches of Switzerland Group also has its own code of conduct to ensure that suppliers adhere to ethical trading practices. Vendors provide the company with full access to their production facilities, and failure to correct any violations of the company's code of conduct results in termination of the business relationship.

In 2019, **Sbarro** revised 10 company policies and offered employees training on topics that included anti-discrimination, equal opportunity, health and safety, and social media. Sbarro identifies and manages food safety–related risks by adhering to Hazard Analysis Critical Control Points (HACCP) and requires all suppliers to provide HACCP plans and references. In addition to HACCP requirements, Sbarro mandates that all prospective vendors provide a third-party food safety audit of their facilities and demonstrate their commitment to food safety and quality by attaining Safe Quality Food certification. To ensure effective store operations, Sbarro conducts thorough quarterly store audits that are assessed by senior management. The company's management also strives to measure and continuously improve customer satisfaction, and to that end, Sbarro recently partnered with HS Brands to collect customer feedback via a survey link at the bottom of all receipts.

Oversight of environmental, health, and safety (EHS) matters at **Resource Energy** is exercised by the company's dedicated EHS Officer. This role includes supervising the safety orientation of all new field employees, leading monthly safety meetings on topics pertinent to field personnel, and supervising all EHS-related contractor activity and new-location permitting. The EHS Officer performs monthly site inspections, which are documented to satisfy regulatory reporting requirements for air quality and greenhouse gas (GHG) emissions. The officer communicates these findings to the Area Superintendent and provides specific recommendations to remediate or mitigate potential areas of concern, making sure that any proposed actions are adequately performed and documented. The EHS Officer maintains and regularly distributes updated site records, responds to field incidents to ensure proper reporting, and coordinates testing of all emergency and safety equipment.

Compliance risk and ESG-related issues are managed by the **Lapithus** Compliance and HR teams. Lapithus has a Code of Ethics that applies to all employees across the group, with policies on antitrust, anti-corruption, code of conduct and business ethics, anti-money laundering, and data privacy. All employees receive training in the Code of Ethics every year. Lapithus' HR program includes policies on equal opportunity in the hiring process; discrimination; sexual harassment; and health and safety. These policies are revised frequently to ensure they stay aligned with current legal, regulatory, and business needs.

For oversight of EHS issues, **Apex Energy** takes a multidisciplinary, cross-functional approach. In December of each year, the company's board of directors reviews and approves EHS goals for the upcoming calendar year; in March, management reports to the board on the company's performance against the prior year's metrics, identifying areas for further improvement. In addition to board oversight, all ESG matters are overseen at the executive level by the company's CEO and general counsel. At the strategic level, Apex management ensures that each project has a dedicated employee responsible for EHS matters. For example, in an earth-moving project, the company's EHS Director oversees the development of site plans, conducts pre–work site walks with contractors, and supervises ongoing work to

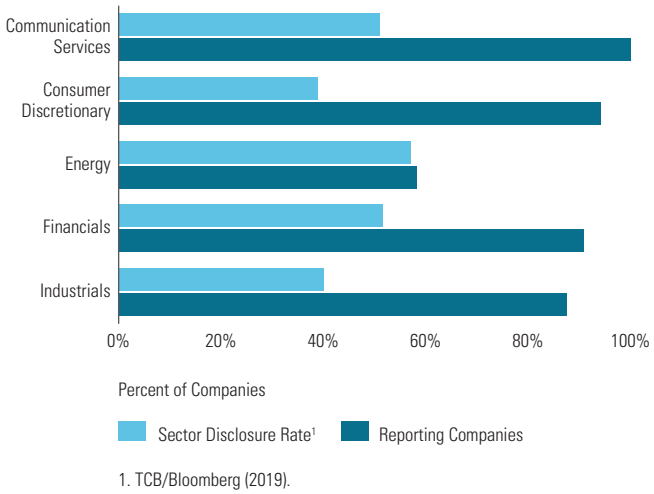
ensure compliance with sedimentation control, habitat protection, and site safety. Apex's cross-functional EHS working group meets weekly to review the status of each project throughout the project's life, and reports on its current status, future performance expectations, and lessons for future improvement.

BPP, a **Vanta Education** subsidiary, has a robust Environmental Management System (EMS) through which climate-related risks and opportunities are monitored and managed biannually. Through the EMS Management Review, risks are ranked based on their probability of occurrence and financial impact, and BPP develops business continuity plans based on the results for each facility. Each year, the company also completes desktop scenario exercises to assess identified climate-related risks that inform environmental needs and targets. For example, BPP has set GHG emissions reduction targets and goals and voluntarily benchmarks its GHG emissions through the Carbon Disclosure Project. In 2019, BPP's CDP Climate Change Score rose from a C to a B. In addition to climate-related initiatives, in 2019 Vanta Education established a company-wide Anti-Slavery and Human Trafficking Policy.

In 2019, **VAC** revised several core company policies, including those related to antitrust, business conduct, cybersecurity, and data privacy. This process also led to the adoption of a new whistleblower policy, which established a whistleblower hotline to ensure confidential disclosures of potential misconduct. In addition, VAC has a corporate function responsible for EHS that has set environmental performance targets and goals aimed at increasing the company's efficient use of materials and energy. VAC has established online training programs on IT and security matters, and throughout 2019 evaluated new IT-related training software, which the company expects to implement in 2020.

FIGURE 22

Reporting Companies' Disclosure of Whistleblower Policy vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

As a public company listed on the New York Stock Exchange, **Athene** adheres to the highest levels of corporate governance and transparency, and the company's 15-person board of directors is majority independent. In October 2019, Athene announced a strategic transaction with Apollo that closed in February 2020. The transaction eliminated Athene's multi-class share structure and further increased the alignment between Athene and Apollo. Because Apollo and its affiliates have a significant voting interest in Athene, Athene maintains a Conflicts Committee designated by its board of directors, consisting of directors who are not affiliated with Apollo, which reviews and approves material transactions between Athene and Apollo, subject to certain exceptions.

Board oversight of ESG issues is a key component of **Ventia**'s governance. Ventia's board of directors approved the company's Sustainability Policy in 2019, with ESG issues reported at every board meeting held during the year. In 2019, Ventia also published its Sustainability Framework, which is aligned with the UN SDGs and outlines clear objectives in four areas: Climate, People, Partnerships, and Governance. Ventia is in the process of voluntarily adopting the Australian Securities Exchange (ASX) Corporate Governance Council's Corporate Governance Principles and Recommendations with respect to climate-related risk assessments, and is working to establish a Sustainability Council to drive its agenda across the organization. Working groups focusing on gender and First Peoples have been in place for some time, creating positive outcomes for women and local communities. The broader agenda outlined in the new Sustainability Framework has resulted in a revision of these working groups with an expansion to include streams on health, waste, emissions, and modern slavery.

McGraw Hill places a premium on sustainable and ethical business conduct, particularly when it comes to selecting suppliers. As part of the company's RFP process, potential suppliers are vetted on their diversity status, and supplier contracts require compliance with the company's Supplier Code of Business Ethics and its anti-corruption standards. McGraw Hill has a minority supplier diversity program and is an active member of the National Minority

Supplier Development Council and the NY/NJ Minority Purchasing Council. Between Q1 and Q3 of 2019, McGraw Hill contracted approximately $20 million with minority suppliers. Within the company, McGraw Hill's Inclusion and Diversity commitment is led by dedicated HR senior leaders, along with a cross-functional I&D Leadership Team that focuses on cultivating an inclusive atmosphere, and attracting and retaining diverse talent. In 2019, the I&D Leadership Team hosted the second iteration of its global webcast speaker series. The series, which was made available to all employees, included speakers from news organizations, authors, and a Pulitzer Prize–winning journalist. Initiatives such as these have earned McGraw Hill recognition on *Business Insider*'s list of "2019 Most Attractive US Employers" and *Forbes Magazine*'s "America's Best Midsize Employers."

74%

of reporting companies made public ESG disclosures in 2019

In 2019, **Seguradoras Unidas** updated its Code of Conduct with clear examples, simplified language, and new graphic designs that better illustrate behavior according to the company's principles. A separate Code of Conduct for suppliers outlines benchmarks that suppliers must meet regarding human rights, corruption, and climate-related risks. Seguradoras also collaborates with third parties to continuously identify, evaluate, mitigate, and monitor material risks. These initiatives, showcased in the company's publicly available sustainability report, have helped Seguradoras earn widespread consumer trust. In 2019, for the fifth consecutive year, it was awarded the "Choice of Professionals" distinction, which recognizes the high degree of satisfaction achieved by the company among insurance brokers and agents.

ESG Opportunities in Real Assets

52%

of property managers reported having a corporate sustainability function

In 2019, nearly half of the third-party property operators who manage real assets owned by Apollo-managed funds reviewed and updated their corporate governance policies. For many property operators, workforce safety is critical and is managed by top-down governance that provides clear and consistent safety guidelines. In addition to reviewing its cybersecurity policy, **Eclipse Senior Living** updated the Health, Safety, and Security section of its Associate Handbook, and revised its Emergency Response Plan to promote standardization across assets and ease of use by field operators. The **Cincinnati Office Portfolio**'s corporate governing body includes a committee dedicated to safety, which assists in developing an OSHA-compliant safety training curriculum each year. **Northview Hotel Platform**, which uses customer input to guide its decision-making, focuses on developing and redeveloping its assets through the eyes of the target guest. The property manager comprehensively analyzes customer feedback, such as focus groups, charrettes, and web surveys, to ensure all its policies and improvements align with guest expectations. **Hyatt Houston** keeps customers informed on major sustainability and governance initiatives by publishing a public corporate sustainability scorecard on its website each year, highlighting improvements over previous years and setting new environmental goals based on benchmark data. Sustainable and professional management practices like these have earned properties owned by Apollo-managed funds widespread recognition: **Viseen Industrial Park** properties earned a "Poverty Alleviation" award for strategic planning and pioneering in supporting local communities, and a **Steelbridge Office Platforms** property was a finalist for the *South Florida Business Journal*'s "Project of the Year" Award.

Select Corporate Governance and Transparency Data

Company	Number of Board Meetings	Average Attendance at Board Meetings	Number of Board Meetings with ESG Updates	Public ESG Disclosure	ESG Goals and/or Targets	Anti-Corruption	Code of Conduct/ Business Ethics	Cybersecurity	Data Privacy	Emergency Response Plan	Whistleblower
Consumer Discretionary											
Company A	10	96%	—	—	—	◐	◐	◐	◐	◐	◐
Company B	4	100%	0	⊗	⊗	◐	◐	◐	◐	◐	◐
Company C	4	100%	4	✓	✓	◐	◐	◐	◐	◐	◐
Company D	9	96%	—	⊗	—	○	◐	◐	◐	◐	◐
Company E	5	100%	0	✓	✓	◐	◐	◐	◐	◐	◐
Company F	8	97%	>1	✓	⊗	◐	◐	◐	◐	○	◐
Company G	4	100%	0	⊗	⊗	◐	◐	◐	◐	○	◐
Company H	4	100%	0	⊗	✓	◐	◐	◐	◐	◐	◐
Company I	4	89%	>1	✓	✓	◐	◐	◐	◐	◐	◐
Company J	6	98%	0	—	⊗	◐	◐	◐	◐	◐	◐
Company K	12	100%	0	⊗	⊗	◐	◐	◐	◐	◐	◐
Company L	5	90%	1	✓	⊗	◐	◐	◐	◐	◐	◑
Company M	4	100%	4	⊗	✓	◐	◐	◑	◐	◐	◐
Company N	4	95%	0	⊗	✓	◐	◐	◐	◐	◐	◐
Company O	8	96%	>1	⊗	⊗	◐	◐	◐	◐	◐	◐
Company P	4	100%	4	✓	✓	◐	◐	◐	◐	◐	◐
Company Q	4	100%	1	⊗	⊗	◐	◐	◐	◐	◐	◐
Company R	1	100%	>1	✓	✓	◐	◐	◐	◐	◐	◐
Consumer Staples and Healthcare											
Company A	12	92%	>1	✓	⊗	◐	◐	◐	◐	◐	◐
Company B	6	94%	0	⊗	✓	◐	◐	◐	◐	◐	◐
Company C	7	100%	>1	⊗	✓	◐	◐	◐	◐	◐	◐
Energy											
Company A	3	100%	1	✓	⊗	◐	◐	○	○	◐	◐
Company B	9	90%	>1	⊗	⊗	◐	◐	◐	◐	◐	◐
Company C	5	80%	0	✓	✓	○	◐	○	○	◐	○
Company D	15	100%	15	✓	✓	◐	◐	◐	◐	◐	◐
Company E	4	100%	4	⊗	✓	○	◐	◐	◐	◐	○
Company F	4	100%	1	⊗	⊗	◐	◐	◐	○	◐	◐
Company G	4	100%	—	—	—	○	○	○	○	◐	○
Company H	12	—	—	—	—	○	◐	○	○	◐	◐
Company I	4	100%	4	✓	⊗	◐	◐	◑	○	◐	◐
Company J	4	100%	4	⊗	⊗	◐	◐	◐	◐	◐	◐
Company K	9	100%	>1	⊗	✓	○	◐	○	○	◐	○
Company L	6	100%	>1	✓	✓	◐	◐	◐	◐	◐	◐

Key ○ No Policy or Training in Place ◐ Policy in Place ◑ Training in Place ◐ Policy and Training in Place — Company Did Not Report

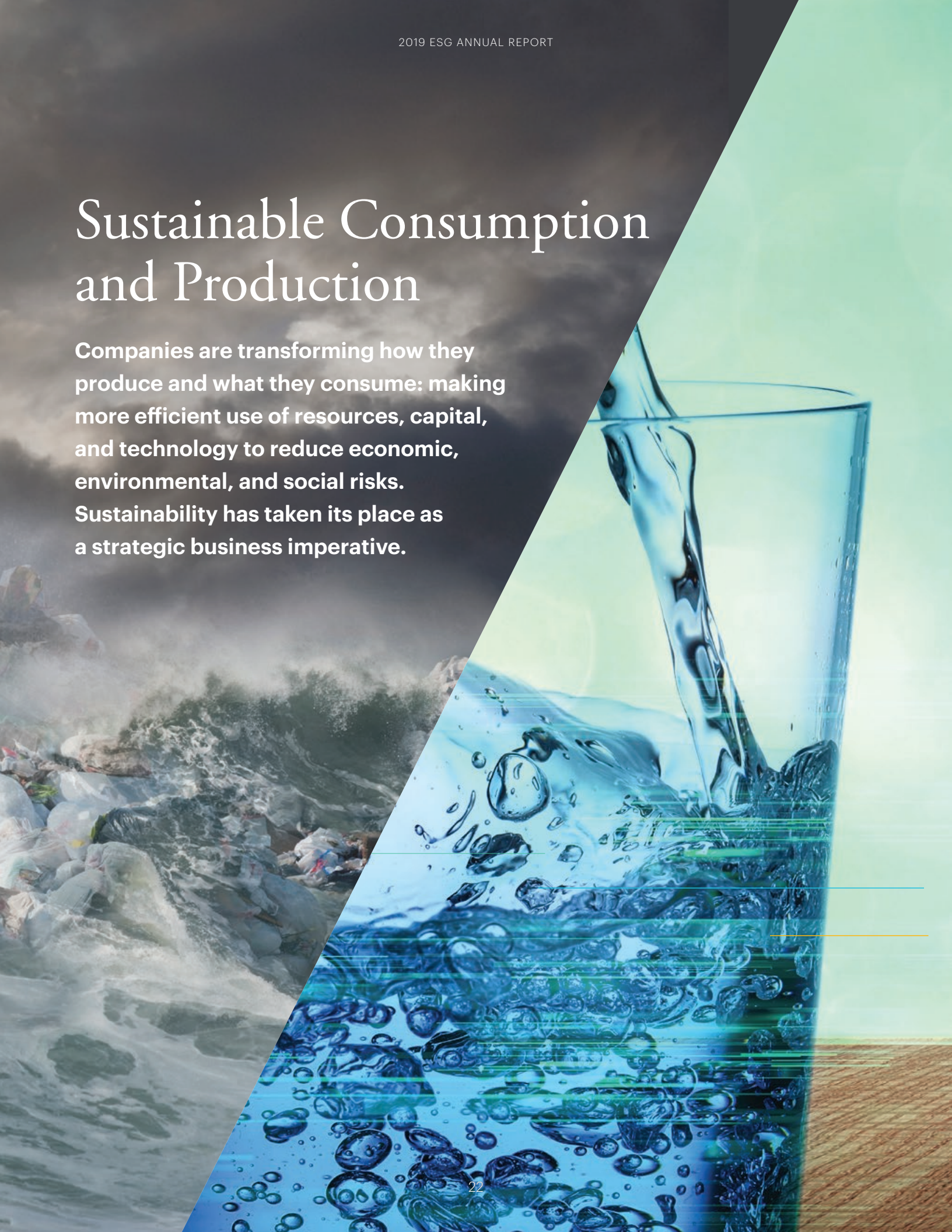
Select Corporate Governance and Transparency Data

Company	Number of Board Meetings	Average Attendance at Board Meetings	Number of Board Meetings with ESG Updates	Public ESG Disclosure	ESG Goals and/or Targets	Anti-Corruption	Code of Conduct/ Business Ethics	Cybersecurity	Data Privacy	Emergency Response Plan	Whistleblower
Financials											
Company A	6	85%	0	⊗	⊗	◐	◐	◐	◐	◐	◐
Company B	8	92%	>1	✓	⊗	◐	◐	◐	◐	◐	◐
Company C	9	89%	>1	✓	✓	◐	◐	◐	◐	◐	◐
Company D	7	88%	>1	⊗	⊗	◐	◐	◐	◐	◐	◐
Company E	42	96%	1	⊗	⊗	◐	◐	◑	◐	◐	○
Company F	5	93%	0	⊗	⊗	◐	◐	◐	◐	◐	◐
Company G	9	74%	9	⊗	✓	◐	◐	◐	◐	◐	◐
Company H	33	91%	1	✓	✓	◐	◐	◐	◐	◐	◐
Company I	49	89%	1	✓	⊗	◐	◐	◐	◐	◐	◐
Company J	5	70%	>1	⊗	✓	◐	◐	◑	◑	◐	◐
Company K	13	98%	—	⊗	⊗	◐	◐	◑	◐	◐	◐
Industrials and Materials											
Company A	4	78%	4	—	⊗	◐	◐	◐	◐	◐	◐
Company B	3	90%	1	✓	✓	◐	◐	◐	◐	◐	◐
Company C	4	95%	1	⊗	✓	◐	◐	◐	◐	◐	◐
Company D	4	100%	>1	⊗	✓	◐	◐	◐	◐	◐	◐
Company E	4	92%	4	⊗	✓	◐	◐	◐	◐	◐	◐
Company F	4	100%	0	✓	⊗	◐	◐	○	○	◐	○
Company G	4	100%	0	✓	✓	◐	◐	◑	◐	◐	◐
Company H	4	100%	4	✓	✓	◐	◐	◐	◐	◐	◐
Company I	6	100%	6	✓	✓	◐	◐	◐	◐	◐	◐
Information Technology and Communication Services											
Company A	4	88%	1	✓	⊗	◐	◐	◐	◐	◐	◐
Company B	17	73%	0	⊗	⊗	◐	◐	◐	◐	◐	◐
Company C	4	100%	>1	✓	✓	◐	◐	◐	◐	◐	◐
Company D	9	70%	1	✓	⊗	◐	◐	◐	◐	◐	◐
Company E	8	98%	1	✓	⊗	◐	◐	◐	◐	◐	◐

Key ○ No Policy or Training in Place ◐ Policy in Place ◑ Training in Place ● Policy and Training in Place — Company Did Not Report

Sustainable Consumption and Production

Companies are transforming how they produce and what they consume: making more efficient use of resources, capital, and technology to reduce economic, environmental, and social risks. Sustainability has taken its place as a strategic business imperative.



The Challenge

How to assess the growing variety of third-party sustainability certifications?

The Opportunity

Create a framework to help companies assess the value of certifications

Apollo is helping companies to understand the growing number of third-party sustainability certifications and labels available to businesses, buildings, products, and services. The firm developed a framework to enable companies to assess the relevance and utility of sustainability certifications in this increasingly fragmented space. This framework was developed with the assistance of expert advisors and launched in a dedicated session at our 2019 Portfolio Company Conference. Among other things, the framework identifies key criteria for companies to consider, including the clarity, rigor, transparency, independence, and veracity of the third parties offering sustainability certifications, and is flexible enough to apply equally to both generic and industry- and product-specific certifications.

Sustainable Consumption and Production Data Overview

2,400+

inspections of suppliers conducted by reporting companies

145,500+

MT of waste recycled by reporting companies

FIGURE 23

Reporting Companies' Waste Recycling by Sector

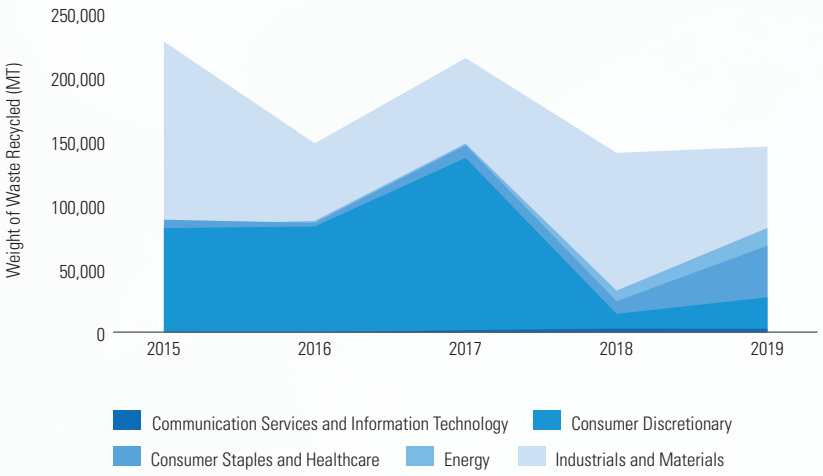
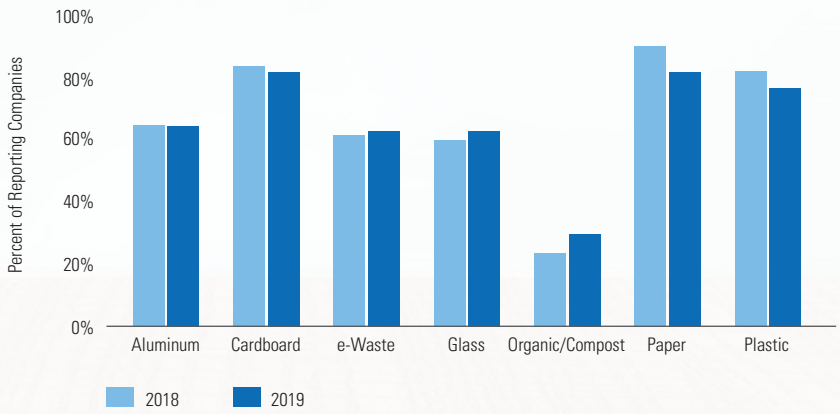


FIGURE 24

Reporting Companies' Recycling by Waste Type

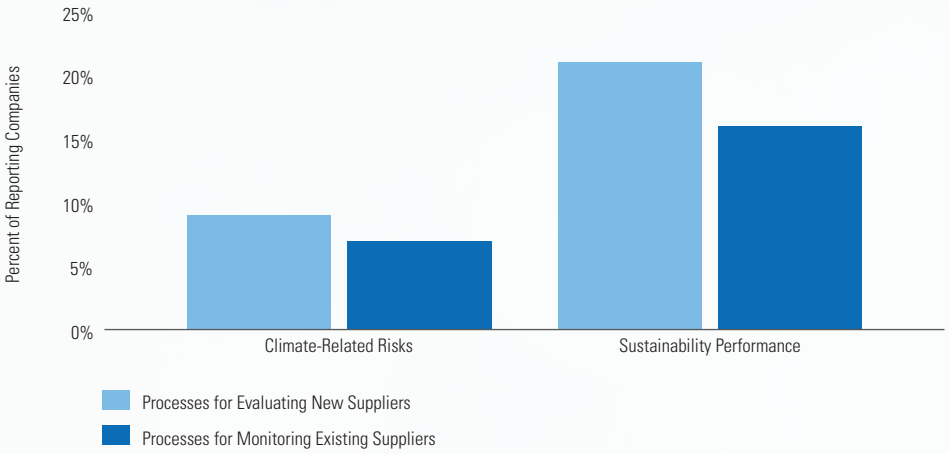


Supply Chain, Waste Generation and Recycling, and Water Withdrawal and Recycling

Supply Chain

FIGURE 25

Reporting Companies' Evaluation of Suppliers' Sustainability Practices



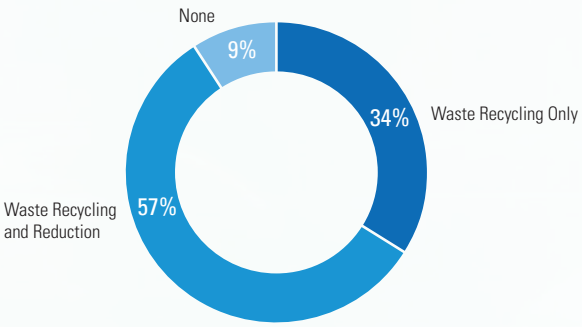
62%

of reporting companies conducted in-person inspections of suppliers

Waste Generation and Recycling

FIGURE 28

Reporting Companies with Waste Recycling and Reduction Initiatives



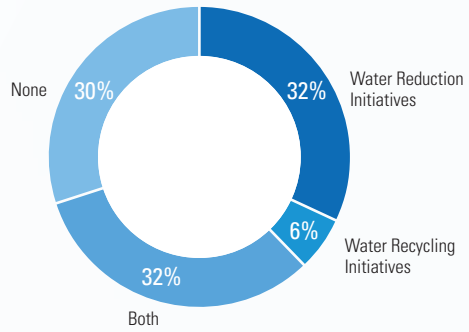
858,000+

MT of waste generated by reporting companies

Water Withdrawal and Recycling

FIGURE 26

Percent of Reporting Companies with Water Reduction and Recycling Initiatives[1]



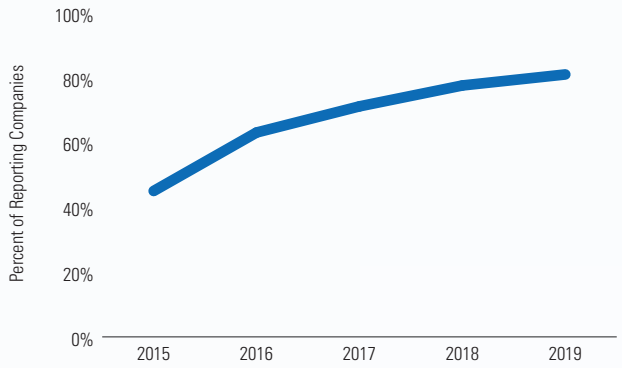
1. Excludes reporting companies whose operations do not require the use of water.

22B+

gallons of water withdrawn by reporting companies

FIGURE 27

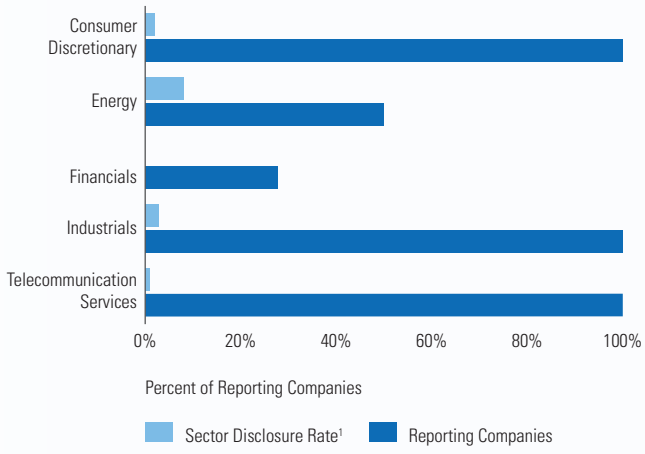
Reporting Companies' Disclosure of Water Withdrawn[1]



1. Excludes Communication Services, Financials, and Information Technology sector companies.

FIGURE 29

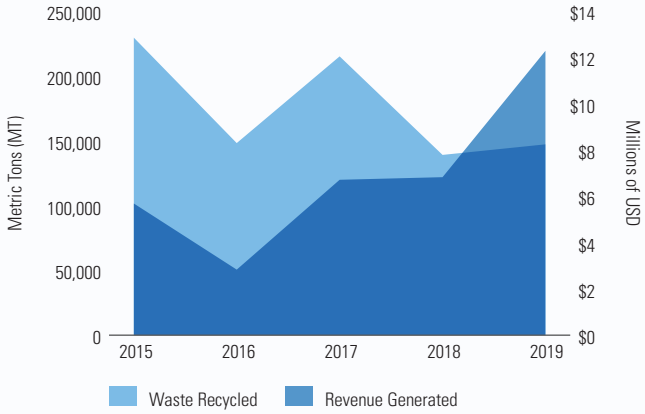
Reporting Companies' Disclosure of Waste Recycled vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

FIGURE 30

Reporting Companies' Weight of Waste Recycled and Revenue Generated from Recycled Waste



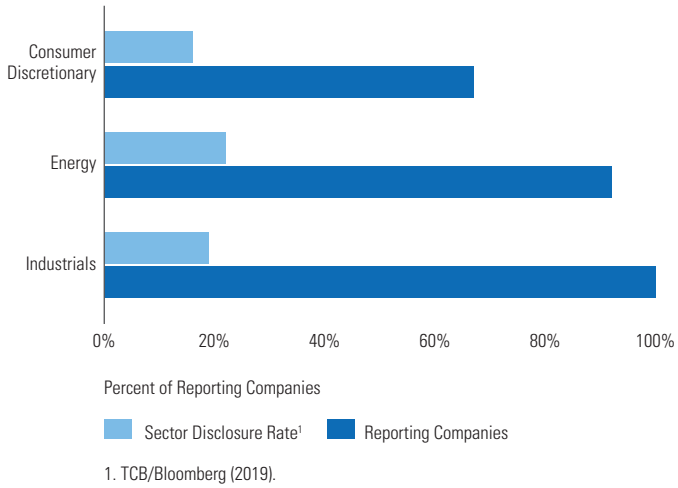
In 2019, **Diamond Resorts** reduced its overall waste to landfill by 66% compared to 2018, leading to $102,000 in savings. At several of Diamond's European resorts, the company installed water filters and switched to biodegradable products to avoid single-use plastics, reducing plastic bottle usage by 7% and saving approximately 531 kg of plastic waste. From 2017 to 2019, consumption of single-use plastic at Diamond resorts fell by 20%, saving some four tons of plastic. Many resort locations have also begun working with local waste management companies to move toward single-stream recycling. In addition to waste reduction, Diamond recently introduced a series of water reduction initiatives that have reduced water usage by 10.2% compared to 2018. The implementation of a new housekeeping cleaning system in all European resorts has saved the company approximately eight liters of water per day per apartment, and reduced the use of cleaning products by 30%. At the global level, Diamond has begun updating its facilities with low-flow toilets and shower heads, and each location has developed plans to reach baseline environmental targets based on its unique geographic conditions. For instance, landscaping with local native plants to reduce water consumption, and employing drip irrigation, provides a simple water-saving alternative to traditional sprinkler systems.

At **Direct ChassisLink (DCLI)**, sustainable materials management is intrinsic to the business. The company has committed to the US Environmental Protection Agency's WasteWise program, the nation's first voluntary program for solid waste prevention and reduction. This commitment is realized through DCLI's extensive steel and rubber recycling initiatives, and by continuously upgrading its chassis fleet with longer-lasting components and technology. The company has recapped and reused tires for the last decade, and since 2018 has upgraded company policy to eliminate the purchase of new tires. All tires, including refurbished units, are fitted with retreads; new tires are purchased only when necessary. In 2019, DCLI recycled nearly 20.5 million pounds of tires and steel, avoiding costs of approximately $5.4 million. DCLI also engages in robust chassis refurbishment efforts, the result of a decision by management to decrease fleet costs and reduce negative environmental impact. In 2019, the company refurbished and returned to service 2,768 chassis, extending their useful life, decreasing waste, and avoiding the cost of purchasing new chassis.

Talos employs a wide range of sustainability practices to reduce the company's environmental footprint. All Talos generators are self-sustaining and fueled by natural gas produced by the company. This results in clean, low-cost energy to power most of the company's offshore platforms and its Helix Producer 1 floating production vessel. Any water product, such as drilling waste, domestic wastewater, or desalination water, is processed to EPA standards and tested for toxicity before being recycled back into the ocean. Almost every process at Talos is backed by a digital workflow that is processed, stored, or transferred by virtual servers; this allows the company to efficiently utilize any extra capacity by loading multiple servers onto a single piece of hardware. By leveraging this technology, Talos reduces the electricity required to power the machines and cool the data centers, as well as the amount of e-waste created when these devices are discarded at the end of their useful life. Overall, Talos' use of virtualization technology has reduced total energy consumption of the company's servers by 80%.

FIGURE 31

Reporting Companies' Disclosure of Water Withdrawn vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

In addition to participating in a landlord-sponsored program to recycle paper, plastic, cardboard, glass, and aluminum, **EP Energy** resells and recycles the majority of its e-waste. In 2019, the company sold or recycled 34 mobile phones, 111 laptop computers, and 50 desktop computers. In February 2019, the company launched a "Fit Company Paperless Challenge," through which the company's leaders encouraged employees to "go

paperless" and awarded prizes to office floors that achieved the highest reduction. As a result of this initiative, EP Energy used approximately 80% less paper each month than it did in 2018. Water conservation is another area in which EP Energy made serious inroads in 2019: the company successfully negotiated with landowners in the Eagle Ford region to recycle water for the first time, resulting in the reuse of approximately 11,844,000 gallons of water for hydraulic fracturing purposes and paving the way for future sustainability initiatives.

Mood Media introduced a variety of energy consumption and waste reduction initiatives in 2019. The company eliminated excess office space by transitioning employees to work from home, and substantially reduced energy consumption by adjusting the operation of HVAC systems at its locations in Spain and in Austin, TX, on weekends, when the facilities are not in use. At its corporate headquarters, Mood continued to transition to 100% biodegradable plates and utensils in lieu of plastic, paper, and Styrofoam. All Mood offices in Belgium and the Netherlands have eliminated the use of plastic cups, and in Spain the office has reduced its consumption of plastic cups by 90%. In 2019, the company exclusively provided several offices with plates and paper towels made from 100% reclaimed resources, and Mood continues to recycle e-waste generated at its European and San Diego, CA, offices.

For **ClubCorp**, the nation's largest owner and operator of golf courses, water use and conservation is one of the most important sustainability issues. For example, Crow Canyon Country Club in Danville, CA, has converted from city water to effluent water supply for irrigating the course. This conversion not only reduces water costs for the club, but also eliminates withdrawal of water from the aquifer and allows the club to reuse water that would otherwise have been discharged by the city. The Las Colinas Country Club in Dallas, TX, recently replaced an antiquated hydraulic irrigation system with a new electric irrigation system, which is expected to reduce annual water use by 15% and to provide the club with better control over the watering cycle. ClubCorp also has engaged an irrigation design firm to review irrigation systems at clubs located in areas of high water risk, including California, Arizona, and Nevada, and the company recently revised its Golf Course Maintenance Manual to require that all clubs use moisture meters to help determine daily watering requirements. Over the past three years, 90% of the company's clubs have upgraded their irrigation control system software to increase overall productivity and efficiency.

33%

of reporting companies have initiatives to address supplier sustainability

In 2019, **Freestone Midstream** started its first water recycling initiative, which led to the recycling and reuse of more than 2.3 million gallons of produced water. To offset freshwater drainage, recycled water is reused by oil and gas companies in subsequent new development drilling. These initiatives significantly reduce the stress on local water supplies and increase the net water available to areas where Freestone operates. Freestone is also conscious of its electricity usage and is working with a local power company in Wyoming to introduce new energy efficiency initiatives, including variable-frequency drives on high-horsepower pumps. These initiatives are currently being implemented in all new Freestone facilities within the power company's service area.

In 2019, **AGS** continued its initiatives to reduce energy and raw material consumption at its facilities and in its products. These initiatives included an LED lighting project at the company's Oklahoma City, OK, manufacturing center, expected to result in savings of 31,868 kWh per year. To reduce unnecessary waste, AGS has adopted recycling and reuse programs at all its major facilities, and the company promotes a philosophy of using refurbished components in its products whenever possible. More than 50% of outgoing AGS products are built with refurbished components, including bill validators, printers, and process control boards. In recent years, AGS has redesigned its products to replace fluorescent lighting with LED bulbs, reducing energy consumption, and has redesigned product packaging to eliminate the need for bubble- and shrink-wrap, reducing waste and improving shipping efficiency.

TEGRA is constantly seeking to implement new waste recycling programs and to expand its water reduction initiatives. Cardboard and paper are recycled at all company facilities, glass is recycled at its US facilities, plastic is recycled at all facilities in the US and Honduras, and 100% of lightbulbs are recycled to ensure the safe disposal of mercury. In 2019, TEGRA expanded its corporate initiative to optimize and reduce the use of cardboard, replacing regular packaging materials with less-corrugated material, saving 77,740 kg of paper — the

equivalent of about 340 trees. In Nicaragua, TEGRA donated 4,195 yards of fabric and trim material to Mission 14, a local charity that provides job training and placement to local residents. TEGRA also continued to reduce its overall water consumption in 2019 by investing in new technologies. As part of the company's Move to Zero initiative, TEGRA piloted a reverse-osmosis water system at its El Salvador location that cut monthly water use for screen printing services by 98% — from 60 m^3 per month in 2018 to 0.83 m^3 per month in 2019. In all its locations, TEGRA has implemented an efficient water treatment process that filters all processed water and returns it to local water systems cleaner than it was received.

31

reporting companies require the use of water in their operations

The Fresh Market donated more than 2.6 million pounds of cedonsumable discard and 11 pallets of unused food to Feeding America's local food bank partners in 2019. The company also launched a new software program to help limit overproduction of perishable foods, such as bakery goods, prepared meals, and fresh-cut produce. Through joint efforts of the company's IT, Finance, Merchandising, and Operations departments, the new program was customized using store-specific data based on a two-year history of product movement, and it is periodically updated to account for new products and sales trends. Since the tool's rollout in November 2019, The Fresh Market has shown a 0.5% improvement versus the prior year, or $281,000 saved, on these perishable items. The company believes this will save approximately $843,000 annually, and significantly reduce food waste.

IGT Solutions sets comprehensive vendor registration and evaluation processes to ensure the company procures the highest-quality products and services. IGT analyzes the information provided by new vendors to assess each vendor's potential level of risk, requesting additional materials if necessary, before finalizing vendor assessments and submitting them for the Procurement Head's approval. Once accepted, vendors are subject to IGT's annual evaluation process, which starts each April when the Procurement Head evaluates every vendor and assigns them a rating. Vendors rated as poor are discontinued, and those falling below satisfactory receive a follow-up evaluation in six months; if still unsatisfactory, that relationship is discontinued. Internally, IGT manages its quality of services through several mechanisms, including monthly training for employees and regular quality evaluations based on statistical samples. Using these internal procedures, the company establishes action plans, conducts regular risk audits, and submits the findings to senior leaders monthly to maintain accountability and ensure corrective actions.

Nova KBM decreased its paper consumption by approximately 17 tons in 2019 compared to 2018, preserving more than 400 trees, and cutting its cost of paper and printing by 35%. Nova KBM attributes this to new initiatives introduced in 2019 specifically to reduce paper consumption and cost. For example, in September 2019, the company installed digital signature pads in all branches — a significant step toward greener, paperless operations. By going paperless, Nova KBM digitized over 400,000 signed documents and electronically stored over 3 million documents in 2019 alone. The company also continued its "Click for the Environment" initiative, with some 5,000 clients in 2019 opting to receive e-notifications and account statements, saving nearly one ton of paper.

Sustainability is central to the primary business operations of **Phoenix Services**, which processes steel mill by-products and scrap metal into inputs that can be recycled back into the steel-making process. The company helps to generate sustainable product streams for the by-products, reducing the need for virgin raw materials and cutting the steel mills' energy consumption, the carbon footprint per ton of steel. To minimize wastewater, Phoenix Services uses catch basins or water retention ponds at all facilities and recycles water from processing plants back into operations for reuse. To reduce the amount of new commercial water used in its operations, the company also works with customers to reuse storm water at all sites.

As a fast-casual restaurant chain, **QDOBA** is dedicated to rigorous processes for vetting new suppliers and for monitoring existing suppliers on human and animal rights and worker welfare issues. The company's Vendor Code of Conduct prohibits forced or child labor, and QDOBA's Supplier Expectations Manual encourages suppliers to adopt an animal welfare program to ensure the safety and well-being of animals. In 2019, QDBOA's food safety and quality assurance personnel conducted nearly 20 in-person audits of high-risk suppliers and new potential suppliers. QDOBA also added a plant-based

meat alternative at all its US-based locations, and in 2019, QDOBA restaurants sold nearly 540,000 pounds of plant-based meat alternative products. By providing consumers with vegetarian options, QDOBA has helped save the land area equivalent of 2,697 football fields that were not needed for farming, and the volume equivalent of some 363 million bottles of water.

As an infrastructure services provider, **Ventia** is committed to harnessing the power of technology and sustainability to provide clients with quality, eco-friendly project solutions. In 2019, Ventia introduced its Environmental Lead, Engage, Analyze and Discuss (LEAD) initiative to help management identify and encourage environmentally safe behavior, and provide feedback for improvement before environmental harm occurs. As one of the first companies in Australia to offer environmental remediation services, Ventia has been helping clients address contamination in soil, sediment, surface water, and groundwater for more than three decades. Over that time, Ventia's Environmental Services team delivered solutions on more than 140 major projects, including some of Australia's largest and most complex sites requiring innovative approaches to local sustainability issues. For example, the Environmental Monitoring team designed an automated fuel moisture–monitoring solution that runs on solar power, to measure moisture content of forest fire fuel loads as well as local meteorological conditions. This monitoring network enables Forest Fire Management Victoria to assess real-time ambient forest conditions to make informed decisions for high-risk areas.

To monitor compliance risks in **CBR Fashion Group**'s supply chain, the company uses a social compliance program that requires suppliers to complete self-assessments, and to disclose any subcontractor to which production steps are outsourced. This establishes an initial risk level for each supplier before it is onboarded. Following this initial assessment, a social assessment is conducted within the next 30 days by a third-party auditor. The social assessment covers issues such as child and forced labor, working hours, wages, workers' safety, and social and environmental protection, and includes an on-site visit to verify compliance. Any areas of non-compliance identified by the auditing process are set forth in corrective-action plans, and suppliers are required to provide evidence of remediation, as applicable. In the event of a "zero-tolerance grading," subsequent on-site visits are conducted to verify compliance. In 2019, CBR Fashion Group terminated contracts with 18 suppliers that received a "zero-tolerance grading" and failed to show reasonable improvements.



87%

of property managers reported having recycling initiatives in place

ESG Opportunities in Real Assets

Nearly 300 properties owned by Apollo-managed funds collectively recycled more than 800 MT of waste in 2019. **Hurstville Central** alone recycled 250 MT of paper, plastic, cardboard, glass, and aluminum, and properties operated by **ADH Hotels & Resorts** expanded their recycling to include organic waste. To ensure full and accurate compliance with its recycling program, **Tifco Hotel Group** has instituted a "no landfill" policy, and engaged a third-party waste hauler to train each property's staff on how to properly separate recyclable materials. In 2019, **Hilton Atlanta** imposed a global ban on the use of plastic straws as part of its goal to decrease its properties' environmental footprint by 50% by 2030. Water conservation is another area where property operators have taken measures to limit unnecessary water use, with 57% of operators practicing water reduction techniques. The **Tullahennel** wind farm in Ireland operates a rainwater harvesting system that supplies reclaimed water to its substation buildings. For many properties, responsible consumption also means responsible maintenance. For example, **1801 West End** in Nashville, TN, has service contracts in place for preventative maintenance and inspection of the property's chiller, air compressor, generator, and HVAC equipment.

Select Sustainable Production and Consumption Data

Company	Energy Intensity (kWh/$MM revenue)	Fuel Intensity[1] (gal/vehicle)	Waste Intensity (MT/$MM revenue)	Percent of Total Waste Recycled	Water Intensity (gal/$MM revenue)	Water Recycling/Reuse Initiatives[2]	Consumption Reduction Initiatives	ESG Function	Supplier Code of Conduct	Number of Supplier Inspections	Supply Chain Diligence
Consumer Discretionary											
Company A	8,894.6	1,223.6	1.5	0.5	6,108.7	—	⚡ 🗑 🚗	—	✓	0	—
Company B	308,004.7	—	68.6	0.1	163.6	✓	⚡ 💧	✓	✓	2	⚙
Company C	237,451.7	189.2	16.4	0.1	689,162.6	✓	⚡ 🗑 💧	✓	✗	0	⚙
Company D	—	1,067.5	—	—	—	✗	🗑 🚗	—	✓	2	—
Company E	304,651.3	—	14.5	0.2	351,597.1	✓	⚡ 🗑 💧	✓	✗	3	⚙
Company F	—	—	—	—	—	✗	⚡ 🗑 🚗	✓	✓	2	—
Company G	3,163.3	—	—	—	—	✗	⚡	✗	✗	0	⚙
Company H	4,083.7	—	0.8	0.3	5,788.2	✗	⚡	✗	✗	5	⚙
Company I	34,766.4	118.6	1.2	0.2	46,146.4	✗	⚡ 🗑	✓	✓	0	⚙
Company J	10,684.3	840.9	—	—	—	✗	⚡ 💧	—	✗	9	⚙
Company K	16,120.8	598.0	5.0	1.0	4,357.9	✗	🗑 🚗	✗	✓	546	⚙
Company L	22,065.6	863.9	0.8	0.6	5,508.8	✗	⚡ 🗑 🚗	✓	✓	—	⚙
Company M	77,800.5	1,103.2	10.3	0.2	81,910.7	✓	⚡ 🗑 💧	✓	✗	10	⚙
Company N	157,682.6	—	—	—	12,703,862.7	✓	⚡ 🗑 💧 🚗	✓	✓	947	⚙
Company O	28,361.1	3,364.8	5.8	0.7	10,741.2	✓	⚡ 🗑 💧 🚗	✓	✓	29	⚙
Company P	103,277.0	—	0.7	0.2	240.0	✓	—	✓	✓	16	⚙
Company Q	3,402.1	1,336.0	—	—	—	✗	🚗	✓	✓	12	⚙
Company R	33,075.4	—	—	—	2,386.7	✓	⚡ 🗑 💧	✓	✓	432	⚙
Consumer Staples and Healthcare											
Company A	62,573.8	6,004.0	12.6	0.6	35.8	✗	⚡ 🗑 🚗	✓	✗	14	⚙
Company B	131,840.2	—	—	—	81,533.5	✓	🗑	✗	✓	1	⚙
Company C	209,238.9	891.8	28.0	0.0	124,666.3	✓	⚡ 🗑 🚗	✗	✓	0	⚙
Energy[3]											
Company A	23,985.8	501.7	42.8	0.0	12,414,377.6	✓	—	✓	✓	20	⚙
Company B	—	—	—	—	1,741,751.3	✓	⚡ 💧 🚗	✓	✓	0	⚙
Company C	104,299.5	2,615.2	438.0*	—	2,240,335.2	✓	💧 🚗	✓	✓	0	⚙
Company D	1,686,763.1	—	15.0	0.9	16,796.6	✓	⚡ 💧 🚗	✓	✓	32	⚙
Company E	12,379.6	3,431.9	3.6	0.0	276,487.3	✓	⚡ 🗑	✓	✗	1	⚙
Company F	3,083.1	743.0	—	—	0.0	✓	—	✓	✗	0	⚙
Company G	69,774.3	2,237.9	—	—	7,725,056.4	✓	—	—	✓	—	—
Company H	—	2,752.0	—	—	—	—	—	—	✗	0	—
Company I	262,710.4	1,950.7	3.7*	—	73,995.2	✓	🚗	✓	✓	2	⚙
Company J	1,904,327.9	2,658.2	2.1*	—	3,752,128.4	✓	⚡ 💧 🚗	✓	✗	—	⚙
Company K	1,981.9	2,217.6	0.0	1.0	124.7	✓	⚡ 🗑 💧 🚗	✓	✗	12	⚙
Company L	1,809,425.3	2,288.6	32.0	0.1	136,279.7	✓	⚡ 💧	✓	✗	77	⚙

Key ⚡ Energy Reduction Initiatives; 🗑 Waste Reduction Initiatives; 💧 Water Reduction Initiatives; 🚗 Fuel Reduction Initiatives; ⚙ No Process in Place to Monitor or Vet Suppliers; ⚙ Process in Place to Monitor Existing Suppliers; ⚙ Process in Place to Vet Suppliers; ⚙ Processes in Place to Vet and Monitor Suppliers; — Company Did Not Report

Select Sustainable Production and Consumption Data

Company	Energy Intensity (kWh/$MM revenue)	Fuel Intensity[1] (gal/vehicle)	Waste Intensity (MT/$MM revenue)	Percent of Total Waste Recycled	Water Intensity (gal/$MM revenue)	Water Recycling/Reuse Initiatives[2]	Consumption Reduction Initiatives	ESG Function	Supplier Code of Conduct	Number of Supplier Inspections	Supply Chain Diligence
Financials[4]											
Company A	617.4	—	—	—	—	⊗	⚡ 🗑	✓	✓	50	⚙
Company B	27,857.9	626.7	—	—	—	⊗	⚡ 🚗	✓	⊗	87	⚙
Company C	857.2	25,073.9	0.0	0.3	554.6	⊗	⚡ 🗑 💧	✓	✓	8	⚙
Company D	6,808.5	—	—	—	—	⊗	—	⊗	⊗	0	⚙
Company E	1,638.7	384.1	—	—	—	⊗	🚗	⊗	⊗	7	⚙
Company F	493.0	—	—	—	—	⊗	🗑	✓	⊗	1	⚙
Company G	5,774.2	361.4	—	—	1,998.0	⊗	⚡	✓	✓	0	⚙
Company H	50,252.7	440.8	—	—	—	⊗	🚗	✓	✓	0	⚙
Company I	35,108.1	0.0	1.1	1.0	7,956.2	⊗	⚡ 🗑 🚗	✓	⊗	0	⚙
Company J	7,729.6	—	—	—	—	⊗	—	✓	✓	4	⚙
Company K	4,451.6	376.9	—	—	2,975.5	✓	⚡ 💧 🚗	✓	✓	0	⚙
Industrials and Materials											
Company A	24,679.5	3,049.8	5.9	0.4	3,472.0	✓	⚡ 🗑	✓	✓	—	⚙
Company B	4,262,374.8	—	24.3	0.6	1,429.7	✓	⚡ 🗑 💧	✓	✓	0	⚙
Company C	2,307.1	695.3	32.5	0.6	18,199.6	⊗	🗑	✓	⊗	34	⚙
Company D	229,885.3	3,453.5	14.6	0.5	134,767.6	✓	⚡ 🗑 💧 🚗	✓	✓	—	⚙
Company E	1,770.5	550,185.9	0.4	0.3	1,562.1	✓	⚡ 🗑 🚗	✓	✓	18	⚙
Company F	326,541.3	1,234.9	0.0	—	64,828,578.5	✓	⚡	✓	⊗	3	⚙
Company G	184,081.5	—	2.8	0.8	273,184.1	✓	⚡ 🗑 💧	✓	✓	64	⚙
Company H	44,152.4	7,478.9	198.1	0.0	231,386.7	✓	⚡ 🗑 💧	✓	✓	0	⚙
Company I	4,163.8	986.5	7.0	0.2	5,779.3	✓	⚡ 🗑 💧 🚗	✓	⊗	8	⚙
Information Technology and Communication Services[5]											
Company A	152,368.5	—	0.3	0.6	—	⊗	⚡ 🗑	✓	✓	0	⚙
Company B	3,329.9	565.6	0.0	—	—	⊗	⚡ 🚗	✓	⊗	0	⚙
Company C	31,603.3	308.6	0.5	0.1	21,579.3	✓	⚡ 🗑 💧 🚗	✓	✓	0	⚙
Company D	46,816.9	228.0	23.3	1.0	—	⊗	⚡ 🗑 🚗	✓	⊗	0	⚙
Company E	26,748.5	990.4	570.3	0.0	13,345.8	⊗	⚡ 🗑 🚗	✓	✓	0	⚙

Key ⚡ Energy Reduction Initiatives; 🗑 Waste Reduction Initiatives; 💧 Water Reduction Initiatives; 🚗 Fuel Reduction Initiatives; ⚙ No Process in Place to Monitor or Vet Suppliers; ⚙ Process in Place to Monitor Existing Suppliers; ⚙ Process in Place to Vet Suppliers; ⚙ Processes in Place to Vet and Monitor Suppliers; — Company Did Not Report

* Indicates waste-to-landfill intensity only.
1. Applicable to companies with fleets of 10 or more vehicles only.
2. Applicable to companies that require the use of water in operations only.
3. Upstream oil and gas companies are exempt from reporting on waste recycled metrics.
4. Financials sector companies are exempt from reporting on waste and water metrics.
5. Information Technology and Communication Services sector companies are exempt from reporting on water metrics.

Climate Action

Climate change threatens global infrastructure and the health, water, and food security of millions. Financial institutions have acknowledged their collective responsibility to help companies take action to understand, alleviate, and disclose their efforts to address these global concerns.



The Challenge

How to achieve consistent, comprehensive calculation of Scope 1 and Scope 2 GHG emissions inventories?

The Opportunity

Develop a new tool enabling companies to standardize their reporting

Apollo was one of the first in its industry to ask companies to report their Scope 1 and Scope 2 GHG emissions. Though businesses and investors are increasingly concerned about climate change, The Conference Board and Bloomberg report that, in 2018, only 23% of companies globally disclosed their total GHG emissions. In 2019, Apollo developed a proprietary GHG emissions calculation tool, which uses the most recent emissions factors for stationary and mobile fuel combustion, and purchased electricity and heat. This has brought new levels of accuracy, consistency, and comprehensiveness to reporting, since all companies now calculate their GHG inventory using the same emissions factors. Apollo's tool also empowers companies to tailor their own emissions reduction programs to simultaneously reduce costs and climate-related risks, and benefit the environment.

Climate Action Data Overview

FIGURE 32

Reporting Companies' Scope 1 GHG Emissions by Sector

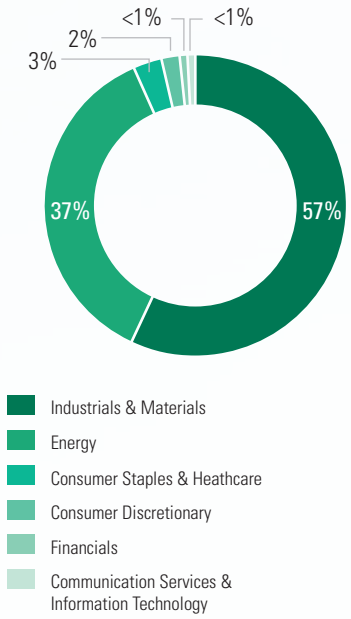


FIGURE 33

Reporting Companies' Scope 2 GHG Emissions by Sector

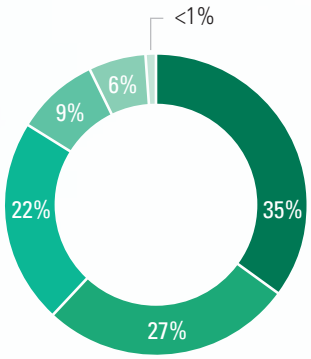


FIGURE 34

Reporting Companies' Total GHG Emissions

	GHG Emissions (MT of CO_2e)
Scope 1	6,228,867
Scope 2	1,801,024
Total GHG Emissions	8,029,891

18,300+

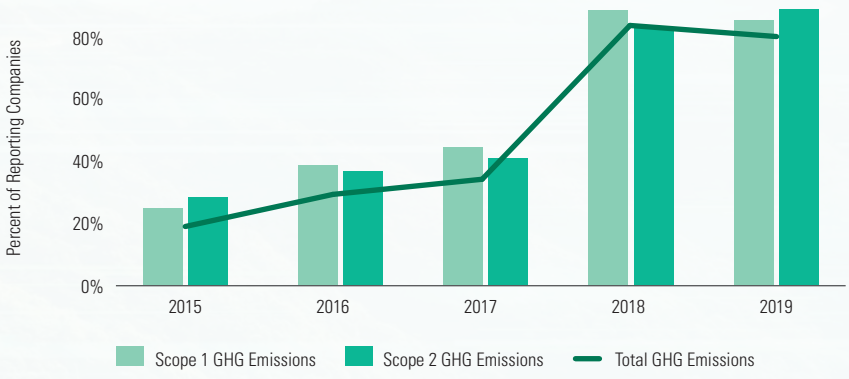
vehicles in reporting companies' fleets

18.6M+

MWh of energy consumed by reporting companies

FIGURE 35

Reporting Companies' Disclosure of GHG Emissions



GHG Emissions, Energy and Fuel Consumption, and Climate-Related Risks

GHG Emissions

FIGURE 36

Reporting Companies' Disclosure of Scope 1 GHG Emissions vs. Sector Benchmarks

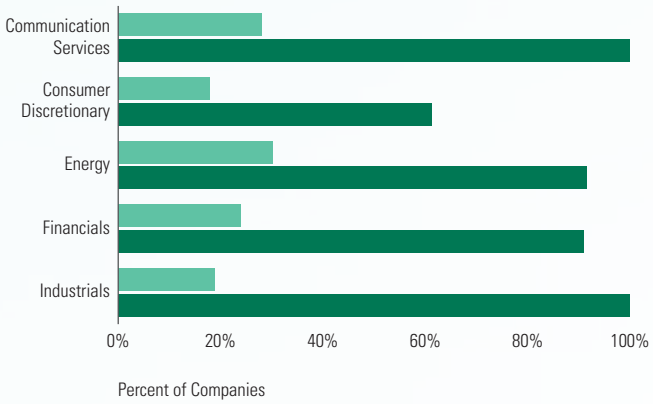
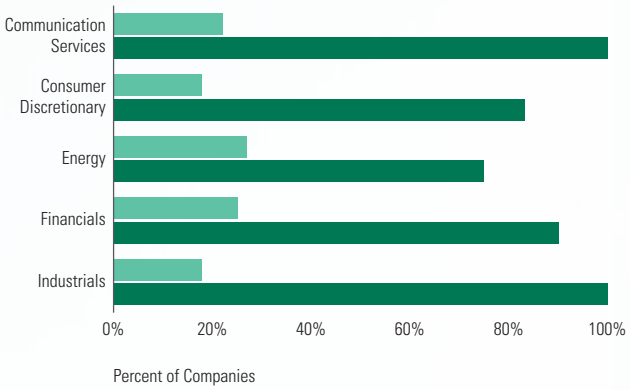


FIGURE 37

Reporting Companies' Disclosure of Scope 2 GHG Emissions vs. Sector Benchmarks



Sector Disclosure Rate[1] Reporting Companies

1. TCB/Bloomberg (2019).

Energy and Fuel Consumption

FIGURE 39

Percent of Reporting Companies with Fuel Reduction Initiatives[1]

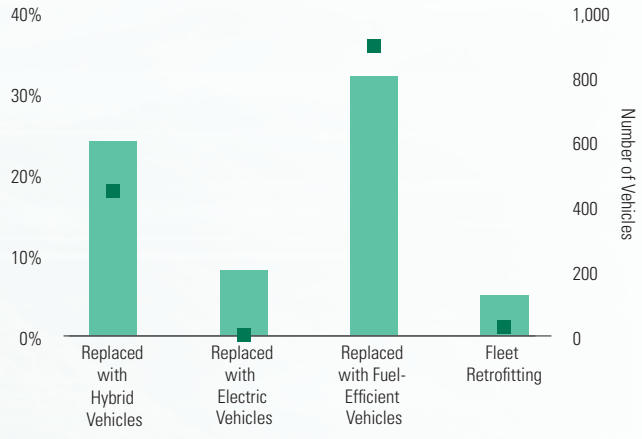


1. Excludes companies with fleets of fewer than 10 vehicles.

37 **reporting companies have fleets of 10 or more vehicles**

FIGURE 40

Reporting Companies' Vehicle Replacement and Retrofitting Initiatives

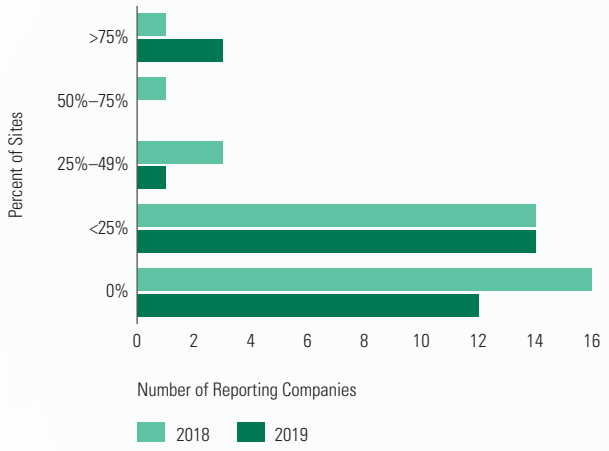


1. Excludes companies with fleets of fewer than 10 vehicles.

Climate-Related Risks

FIGURE 38

Reporting Company Sites in Areas of High or Extremely High Water Risk[1]

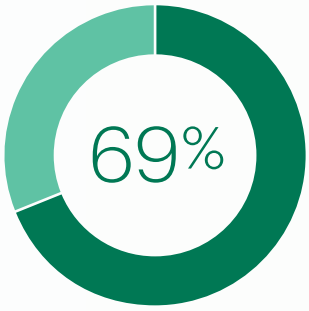


1. Excludes reporting companies whose operations do not require the use of water. Areas of high or extremely high water risk identified using the World Resource Institute's *Aqueduct Water Risk Atlas (2019).*

40% **of reporting companies have formalized processes for identifying climate-related risks**

FIGURE 41

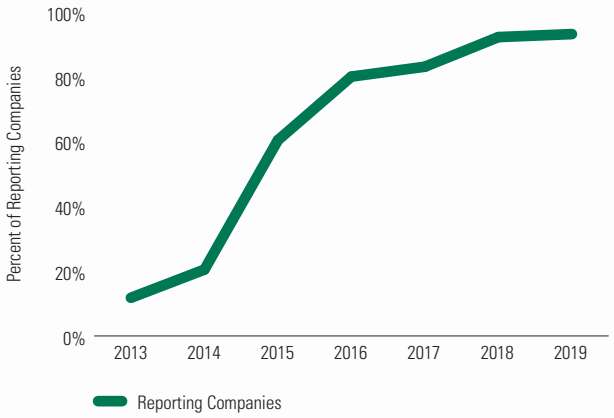
Percent of Reporting Companies with Energy Reduction Initiatives



164 **LEED®-certified facilities owned or leased by reporting companies**

FIGURE 42

Reporting Companies' Disclosure of Energy Consumption



In 2019, **ADT** continued to explore methods to decrease its GHGs by replacing nearly 20% of its vehicle fleet with more fuel-efficient models. Through a partnership with Ford, ADT replaced over 1,300 older vehicles with a new model, gaining +2 MPG in fuel economy. This improvement is due to a smaller displacement engine that generates performance equal to the older model, and to a new 8-speed transmission replacing the 6-speed unit. As ADT continues to upgrade its fleet, it is closely monitoring the potential for electrification of new vehicles and the integration of hybrid vehicle replacements.

35%

of reporting companies with fleets utilize route optimization techniques

Coinstar continued cutting its fleet's GHG emissions through more efficient vehicles, and driver behavior modification. Coinstar's fleet of 200 passenger vehicles is 100% hybrid; the company updates its commercial motor vehicle specifications to optimize fuel performance for each new order, which in 2019 led to 40 vehicles being replaced by more fuel-efficient models. More efficient engines and better battery life in the new hybrid vehicles have cut fuel consumption by more than 50%. When upgrading trucks, Coinstar opts for lighter-weight vehicle parts that minimize unnecessary space and materials compared to previous orders, while ensuring that safety is never compromised. The company provides drivers with fuel-saving tools and tips for better routing, which have helped reduce miles driven to 8.6 million in 2019, compared to 9.2 million in 2018. In addition to reducing Scope 1 GHG emissions generated by its fleet, Coinstar encourages employees at corporate headquarters to report their commuting habits to the Department of Transportation as part of a study to provide incentives for reducing Scope 3 GHG emissions.

Rackspace consults with internal and external experts to identify climate-related risks and to manage processes associated with these factors. Internally, two primary risk mitigation teams, the Business Continuity Team and the Supply Chain Contingency Team, address climate-related risks. Based on past supply chain audits, Rackspace has diversified its supply chain to avoid reliance on single suppliers and data centers that may be located in geographies prone to severe weather disruptions. In addition, the company has operations at three ENERGY STAR® or LEED-certified facilities and selects renewable energy providers through electric utility programs. Specialized air filters at the company's London office have reduced Rackspace's CO_2 emissions by approximately 2,000 kg per year, and in 2019, the company deployed four smart-building automation systems that utilize artificial intelligence to optimize energy efficiency.

PlanetCast has implemented several energy consumption initiatives to reduce its environmental impact. The company has fitted all light fixtures in its corporate buildings with energy-efficient LED bulbs, and electrical appliances are selected and purchased based on high-power energy efficiency ratings. Company appliances also employ invertor motor technology to minimize energy waste, while electrical equipment is regularly monitored and corrected to meet energy specifications. To help reduce Scope 3 GHG emissions, PlanetCast offers a free pickup and drop-off service for employees going from company headquarters to nearby public transportation, encouraging them to take mass transit and limit the environmental impact of their commutes.

In 2019, **Aspen** formed the Aspen Green Team, comprised of employees who are passionate about sustainability practices within Aspen's offices and who work to reduce the company's environmental impact. The Aspen Green Team conducted an initial study to assess the company's current performance and to identify opportunities for improvement in 2020 and beyond. Aspen, which generated approximately 3,500 MT of CO_2e in 2019 from its corporate travel and electricity consumption, has begun to purchase carbon credits from Gold Standard–certified offset programs in Panama to offset these emissions.

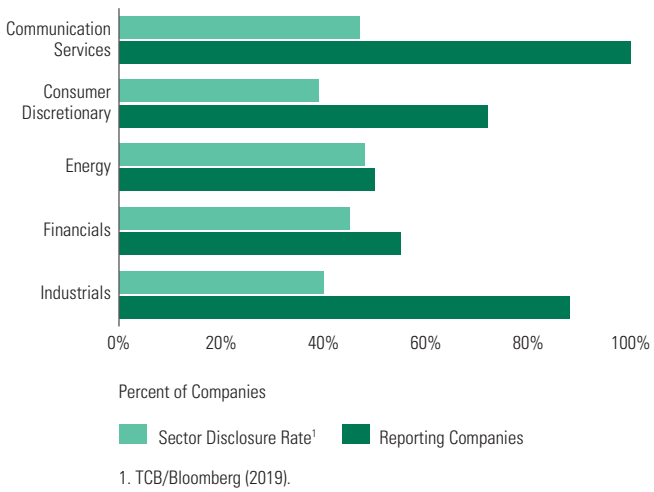
After testing and comparing results with two energy management systems over the past two years, **CEC Entertainment** installed smart thermostats in all of its US locations. The system was designed and implemented to optimize performance of HVAC systems, providing the company with centralized control of these systems' energy usage. This enables the company to monitor energy usage at these locations monthly, and to actively identify and address any deviations from standard energy use. Since implementing this system, kilowatt usage has decreased by 11% year-over-year in applicable restaurants, saving these locations an average of more than 3,000 kWh per month, for $4,700 in annual energy cost savings.

OLB's commitment to the environment is evidenced by its goals and initiatives to reduce carbon emissions and energy and paper consumption. One hundred percent of OLB's purchased electricity comes from renewable sources, and in 2019 the company reduced its CO_2 emissions intensity to 1,702 kg per employee — a 45% decrease from the company's 2006 baseline of 3,778 kg per employee. OLB's locations are regularly renovated to increase their operational efficiency: for example, from 2018 to 2019, OLB decreased its year-over-year heating energy consumption by 7.8%. Increased end-to-end digitization efforts moved customer communications online and replaced traditional paper-based signatures with eSigns, decreasing paper consumption by 12% from 2016 to 2019 and saving the printing and dispatch of more than 8,000,000 customer letters. OLB also shows its commitment to the environment through funding public programs for energy efficiency. Funding under these programs amounted to 9% in mortgage loans/ real estate financing volume, 34% in investment finance, and 22% across all client segments. Funding applications are now 95% digital, and in-house processing is almost completely paperless.

In 2019, **Tidewater Logistics** made strides in reducing truck traffic, fuel usage, and dust emissions. By shifting tonnage to electric-driven equipment, Tidewater Logistics reduced its year-over-year diesel fuel consumption by nearly 20%, from 101,042 gallons in 2018 to 82,365 gallons in 2019. In addition, Tidewater Logistics continually evaluated and adjusted traffic patterns within its facilities to reduce both truck traffic and dust emissions. Tidewater Logistics further reduced dust emissions by using water trucks and dust suppression systems.

FIGURE 43

Reporting Companies' Disclosure of Energy Reduction Initiatives vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

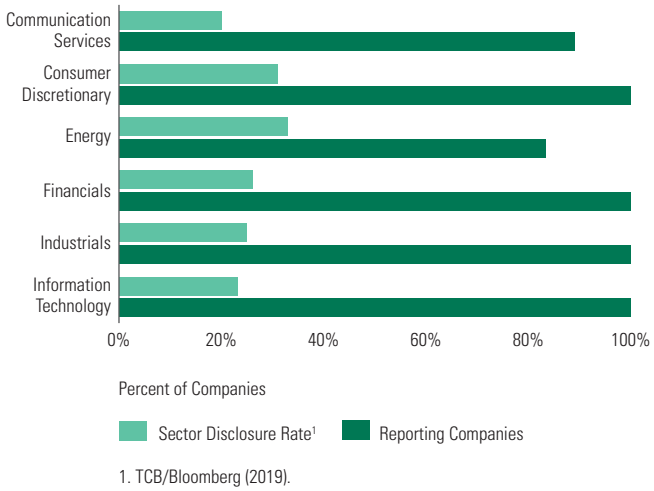
Jupiter Resources continues to evolve its technology and equipment to improve operations and minimize the company's environmental footprint. The company recently introduced a solar and methanol hybrid power fuel cell solution, which is now incorporated into Jupiter's standard well design and reduces GHG emissions by up to 97% compared to thermal electric generators. In 2019, the company also introduced a new sand separator at seven locations, which Jupiter estimates will reduce GHG emissions by 99%, or approximately 88 MT of CO_2e per year compared to previous models. In addition, Jupiter recently commissioned and placed into operation its first fully pneumatic vent-free site. The company anticipates that annual venting volumes from the site's well pad equipment will drop from approximately 740 MT of CO_2e in 2019 to 0.6 MT of CO_2e.

In 2019, **Sun Country Airlines** continued its commitment to reducing its environmental footprint through numerous energy consumption and fuel reduction initiatives. The company decreased its energy consumption from 2,612,803 kWh in 2018 to 2,358,663 kWh in 2019, due in part to the consolidation of the company's hangar and headquarter facilities, which were retrofitted with LED lighting, and the installation of energy-efficient rooftop air conditioning units to better regulate air temperature fluctuations. Sun Country's Fuel Committee also implemented several new fuel reduction initiatives in 2019 in an effort to reduce aircraft weight, improve flight planning, and streamline taxi procedures and ground operations. The company anticipates that the new fuel reduction initiatives will lead to roughly $3 million in cumulative annual savings, and the Fuel Committee continues to review new potential fuel-saving techniques going forward.

Northwoods Energy has taken steps to align its activities with TCFD recommendations; it has identified climate-related risks and has processes in place for monitoring and managing these risks. The company is headquartered at 17th Street Plaza in Denver, CO, which has an ENERGY STAR rating in the top 6% in the nation and was the first multi-tenant property in the Rocky Mountain Time Zone to earn LEED-EB O&M Gold Certification. At the company's remote well sites, Northwoods endeavored to reduce its Scope 1

FIGURE 44

Reporting Companies' Disclosure of Energy Consumption vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

GHG emissions in 2019 by replacing diesel-powered generators with a buried power line system that connects 14 well sites. The company also has installed control and monitoring measures and conducts annual LDAR audits of all well site facilities to monitor fugitive emissions. Where fugitive emissions are detected, Northwoods takes actions to identify the source and correct the situation — for example, flange gasket repair or replacement and subsequent testing to verify that fugitive emissions have been eliminated.

A new energy management program was developed and implemented by **LifePoint Health** in 2019 to provide comprehensive monitoring of the company's energy consumption. Each hospital receives an energy scorecard to monitor its use of electricity and natural gas monthly. Baselines created using 2018 and 2019 consumption data are combined with weather normalization factors, to predict monthly usage for 2020. When deviations from the baseline are identified, LifePoint Health's energy management team reviews potential causes and takes corrective action where necessary. Each hospital is also assigned an energy use intensity score, used to identify potential energy reduction projects such as conversion to LED lighting and updating room ventilation schedules. Every year, each LifePoint Health facility also identifies and discusses all hazards that could directly affect patient care or cause a business interruption.

Climate-related risks, such as flooding, wildfires, and extreme temperatures, are among the potential hazards. Once a facility has identified a climate-related risk, a Hazard Vulnerability Analysis (HVA) is completed, which assesses the likelihood of the particular risk, the level of preparedness of the facility, and the facility's ability to recover and mitigate future impacts.

Redbox operates a fleet of approximately 450 vehicles across the US, both combustion and hybrid sedans and SUVs, which collectively represent the largest source of the company's Scope 1 GHG emissions. To help reduce Scope 1 GHG emissions generated by its fleet, approximately 47% of Redbox's fleet are hybrid vehicles. In addition, in 2019 Redbox replaced 123 vehicles, or more than one-quarter of its fleet, with more fuel-efficient models. As a result, year-over-year fleet statistics improved dramatically: while total mileage driven increased by 4.5%, fuel consumption decreased by 1.7%, and total fleet MPG increased by 6.2%.

Ridgeback Resources prioritizes reducing its carbon footprint and impact on the environment through a variety of energy consumption and emissions reduction initiatives. In 2019, Ridgeback reduced Scope 1 GHG Emissions by 29,100 MT of CO_2 through the replacement or retrofitting of 238 high-bleed pneumatic devices with low- or zero-bleed alternatives at the company's Alberta sites. To further reduce emissions and energy consumption, Ridgeback also conducts a leak detection and repair (LDAR) program at facilities in Alberta in line with the Canadian Association of Petroleum Producers' best practices for the management of fugitive emissions. Ridgeback also has optimized pump-jack rates in its Southeast Saskatchewan business unit: by calibrating pump-jack rates to better suit fluid production volumes, Ridgeback has decreased electricity consumed on sites by some 8% in 2019.

1,371

vehicles replaced or retrofitted by reporting companies

In 2019, **Verallia** partnered with PUR Project, a social enterprise dedicated to regenerating global ecosystems, to establish a climate program to voluntarily offset the company's GHG emissions. Verallia has committed to an initial five-year period of reforestation and agroforestry projects in Latin America, which will lead to the planting of more than 100,000 trees per year and offset approximately 1% of the company's total GHG emissions each year. In Brazil, Verallia also supports Nordesta, the local partner of PUR Project, which works to protect water resources, restore biodiversity, and promote education in the Minas Gerais region near the Verallia Jacutinga plant. In addition, Verallia has established a program focused on the sustainable integration of the company sites into their local environments and landscapes. Through this initiative, Verallia supports the regeneration and preservation of local ecosystems by taking steps to reduce noise pollution, and by planting endemic species to support each area's natural biodiversity.

Lumileds mitigates its environmental impact through internal efficiency programs and by setting site-specific and company-wide targets and goals for environmental performance; these led to a 9% decrease in energy consumption in 2019. Examples of these initiatives include converting to LED lighting, upgrading heating systems, and shutting down equipment during low production periods to reduce energy consumption. Collectively, these efforts are expected to save more than 12.1 gWh of energy annually, equivalent to approximately $1.5 million per year. Beyond its own operations, Lumileds LED lighting products have helped end-users to reduce their GHG emissions by an amount 35 times greater than the company's own GHG emissions in 2019. Compared to conventional lighting, Lumileds products emitted 49% less total carbon dioxide in 2019, saving 3,766 kilotons of CO_2 in the illumination market. In the automotive market, LED products saved 162 kilotons of CO_2 compared to traditional lighting.

ESG Opportunities in Real Assets

70%

of third-party property managers reported having energy reduction initiatives in place

Several third-party property operators reported taking actions to reduce their GHG emissions in 2019. Two **Steelbridge Office Platforms** properties installed electrical regenerators on elevator motors to minimize energy consumption, and two **Cincinnati Office Portfolio** properties also modernized elevators to improve operational efficiencies. All four Cincinnati Office Portfolio properties owned by Apollo-managed funds have switched from fluorescent fixtures to new LED lighting with motion sensor detection, as have the **BCG Centre** and **1801 West End**. Other initiatives by third-party property operators focus on broader external strategies to counterbalance GHG emissions and support sustainable infrastructure. **Hyatt Houston**, for example, recently purchased carbon offsets, and Cincinnati Office Portfolio properties allow for the installation of beehives to encourage local sustainable conservation practices. **Volta Data Centre** has entered into a Climate Change Agreement with the UK Environmental Agency, which measures the data center's reduction of power usage based on predefined targets and has led the operator to procure energy exclusively from wind farms. At the **Tullahennel** wind farm, in County Kerry, Ireland, 13 turbines are equipped with integrated power storage technology that produces renewable energy even in the absence of wind, eliminating the need for conventional fossil fuel energy in still weather. In 2019, Tullahennel generated more than 99,000 MWh of renewable wind energy, which is equivalent to avoiding more than 257.5 million MT of CO_2.

Select Climate Action Data

Company	Scope 1 GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Scope 2 GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Total GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Ratio of Scope 1 GHG Emissions to Scope 2 GHG Emissions	Renewable Energy Use	GHG Emissions Reduction Initiatives	Percent of Sites with High or Extremely High Water Risk[1]	Climate-Related Risk
Consumer Discretionary								
Company A	13.9	3.8	17.7	3.7:1	—		—	—
Company B	—	135.4	135.4	—	⊗		—	
Company C	20.2	57.8	78.0	0.3:1	⊗		<25%	
Company D	—	—	—	—	—		—	—
Company E	30.9	51.9	82.8	0.6:1	✓		<25%	
Company F	—	—	—	—	✓		—	
Company G	—	2.2	2.2	—	⊗		—	
Company H	0.0	1.5	1.5	0.0:1	⊗		—	
Company I	0.0	24.6	24.6	0.0:1	⊗		—	
Company J	2.5	3.8	6.2	0.7:1	—		—	
Company K	2.1	6.5	8.6	0.3:1	✓		—	
Company L	—	15.6	15.6	—	⊗		—	
Company M	8.0	24.5	32.5	0.3:1	⊗		0%	
Company N	12.3	78.3	90.6	0.2:1	⊗		<25%	
Company O	3.6	12.6	16.2	0.3:1	✓		<25%	
Company P	—	—	—	—	⊗		<25%	
Company Q	8.8	1.0	9.8	8.7:1	⊗		—	
Company R	—	8.8	8.8	—	⊗		0%	
Consumer Staples and Healthcare								
Company A	2.3	14.9	17.2	0.2:1	⊗		—	
Company B	9.6	41.1	50.7	0.2:1	⊗		<25%	
Company C	21.0	40.6	61.5	0.5:1	⊗		<25%	
Energy								
Company A	1,548.5	13.6	1,562.1	113.7:1	⊗		0%	
Company B	1,788.0	—	1,788.0	—	⊗		0%	
Company C	221.3	65.1	286.4	3.4:1	⊗		>75%	
Company D	547.5	—	547.5	—	✓		0%	
Company E	26.8	7.0	33.8	3.8:1	⊗		0%	
Company F	0.8	1.8	2.5	0.4:1	⊗		0%	
Company G	67.3	49.3	116.7	1.4:1	⊗		<25%	
Company H	—	—	—	—	—		—	—
Company I	1,103.9	148.6	1,252.6	7.4:1	⊗		<25%	
Company J	521.2	205.5	726.6	2.5:1	⊗		>75%	
Company K	0.5	0.0	0.5	10,417.8:1	✓		0%	
Company L	843.1	71.1	914.2	11.9:1	⊗		0%	

Key Scope 1 GHG Emissions Reduction Initiatives; Scope 2 GHG Emissions Reduction Initiatives; Scope 3 GHG Emissions Reduction Initiatives; Company Has Not Identified Climate-Related Risks; Company Has Identified Climate-Related Risks; Company Has Identified and Monitors Climate-Related Risks; — Company Did Not Report

Select Climate Action Data

Company	Scope 1 GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Scope 2 GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Total GHG Emissions Intensity (MT of CO_2e/$MM revenue)	Ratio of Scope 1 GHG Emissions to Scope 2 GHG Emissions	Renewable Energy Use	GHG Emissions Reduction Initiatives	Percent of Sites with High or Extremely High Water Risk[1]	Climate-Related Risk
Financials								
Company A	—	0.2	0.2	0.0:1	⊗	Scope 2, Scope 3	—	Has Not Identified
Company B	1.6	0.1	1.7	14.4:1	⊗	Scope 1, Scope 2	—	Has Not Identified
Company C	0.1	0.4	0.5	0.3:1	✓	Scope 1, Scope 2, Scope 3	25%–49%	Has Identified and Monitors
Company D	69.1	1.7	70.7	41.0:1	⊗		—	Has Identified and Monitors
Company E	0.2	0.3	0.5	0.7:1	⊗		—	Has Not Identified
Company F	0.0	0.2	0.2	0.0:1	⊗		—	Has Not Identified
Company G	1.9	0.7	2.6	2.6:1	⊗	Scope 1, Scope 2	—	Has Identified
Company H	3.9	13.5	17.4	0.3:1	⊗	Scope 1	0%	Has Not Identified
Company I	4.6	0.0	4.6	—	✓		—	Has Not Identified
Company J	—	—	—	—	⊗		—	Has Identified and Monitors
Company K	—	1.6	1.6	—	⊗	Scope 1, Scope 2	0%	Has Identified and Monitors
Industrials and Materials								
Company A	108.1	3.8	111.9	28.3:1	⊗	Scope 1, Scope 2	<25%	Has Not Identified
Company B	965.5	190.0	1,155.5	5.1:1	✓	Scope 3	<25%	Has Identified and Monitors
Company C	1.2	0.8	2.1	1.4:1	⊗		—	Has Not Identified
Company D	10.3	71.6	82.0	0.1:1	⊗	Scope 2	0%	Has Not Identified
Company E	1,222.0	1.3	1,223.3	906.1:1	⊗	Scope 1, Scope 2, Scope 3	0%	Has Identified and Monitors
Company F	511.4	195.6	706.9	2.6:1	⊗	Scope 2	>75%	Has Identified
Company G	11.9	70.2	82.1	0.2:1	⊗	Scope 1, Scope 2, Scope 3	<25%	Has Identified and Monitors
Company H	212.9	5.3	218.2	40.5:1	⊗	Scope 1, Scope 2	<25%	Has Not Identified
Company I	15.7	3.6	19.3	4.3:1	✓	Scope 1, Scope 2, Scope 3	<25%	Has Not Identified
Information Technology and Communication Services								
Company A	0.2	50.3	50.4	0.0:1	✓	Scope 2, Scope 3	—	Has Identified and Monitors
Company B	0.3	2.3	2.6	0.1:1	⊗	Scope 1, Scope 3	—	Has Not Identified
Company C	2.2	8.7	10.8	0.3:1	⊗	Scope 1	25%–49%	Has Not Identified
Company D	0.2	31.7	31.9	0.0:1	⊗	Scope 1, Scope 2	—	Has Not Identified
Company E	7.4	8.4	15.8	0.9:1	✓	Scope 1, Scope 2, Scope 3	—	Has Identified and Monitors

Key Scope 1 GHG Emissions Reduction Initiatives; Scope 2 GHG Emissions Reduction Initiatives; Scope 3 GHG Emissions Reduction Initiatives; Company Has Not Identified Climate-Related Risks; Company Has Identified Climate-Related Risks; Company Has Identified and Monitors Climate-Related Risks; — Company Did Not Report

1. Applicable to companies that require the use of water in operations only.

Respect for Workers

Teams with higher employee engagement enjoy lower costs, a safer workforce, and generally outperform their peers. Since the inception of Apollo's ESG Program, the firm has recognized the links between employee engagement, safety, and reporting company performance.



The Challenge

How to help veterans find the right jobs for their talents and skills?

The Opportunity

Develop a website that aggregates job openings and matches military skills and talents to employers' needs.

As one of the world's largest alternative investment managers, Apollo is uniquely positioned to help veterans find opportunities for meaningful employment. US Bureau of Labor Statistics data shows that, in 2019, there were 284,000 unemployed veterans, more than 60% of them between the ages of 18 and 54. Apollo-managed funds invest in many companies committed to hiring and retaining veterans, National Guard, Reserve, and military spouses and partners, as part of attracting and retaining a diverse and talented workforce. To help them achieve this objective, we launched the Apollo Veterans Talent Network website in 2019. It aggregates more than 8,000 job openings across companies owned by Apollo-managed funds, and allows veterans to search directly by their military occupational specialty (MOS) code, Air Force Specialty Code (AFSC), or Navy Enlisted Classification (NEC) code to find civilian jobs that match their experience.

Workforce Data Overview

290,000+

reporting company employees

11,300+

new hires by reporting companies in 2019

FIGURE 45

Percent of Reporting Company Employees Who Identify as Female

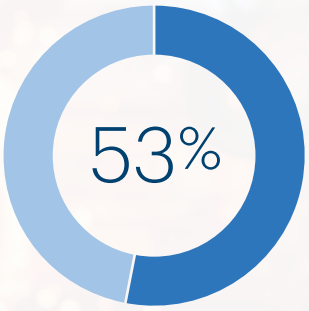
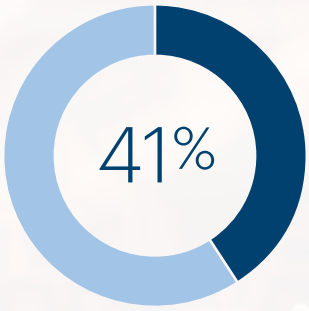


FIGURE 46

Percent of 2019 New Hires by Reporting Companies Who Identify as Female



10,000+

reporting company employees who identify as veterans, National Guard, or Reservists

3,000+

new hires by reporting companies in 2019 who identify as veterans, National Guard, or Reservists

Employee Engagement, Workforce Safety, and Workforce Diversity

Employee Engagement

FIGURE 47

Percent of Reporting Companies with Employee Engagement Initiatives

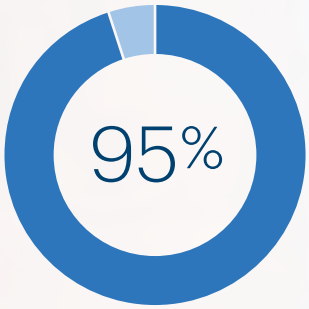
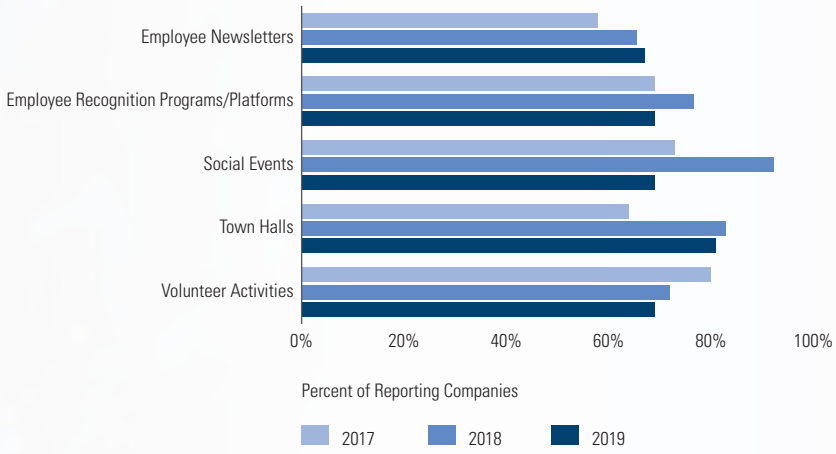


FIGURE 48

Reporting Company Employee Engagement Initiatives



Workforce Diversity

FIGURE 51

Reporting Company Diversity Initiatives

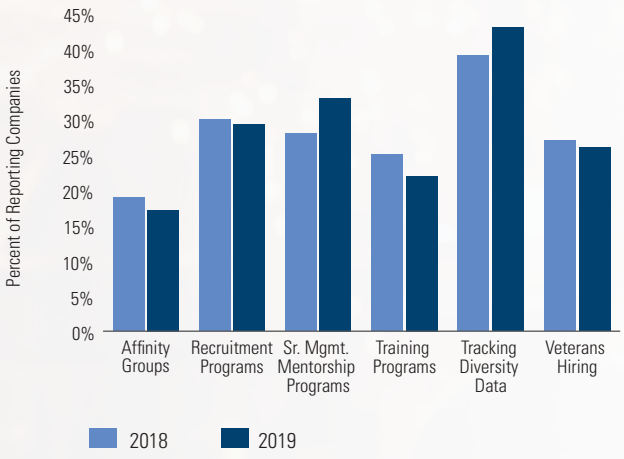
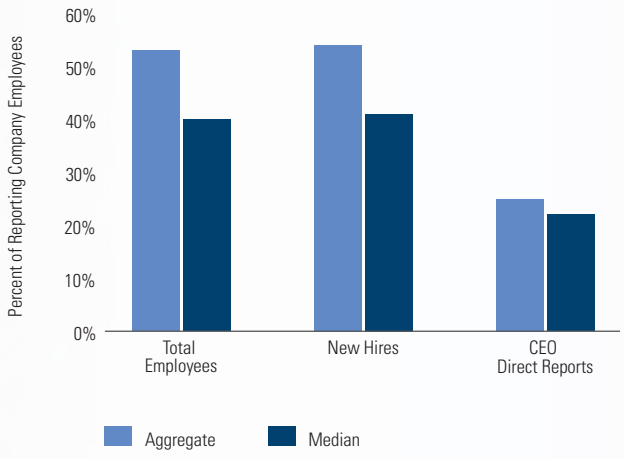


FIGURE 52

Gender Diversity of Reporting Company Employees



Workforce Safety

FIGURE 49

Percent of Reporting Companies with Employee Safety Initiatives

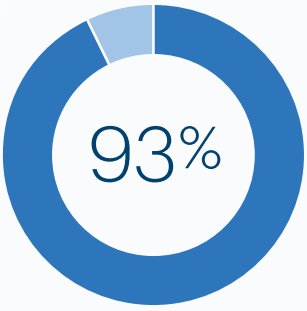
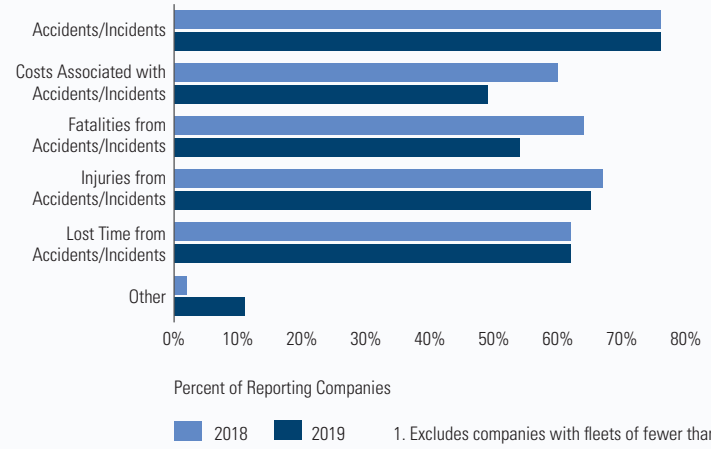


FIGURE 50

Types of Driver Safety Indicators Tracked by Reporting Companies[1]



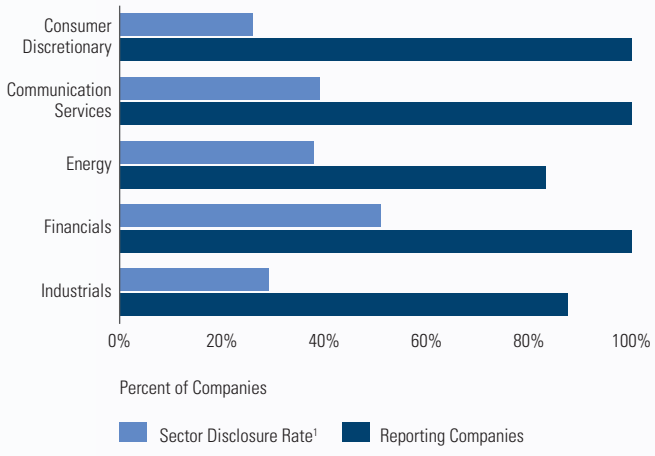
1. Excludes companies with fleets of fewer than 10 vehicles.

12 reporting companies with zero safety incidents in 2019

81% of reporting companies with fleets have driver safety initiatives

FIGURE 53

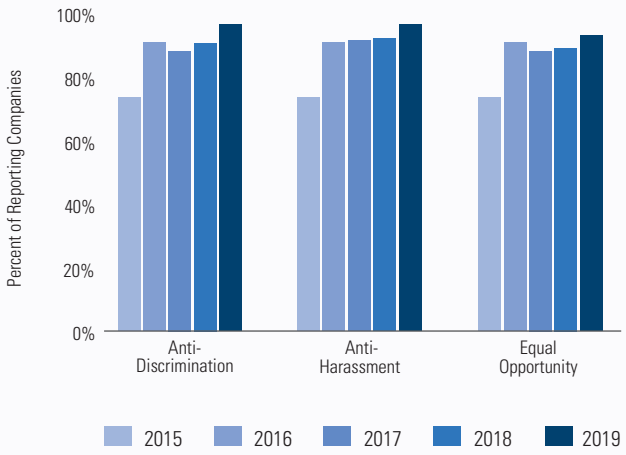
Reporting Companies' Disclosure of Workforce Gender Diversity vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

FIGURE 54

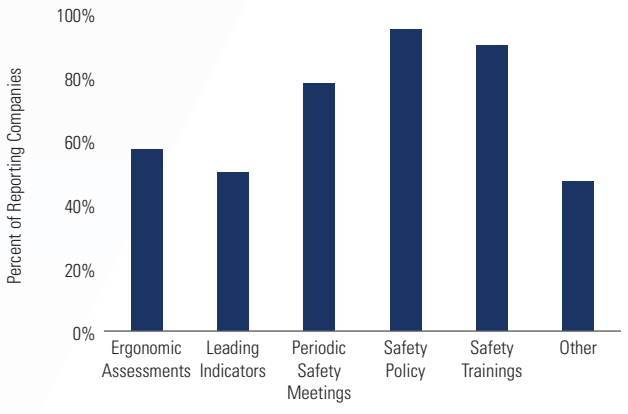
Percent of Reporting Companies with Anti-Discrimination, Anti-Harassment, and Equal Opportunity Policies



With a fleet of approximately 6,500 vehicles, **ADT** prioritizes driver safety and has instituted several programs, including the ADT Motor Vehicle Record (MVR) program, to improve fleet safety performance. Using MVR data, drivers are ranked based on their safety performance, and incidents are reviewed and used to assign driver-specific safety training. All company drivers have access to online training modules that cover topics such as speeding, collision avoidance, lane change techniques, and distracted driving. In addition to ongoing safety training, ADT has added new safety technology in upgraded vehicles, such as collision warning and autonomous braking. As a result of these and other efforts, ADT's 2019 total recordable injury incident rate was cut by 49% to 1.07, and the total LTIR was cut by 50% to 0.34, compared to the baseline year of 2012. During the same period, the company also achieved a significant 41% reduction in days lost. Even with the addition of 2,000 new vehicles to the company's fleet in the past two years, the numbers of injuries and collisions per million miles driven have been reduced by 35% and 10%, respectively, since 2012. As a member of the Network of Employers for Traffic Safety, a collaborative group of employer road safety professionals, the company regularly benchmarks its safety programs to identify those that have been effective at other companies, and which ADT could adopt.

FIGURE 55

Reporting Companies' Workforce Safety Initiatives by Type



An office-based company, **Catalina** focuses on employee wellness by periodically undertaking ergonomic assessments. In the UK, the company has a trained and dedicated employee to conduct individualized ergonomic assessments upon request, to ensure all employees benefit from a safe and healthy working environment.

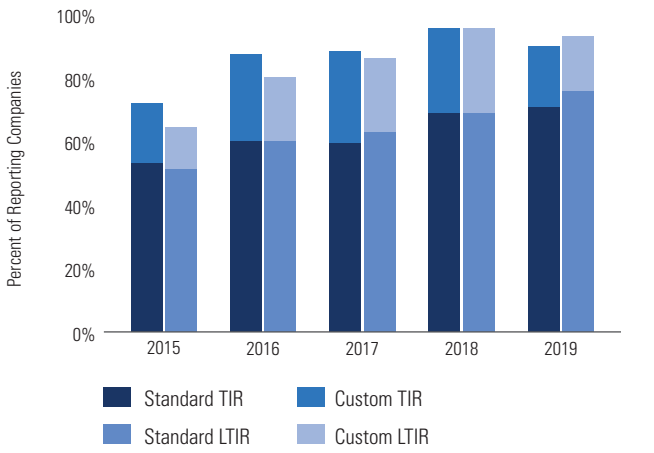
In addition to maintaining OHSAS 18001 certification, **ecoATM**'s processing facility in Louisville, KY, has a number of health and safety initiatives in place that have helped the company to achieve its goal of zero lost time due to injury for four consecutive years. The facility's safety teams meet monthly, conduct evacuation drills twice a year, and complete annual safety hazard assessments for each department and workstation. In addition to focusing on workforce health and safety, ecoATM also engages employees through a recognition program that promotes positive behaviors and fosters employee wellness. Through this program, employees can recognize their colleagues for workplace achievements to earn points that can be redeemed for cash or donated to charity. ecoATM also held several events in 2019 to foster engagement and team building, including a San Diego Padres baseball game and barbecue, chili contest, Office Olympics, and recreational game tournaments.

To achieve and maintain safety across all its business units, **Shutterfly** has implemented numerous initiatives to prevent hazards and incidents. In 2019, Shutterfly's manufacturing units demonstrated industry-leading performance with a TRIR of 1.03 (compared to industry top quartile TRIR of 1.30) and a DART of 0.81, well below the industry average DART of 1.20. All Shutterfly locations take part in regular safety communications through weekly emails, signs, and flyers posted throughout the facilities. One of the most effective methods for communicating important safety messages is the company's Safety TV program, which displays recurring Shutterfly-branded safety reminders and tips on easily visible screens placed throughout its facilities. In addition to regular safety communications, Shutterfly has employee safety committees at several locations that meet regularly to review safety incidents, expand safety culture, and ensure employees are trained and prepared for responding to potential emergencies. To help ensure that safety issues are quickly identified and resolved, Shutterfly uses a centralized safety management system for incident reporting, hazard identification, and maintaining corrective actions.

Ensuring safety in the workplace is of the utmost importance to **Maxim Crane**, as evidenced by the company's industry-leading Experience Modification Rate of 0.54 (vs. the industry average of 1.0). The company conducts approximately 350 unannounced job site audits per month, in which members of the safety, operations, and sales divisions visit sites in person and review all facets of crane location and

FIGURE 56

Reporting Companies' Disclosure of Incident Rates and Lost-Time Incident Rates



operations. Auditors ensure that sites are compliant with company policies and federal, state, and local laws with regard to crane setup, rigging inspections, personal protective equipment, and overall hazard risks. One notable improvement resulting from these audits was a significant decrease in hand and finger injuries in 2019 due to Maxim Crane's impact- and cut-resistant glove program, which requires all field employees to wear proper protective hand gear. In addition to audits, Maxim Crane has implemented a Safety Incentive Program for field employees, awarding each employee bonus compensation for every calendar quarter in which at least 400 hours were worked incident- or accident-free. Since the introduction of this program, losses have decreased across all lines of business, and average employee attendance at the company's quarterly All Hands Safety Meetings has reached over 90%.

As an insurance and reinsurance provider, **Amissima** offers its financial services to the benefit of all its employees and their families. Each year, the company allocates approximately €520,000 (up to €90,000 per employee) to help employees who are first-time home buyers to purchase a house. For employees who commute to work, Amissima offers grants of up to €10,000 each toward the purchase of a car. To support education in the technical and administrative field, Amissima reimburses admission fees to first- and second-level university courses, and provides financial contributions to help employees enrolled in high school or university to purchase textbooks. In addition, the company provides paid time off for student employees to prepare for their exams. Amissima also offers supplementary healthcare assistance for specialist visits and surgical procedures, an extra benefit in addition to the Italian public healthcare system's services; and provides some employees up to €500 per year for childcare expenses.

CareerBuilder has taken several steps to improve employee engagement and development, including conducting annual surveys, fostering employee-driven committees, and offering free career development programs and tuition reimbursement. After analyzing its 2019 employee engagement survey results, CareerBuilder identified weaknesses and gaps and set group goals for 2020. Through focus groups and roundtable discussions, employees and managers collaborated to identify engagement opportunities, and as a result, CareerBuilder implemented company-wide meetings to help bring its workforce together. As part of the company's 2019 Aligning for Growth initiative, CareerBuilder recently opened applications for Lean Six Sigma (LSS) certification, a program offering fact-based, data-driven training for team collaboration and operational excellence. The company's senior leaders serve as LSS Champions and selected LSS trainees to support, align, and integrate the launch of the new certification across the workforce.

From recruitment to employment, **Coinstar** is proud to support its workforce with a variety of diversity and engagement initiatives. To foster an inclusive workplace, Coinstar recruits through a number of diversity sites, including special hiring programs for veterans. In 2019, 6.8% of Coinstar's new US-based hires self-identified as having a military service background. Coinstar measures workplace satisfaction by conducting annual employee surveys, which are used by Executive Committee leaders and managers to address employees' concerns and to reach out with targeted communications. Coinstar holds quarterly town hall meetings to provide employees with business updates and opportunities to interact with senior leadership. At each town hall, two peer awards are presented to exemplary employees: the STAR award, to employees who demonstrate outstanding achievement and embody company values, and the Collaboration Cup, awarded to a team that has demonstrated teamwork and a positive attitude that has contributed to the company's success.

Rackspace's central philosophy is to create an environment where every employee is valued. In 2019, Rackspace reviewed and improved its Always Listening

engagement strategy by analyzing data from RackPulse, an annual employee survey that measures key drivers of engagement. Recent survey results showed, for example, that employees wanted more substantial interaction with the Executive Leadership team, which resulted in the enhancement of the Racker Chat program. These "chats" are one-hour, informal small group conversations between senior leaders and employees from around the globe, with feedback gathered after each meeting to inform future sessions. Through the RackPulse survey, employees also shared that they wanted more learning opportunities to refine professional skills. Rackspace responded by implementing a 52-hour Learning and Development Program, encouraging employees to log 52 hours of work time to focus on their career development goals. In addition, employees who develop new processes to increase business or customer efficiency, among other accomplishments, can be nominated for recognition in the quarterly Racker to the Core program, which highlights how Rackspace employees take an active role in shaping their workplace.

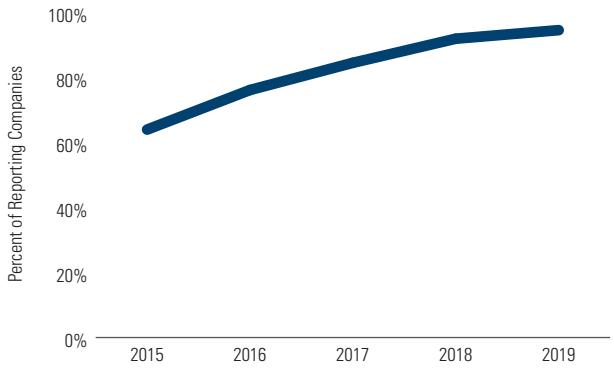
The **University of Phoenix** has demonstrated its commitment to diversity by establishing a Diversity and Inclusion Council providing strategic direction for its diversity programs. The company takes a data-driven approach by monitoring workforce race and gender data, veteran status, and disability status, to identify patterns in promotions, hires, and attrition rates in each category. The company's diversity and inclusion efforts were recognized by several third parties in 2019, including the Human Rights Campaign's Corporate Equality Index, which scored the University 100% for the third consecutive year, and Minority Access Incorporated, a nonprofit organization that recognized the University as an Institution Committed to Diversity.

In 2019, **Aspen** launched Aspen Cultural Transformation (ACT), a diversity working group. ACT was formed to develop an effective and pragmatic global diversity and inclusion vision and strategy for the company. Aspen also created the Aspen Advocates Network (AAN) in 2019 to create a community of support for Aspen employees. Since the initial request for volunteers, 67 Aspen colleagues have volunteered to serve as Aspen Advocates. The goal of the AAN is to "support, equip and encourage colleagues to address issues, spotlight best practices and call out bad behavior," furthering the development and implementation of Employee Engagement Action Plans, and acting as a link between employees and senior leaders.

In addition to its corporate EHS function, **American Petroleum Partners (APP)** continued its partnership with a web-based EHS platform that manages the company's safety surveys and statistics, training, and compliance tracking. Management receives weekly reports with leading indicators, such as behavioral-based observations, safety survey results, and corrective action completion progression. Because APP's labor force consists primarily of contractors, in 2019 APP piloted a behavioral-based program to ensure contractor safety during the completion phase of operations. Throughout the 60-day pilot program, APP collected 70 cards resulting in 43 unsafe and 34 safe observations, leading to immediate corrective or preventative actions. Such actions were primarily due to findings from routine audits and inspections, which in 2019 focused on active drilling and completions activities. The remediation or complementary actions helped APP's service partners in 2019 to achieve zero fatalities, zero lost-time injuries, and a zero percent incident rate in the completion phase of operations. Overall, APP service providers achieved a TRIR of 0.154, and for the third consecutive year, APP employees accomplished their goal of zero fatalities, zero lost-time injuries, and a zero percent incident rate.

FIGURE 57

Reporting Companies' Disclosure of Voluntary Turnover Rate



Smart & Final prioritizes the safety and well-being of its employees through a series of strong initiatives, starting with monthly safety team meetings in each store, distribution center, and transportation operation. Assistant managers at each store are designated as Safety Coaches to ensure safety compliance and provide safety leadership, and all store associates and managers complete safety training modules every four weeks using the company's SmartYOU learning management

system. Smart & Final organizes company raffles at its distribution centers to celebrate consecutive-day milestones reached without safety incidents, and through its SpotLight program recognizes store associates who demonstrate exemplary safety behavior in the workplace. The company also understands that ensuring the well-being of employees and their families often requires actions beyond the workplace. Through its Smart & Final Education Foundation Scholarship Program, the company has committed itself to the education and professional growth of employees by awarding more scholarship funds to associates and their dependent children than any other retail partner in the California Grocers Association. Every year, the program offers $150,000 in educational funding, with 60 scholarships awarded in 2019 alone. Since its inception, the company has awarded 834 scholarships totaling more than $1.6 million to Smart & Final employees.

Chisholm emphasizes employee health and safety, and in 2019, hired an EHS Specialist to implement monthly safety training sessions, organize location-specific safety inspections, and expand incident reporting procedures. The EHS Specialist also assisted with the company's adoption and revision of a number of policies in 2019, including the company's health and safety policy, driving policy, and emergency response plans.

Express Energy strategically addressed operational risks through new initiatives and technologies centered on improving worker health and safety. In February 2019, members of Express Management convened to identify concrete solutions for improving and enhancing the company's safety culture, leading to the development of a charter now displayed in all shops and offices. To further these efforts, Express introduced a new health and safety incident software platform that manages incidents through real-time notifications, reporting, and corrective action tracking and analysis. Through the new platform, Express can ensure that its checklists for field audits, vehicle inspections, and workplace inspections are visible and easily accessible to its workforce. To address driver safety, Express reviewed policies and procedures surrounding driving, and held company-wide stand-down meetings on driver safety. These efforts were accompanied by the assignment of defensive-driving online training and telematics connectivity with behavioral ratings.



ESG Opportunities in Real Assets

83%

of property managers reported having employee engagement initiatives in place

To establish strong lines of communication between management and employees, 56% of third-party property operators report hosting employee town halls in 2019. Some, like **Eclipse Senior Living**, went even further by providing weekly communication digests and newsletters to keep employees informed of company developments, and to gather employees' feedback through surveys. The **Cincinnati Office Portfolio** also conducted an employee satisfaction survey in 2019, whose results led it to review online platforms to develop training sessions for both engineering and property staff. Other real assets, such as **Hyatt Houston** and **Viseen Industrial Park**, have focused on institutional diversity measures. At Hyatt, business resource groups such as Women of Hyatt and HyPride offer professional spaces in which employees build connections and help ensure that, when the company makes policy decisions, its goals take into consideration the needs of all employees. Viseen tracks workforce diversity data and performance data such as age, seniority, and individual achievements to help analyze opportunity structures within the company. In addition to employee engagement initiatives, nearly three-fourths of property operators reporting had formal safety initiatives in place in 2019. The Cincinnati Office Portfolio has made online safety training courses available to all employees, and Hurstville Central holds quarterly staff updates to review workplace health and safety from a group perspective, as well as monitoring daily in the course of business.

Select Respect for Workers Data

Company	Employee Engagement and/or Diversity Initiatives	Percent of Employees Who Are Female[1]	Percent of Employees Who Are Veterans[2]	Percent of Direct Reports to CEO Who Are Female[1]	Percent of Direct Reports to CEO Who Are Veterans[2]	Voluntary Turnover Rate (VTR)	Total Incident Rate (TIR)	Lost-Time Incident Rate (LTIR)	Anti-Discrimination	Anti-Harassment	Equal Opportunity	Health and Safety
Consumer Discretionary												
Company A	✓	32%	3%	20%	0%	28%	1.1	0.3	◐	◐	◐	◐
Company B	✓	58%	0%	29%	0%	—	—	—	◐	◐	◐	◐
Company C	✓	53%	2%	14%	0%	44%	11.0*	9.0*	◐	◐	◐	◐
Company D	✓	35%	8%	33%	0%	14%	4.0	2.0	◐	◐	◐	◐
Company E	✓	47%	—	11%	0%	99%	0.3	0.3	◐	◐	◐	◐
Company F	✓	61%	0%	43%	0%	23%	—	—	◐	◐	◐	◐
Company G	✓	48%	1%	27%	0%	38%	10.0*	24.5*	◐	◐	◐	○
Company H	✓	44%	3%	25%	12%	16%	0.0	0.0	◐	◐	◐	◐
Company I	✓	57%	6%	22%	11%	7%	0.5	0.2	◐	◐	◐	◐
Company J	✓	26%	8%	50%	15%	9%	2.0	0.7	◐	◐	◐	◐
Company K	✓	86%	0%	47%	0%	29%	0.5*	5.0*	◐	◐	◐	◐
Company L	✓	58%	1%	20%	0%	10%	0.2	0.1	◐	◐	◐	○
Company M	✓	53%	0%	40%	0%	15%	0.8	0.7	◐	◐	◐	◐
Company N	✓	37%	—	60%	—	46%	4.0	0.5	◐	◐	◐	◐
Company O	✓	67%	—	22%	—	61%	1.6	1.2	◐	◐	◐	◐
Company P	✓	44%	—	60%	—	32%	5.1	0.2	◐	◐	◐	◐
Company Q	✓	21%	4%	33%	0%	8%	2.8	1.7	◐	◐	◐	◐
Company R	✓	68%	0%	80%	0%	22%	41.0*	2,032.0*	◐	◐	◐	◐
Consumer Staples and Healthcare												
Company A	✓	44%	—	25%	—	37%	6.3	2.8	◐	◐	◐	◐
Company B	✓	53%	—	2%	0%	101%	4.9	2.3	◐	◐	◐	◐
Company C	✓	81%	14%	40%	0%	21%	5.4	1.3	◐	◐	◐	◐
Energy												
Company A	✓	27%	7%	0%	0%	0%	0.2	0.0	◐	◐	◐	◐
Company B	✓	32%	0%	29%	0%	0%	0.5	0.3	◐	◐	◐	◐
Company C	✓	18%	0%	33%	0%	9%	0.0	0.0	◐	◐	◐	◐
Company D	✓	16%	5%	14%	0%	5%	0.5	0.1	◐	◐	◐	◐
Company E	✓	10%	10%	0%	33%	38%	1.3	1.3	◐	◐	◐	◐
Company F	✓	28%	6%	14%	0%	0%	0.0	0.0	◐	◐	◐	◐
Company G	✓	—	—	—	—	—	0.0	0.0	○	○	○	◐
Company H	—	10%	2%	11%	0%	58%	0.9	0.1	◐	◐	◐	◐
Company I	✓	21%	9%	20%	0%	3%	3.0	3.0	◐	◐	◐	◐
Company J	✓	28%	0%	12%	0%	0%	0.0	0.0	◐	◐	◐	◐
Company K	✓	23%	0%	50%	0%	3%	0.0*	0.0*	◐	◐	○	◐
Company L	✓	40%	0%	33%	0%	5%	1.0	0.0	○	◐	○	◐

Key ○ No Policy or Training in Place ◐ Policy in Place ◑ Training in Place ● Policy and Training in Place — Company Did Not Report

Select Respect for Workers Data

Company	Employee Engagement and/or Diversity Initiatives	Percent of Employees Who Are Female[1]	Percent of Employees Who Are Veterans[2]	Percent of Direct Reports to CEO Who Are Female[1]	Percent of Direct Reports to CEO Who Are Veterans[2]	Voluntary Turnover Rate (VTR)	Total Incident Rate (TIR)	Lost-Time Incident Rate (LTIR)	Anti-Discrimination	Anti-Harassment	Equal Opportunity	Health and Safety
Financials												
Company A	✓	40%	0%	16%	0%	17%	0.0	0.0	◐	◐	◐	◐
Company B	✓	67%	3%	27%	0%	18%	0.7	0.2	◐	◐	◐	◐
Company C	✓	50%	2%	0%	0%	16%	19.0*	3.0*	◐	◐	◐	◐
Company D	✗	40%	0%	2%	0%	8%	0.0	0.0	◐	◐	◐	◐
Company E	✓	36%	0%	13%	0%	6%	7.0*	2.7%*	◐	○	◐	◐
Company F	✗	34%	0%	33%	0%	24%	0.0	0.0	◐	◐	◐	◐
Company G	✓	43%	0%	12%	0%	19%	0.0	0.0	◐	◐	◐	◐
Company H	✓	73%	0%	36%	—	5%	2.0*	123.0*	◐	◐	○	◐
Company I	✓	51%	0%	29%	0%	4%	0.7	1.2	◐	◐	◐	◐
Company J	✓	47%	1%	17%	0%	53%	5.0*	156.0*	◐	◐	◐	◐
Company K	✓	45%	0%	18%	0%	4%	4.1	2.8	◐	◐	◐	◐
Industrials and Materials												
Company A	✓	7%	4%	10%	10%	2%	0.4	0.2	◐	◐	◐	◐
Company B	✓	17%	—	10%	—	4%	55.0*	52.0*	◐	◐	◐	◐
Company C	✓	38%	4%	0%	0%	15%	0.5	0.6	◐	◐	◐	◐
Company D	✓	—	0%	10%	0%	1%	—	—	◐	◐	◐	◐
Company E	✓	45%	2%	38%	13%	67%	5.1	25.3	◐	◐	◐	◐
Company F	✓	22%	6%	0%	0%	3%	0.0	0.0	◐	◐	◐	◐
Company G	✓	51%	0%	38%	0%	16%	0.2	0.2	◐	◐	◐	◐
Company H	✓	1%	—	9%	0%	—	0.9	0.4	◐	◐	◐	◐
Company I	✓	24%	0%	27%	0%	20%	0.4	0.2	◐	◐	◐	◐
Information Technology and Communication Services												
Company A	✓	22%	5%	30%	0%	20%	0.3	0.0	◐	◐	◐	◐
Company B	✓	8%	0%	0%	0%	18%	0.0	0.0	◐	◐	◐	◐
Company C	✓	51%	3%	20%	0%	16%	1.2	0.2	◐	◐	◐	◐
Company D	✓	43%	—	29%	—	43%	317.0*	62.0*	◐	◐	◐	○
Company E	✓	38%	4%	45%	0%	20%	1.4	0.6	◐	◐	◐	◐

Key ○ No Policy or Training in Place ◐ Policy in Place ◑ Training in Place ◐ Policy and Training in Place — Company Did Not Report

* Indicates a custom safety metric was reported.
1. Reflects percentage who self-identify as female.
2. Reflects percentage who self-identify as veterans, National Guard, or Reservists.

Responsible Citizenship

Responsible corporate citizenship not only makes good business sense, but also is a necessary condition for future financial prosperity. Apollo and reporting companies alike recognize that stakeholders' trust is earned by taking responsible actions to safeguard their employees and the communities in which they operate.



The Challenge

How to take a quantitative approach to measuring community engagement?

The Opportunity

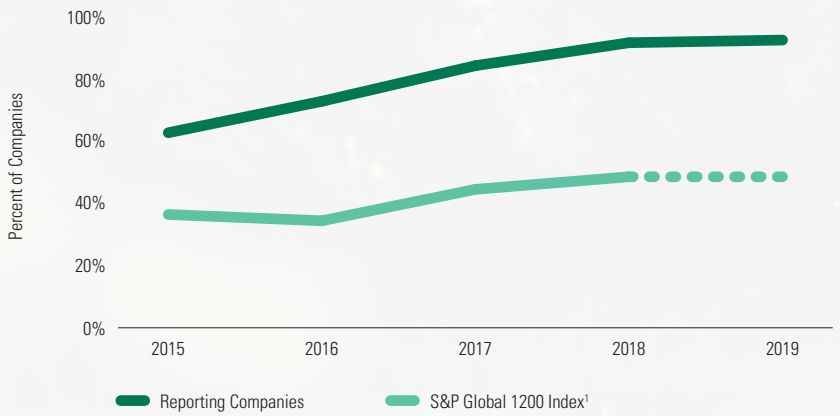
Adopt quantitative reporting for charitable donations and volunteering at every level

Apollo believes that companies cannot manage what they cannot measure, but traditionally, businesses report their charitable and community activities qualitatively — through anecdotes or narrative descriptions. Indeed, only 24% of companies globally, and only 8% of companies in the Russell 3000 disclosed quantitative dollar amounts of their charitable contributions in 2018, according to The Conference Board and Bloomberg. Apollo asks companies to report their charitable donations at the corporate, customer, and employee levels, as well as employee volunteer hours. Apollo believes that this approach better positions companies to manage their community engagement and corporate citizenship efforts, and to build on existing programs to more effectively support charitable causes.

Responsible Citizenship Data Overview

FIGURE 58

Reporting Companies' Disclosure of Charitable Donations vs. Index Benchmark



1. TCB/Bloomberg (2019). Disclosure rate for 2019 is projected.

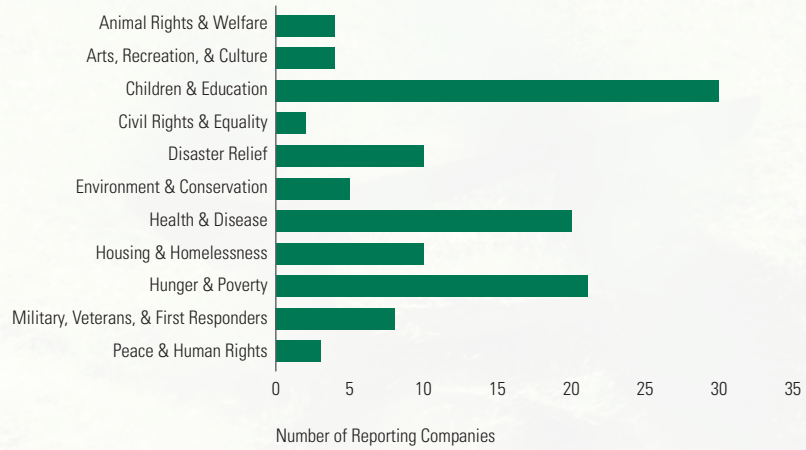
$24M+
in monetary and in-kind donations made by reporting companies

150K+
hours volunteered by reporting company employees

$929M+
paid in state and local taxes by reporting companies

FIGURE 59

Reporting Companies' Charitable Giving by Cause



Community Engagement, Human Rights & Supply Chain, and Third-Party Certifications

Community Engagement

FIGURE 60

Total Monetary and In-Kind Donations Made by Reporting Companies, Employees, and Customers

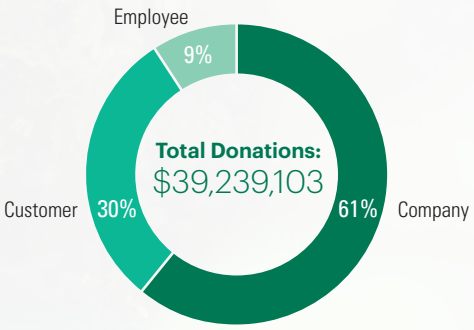


FIGURE 61

Reporting Companies' Community Engagement Initiatives by Type

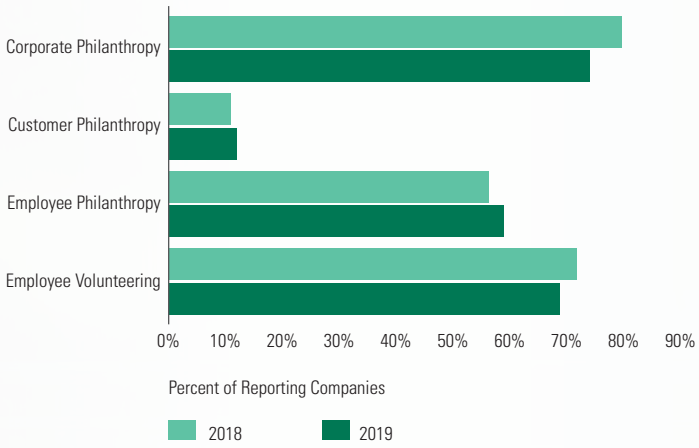
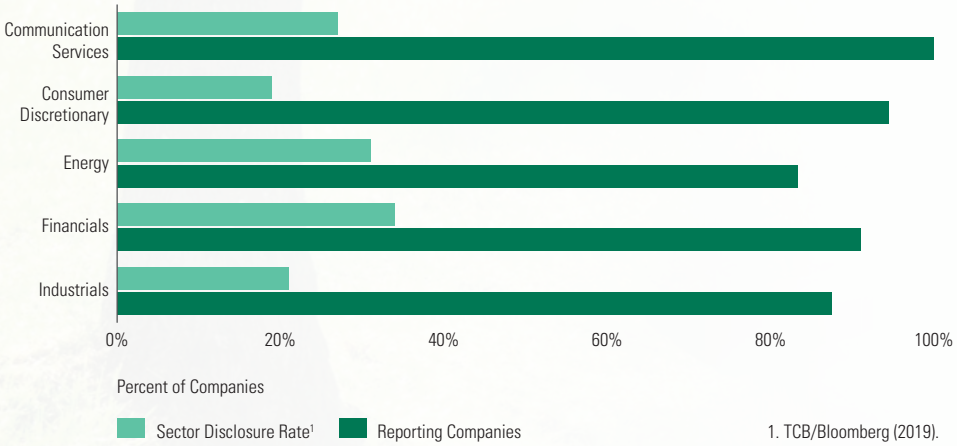


FIGURE 62

Reporting Companies' Disclosure of Charitable Donations vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

15

reporting companies have formalized environmental stewardship efforts

Community Engagement, Third-Party Certifications, and Human Rights & Supply Chain

FIGURE 63

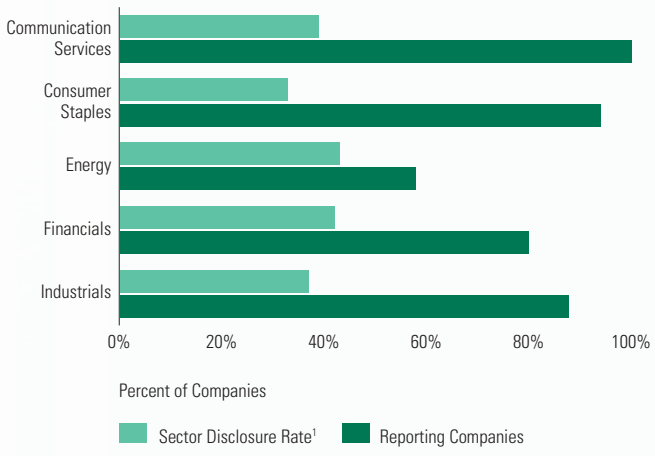
Select Examples of Third-Party Certifications Maintained by Reporting Companies

- AS/NZS 4801 (Occupational Health and Safety Management — Australia/New Zealand)
- Audubon International (Environmental Certification for Hospitality and Golf Courses)
- Better Work (Garment Industry Working Conditions)
- ENERGY STAR
- Fair Trade USA Certified
- Forest Stewardship Council
- IATF 16949:2016 (Quality Management for Automotive and Automotive Part Manufacturing)
- ISO 14001 (Environmental Management)
- ISO 27001 (Information Security Management)
- ISO 50001 (Energy Management)
- ISO 9001 (Quality Management)
- LEED
- Non-GMO
- NSF International Sustainability
- OHSAS 18001 (Occupational Health and Safety Management)
- PCI (Consumer Financial Information Management)
- Responsible Jewellery Council
- SS 577 (Water Efficiency Management Systems — Singapore)
- SSAE 18 (Information Security Standards and Controls)
- Standard 100 by OEKO-TEX (Fabric Safety Inspection)
- TÜV SÜD CMS Standard 82 (Green Electricity)
- USDA Organic
- WasteWise Certification
- Worldwide Responsible Accredited Production (Garment Production Social Compliance)

Human Rights & Supply Chain

FIGURE 64

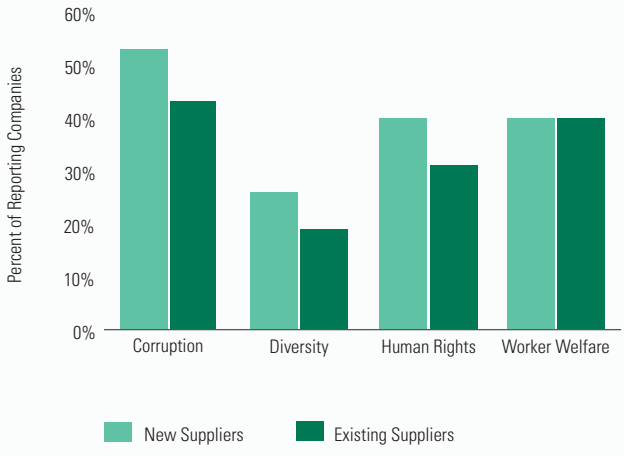
Reporting Companies' Disclosure of Human Rights Initiatives vs. Sector Benchmarks



1. TCB/Bloomberg (2019).

FIGURE 65

Supplier Issues Evaluated by Reporting Companies

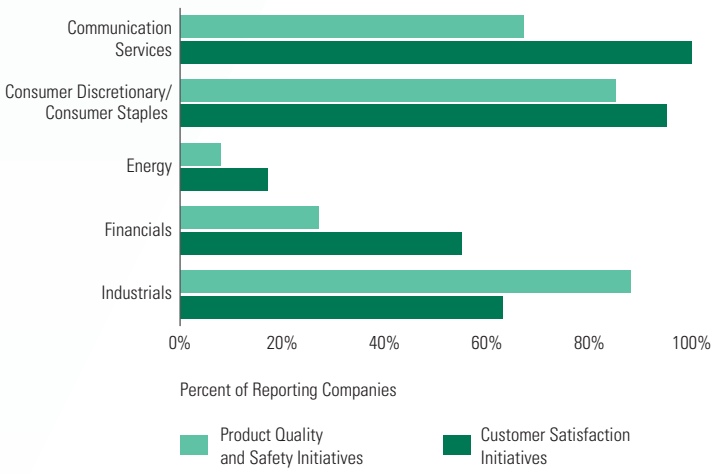


In 2019, **ADT** contributed $40,000 to the National Volunteer Fire Council and volunteer fire departments to raise awareness about the need for volunteer firefighters across America. One way that ADT honors its commitment to first responders is through the ADT LifeSaver Award program — monetary grants to police, fire, and EMT agencies. Once a month, ADT reunites customers with employees who helped save them from home fires, carbon monoxide, or other medical emergencies, and those employees are presented with the company's highest honor, the LifeSaver Award. In 2019, ADT presented LifeSaver awards to 46 employees who performed heroic acts, and the company offered $105,000 in grants to more than a dozen fire departments that helped rescue ADT customers from near-death experiences.

In 2019, **Catalina** committed £5,000,000 to help accelerate research into mesothelioma, an aggressive form of lung cancer related to asbestos exposure. Through a partnership with the British Lung Foundation, a UK-based charity that promotes lung health and supports those affected by lung disease, Catalina will make an annual contribution of £1,000,000 over the next five years. The company hopes that its support will make a significant difference, leading to earlier mesothelioma diagnoses, and eventually to finding a cure or treatment. In addition to supporting charitable causes, Catalina strives for customer satisfaction by taking steps to identify, implement, and monitor controls associated with mitigating risks that could prejudice policyholders. Catalina has implemented a Conduct Risk Framework centered around its corporate values, code of conduct, and risk policy. The Conduct Risk Framework identifies the main stakeholders in Catalina's culture, such as consumers, policyholders, or third-party claimants, and emphasizes the importance of maintaining a strong corporate culture and practicing ethical behavior to protect stakeholders and maintain regulatory compliance.

FIGURE 66

Percent of Reporting Companies with Consumer Satisfaction and Product Quality and Safety Initiatives by Sector



By making full use of technology, **ecoATM** has developed a safe and secure solution that offers consumers both convenience and an immediate financial incentive for recycling more of their used electronic devices. In 2019, nearly 5 million consumer electronic devices were submitted to ecoATM kiosks to be refurbished or properly recycled, reducing the amount of toxic electronic waste entering the environment. The company's commitment to responsible citizenship extends beyond its environmental stewardship to its customer service. ecoATM's customer satisfaction program strives for timely responses to customer inquiries by phone, email, social media, or online chat; the company also performs random call center agent audits to ensure customer satisfaction.

Shutterfly hosted more than 40 volunteer programs in 2019, including the company's 16th annual Memory Mission trip, which enabled employees and their partners to travel to Puerto Rico to help rebuild a school destroyed by Hurricane Maria. In 2019, Shutterfly's total philanthropic and volunteer efforts resulted in 2,800 volunteer hours and more than $470,000 in charitable donations to nonprofit organizations via grants, employee donations, and corporate contributions. The company also partnered with Baby2Baby, a nonprofit organization providing essentials to children who live in poverty, donating 8,000 diapers and wipes to mothers and children in need. In addition to traditional philanthropic efforts, Shutterfly also builds awareness of the company's local impact by participating in local Chamber of Commerce groups and, where possible, recruiting local hires when opening new offices.

In 2019, **Amissima** made it a priority to assist charitable organizations helping to support those living in poverty, and children in need. The company donated €27,778 to the Francesca Rava Foundation, an Italian nonprofit organization that facilitates distance adoptions and raises awareness about children's rights and volunteering opportunities. Amissima helped support children with

central nervous system disorders by donating €2,000 to Together To Go Onlus, an organization that provides personalized neurological rehabilitation. In addition to making a corporate donation of €5,000, Amissima employees dedicated approximately 152 volunteer hours in 2019 to Banco Alimentare, an organization that collects and distributes food to those in need.

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third-party certifications held by reporting companies

With its mission to empower employment, **CareerBuilder** has a strong focus on worker and student development. To help students explore career options that match their interests and goals, CareerBuilder offers a free website, Find Your Calling, that combines personal interest assessments with labor market data. The RightSkill Program, created through a partnership with Capella Learning Solutions, has helped build the skills of more than 5,000 candidates through a free, competency-based online education program paired with labor and employment data. CareerBuilder also continued its partnership with RallyPoint, the world's largest military-focused online network, to help veterans quickly connect with top employers. CareerBuilder also offers opportunities for its employees to give back to their communities. In 2019, the company's North American employees contributed 980 volunteer hours, and through CBCares, a new employee group, CareerBuilder explores opportunities to expand employee volunteering.

Through its "Chassis for Charity" initiative, **DCLI** provides opportunities to its employees to volunteer with local and national community organizations during the work week. In 2019, company employees dedicated 175 volunteer hours at organizations in Charlotte, NC, where DCLI is headquartered. With the Salvation Army, DCLI employees helped count donations during fundraising drives, assisted as Bell Ringers at Christmas, and helped pack emergency supplies for shipment to areas affected by disaster. With Loaves and Fishes, a local food pantry, more than 50 DCLI employees collected and delivered canned goods and other items for those in need. In addition, DCLI is committed to engaging veterans in its recruitment process. The company recognizes that jobseekers returning from military service have skill sets aligned closely with certain job functions, and the company has partnered with a prominent military hiring and recruiting agency to encourage veterans to apply for DCLI field M&R Specialist roles.

Intrado's employee resource groups (ERGs) are led by volunteers, and sponsored by executives, at both the enterprise and the individual site level. ERGs are focused on promoting diversity and inclusion through employment branding, recruitment strategies, and internal and external networking. The Veterans' ERG partnered with America's Warrior Partnership to provide services to veterans and their families and, in honor of Veterans Day, the group launched a successful partnership with Operation Gratitude to deliver more than 7,500 postcards to veterans and active service members. The Women of Intrado Network (WIN) has launched a book club accompanied by thought-provoking panels, guest speakers, and local chapter networking opportunities, and the Black Professional Association adopted an underperforming school close to Intrado's Mobile, AL, office, where Intrado employees created a picnic area, donated gift cards to cover application fees, and advised students on corporate work environments and job readiness.

Of some 87,400 students enrolled in The **University of Phoenix** in its 2019 fiscal year, the majority were underserved working adults. Seventy-two percent reported that they were employed during enrollment, 66% reported that they had at least one dependent, and 60% reported being the first generation in their family to attend college. In response to the needs of its student population, the University of Phoenix launched 11 new degree and certificate programs aimed at satisfying student and industry education demands, including the Bachelor of Science in Health Management, the Bachelor of Science in Social Work, and the Associate of Science in Cybersecurity. The process of modernizing and updating programs of study is governed by the university's Program Viability Voting Committee, comprised of members from numerous university functions as well as independent academics. The committee analyzes and evaluates industry trends; federal, regional, and local wage and employment data and projections; and higher-education market demand and capacity. From these it prepares formal proposals used by University of Phoenix leadership in deciding whether to add new programs.

Aspen donated approximately $1.7 million toward global and community projects in 2019, and continued its long-standing partnership with Adara Development, a US nonprofit focused on improving health and education for women, children, and communities in rural Uganda. Aspen employees also supported local charities in Aspen's core markets in the UK, US, and Bermuda, volunteering their time for causes such as the environment, homelessness, at-risk youth, food insecurity, education, and health and wellness. To encourage employee philanthropic contributions, Aspen offers an employee matching program with 1:1 matching up to £1,000 in the UK and $1,750 in the US and Bermuda.

Double Eagle's community outreach and corporate giving initiatives were selected based on employee feedback, and focus on four areas: community development, education, health and wellness, and mentoring and youth development. In 2019, the company hosted a food drive to benefit students who suffer food insecurity; participated in the Cook Children's The Blast 5K to raise awareness for neuroblastoma, a rare and aggressive form of cancer; held a Christmas toy drive in conjunction with the Salvation Army; and held a summer school supply drive for three under-resourced elementary schools near the company's corporate office. Double Eagle continues to support Fort Worth and West Texas communities through its nonprofit organization, Double Eagle Charities. In 2019, Double Eagle Charities hosted an event that raised $600,000 for Communities in Schools and for Court Appointed Special Advocates and spread awareness of these two organizations to the nearly 1,000 attendees.

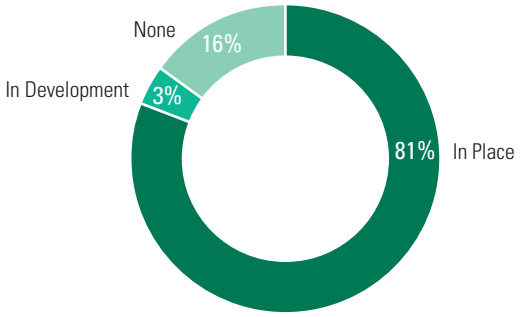
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reporting companies offering products or services with measurable positive environmental or social impacts

In 2019, **CEC Entertainment** continued to use its facilities and branding to benefit the community. The company hosted a total of 41 Make-A-Wish reveal parties, including a June event in which CEC Entertainment partnered with Cook Children's Hospital in Fort Worth, TX, to organize a send-off party for 140 children with cancer attending Camp Sanguinity. CEC Entertainment donated 45 pizzas

FIGURE 67

Percent of Reporting Companies with Human Rights Policies, Trainings, or Initiatives



and goodie bags for the kids, organized and distributed by employee volunteers. In May 2019, the company donated pizzas to the Cook Children's Hospital–Fort Worth's Child Life Zone and brought its mascot, Chuck E., to the hospital to take photos with children battling terminal illnesses. To make their facilities more accessible to members of the special needs community, 240 Chuck E. Cheese restaurants offer children with disabilities and their families a Sensory Sensitive Sundays program on the first Sunday of every month. In September 2019, the company's Dallas employees and Support Center staff came together to celebrate the company's commitment to accessibility by sponsoring a booth in the Autism Speaks Walk, the world's largest fundraising event dedicated to improving the lives of people with autism.

Despite having fewer than 30 full-time employees, **APP** makes an effort to give back to the communities in which it does business. APP's principal offices are in Pennsylvania, and in 2019 it continued to support the Junior League of Pittsburgh, which provides food and school supplies to low-income children and families. In addition, APP employees "adopted" seven low-income families from its operating area to provide holiday gifts through the local Girl Scouts of America chapter. On Christmas Day, toys and clothes were given to children ages three to 13 through the Caring Tree program. APP also collected cash and in-kind employee donations for the Marshall County, WV, Animal Shelter. Collections were delivered by a group of employees who also volunteered at the shelter. In July, APP continued its annual participation in the Marshall County Fair, setting up a booth where employees discussed with local community members the company's plans for the area. At the end of the week, APP sponsored a local farm

animal auction and purchased farm animals to support Marshall County farmers.

Freestone Midstream employs a dedicated Land Manager who meets with local landowners daily to hear their concerns and share the company's progress and planning. In addition, all Freestone sites are selected in coordination with local landowners to minimize impact on existing agricultural uses. This collaboration not only ensures that Freestone is abiding by local rules and regulations, but also allows the company to serve as a valuable partner for its local communities. Beyond these initiatives, members of Freestone's executive team attend charity events throughout the year on behalf of the company, and host industry events to help educate the public on the company's sustainable oil and gas activities.

As part of its community efforts, **OLB** supports projects in youth, culture, and social initiatives, the majority of which are carried out by nonprofit institutions. During the course of the year, the bank regularly evaluates whether it is living up to its social commitment and whether new goals or funding priorities are needed. In 2019, OLB supported more than 300 projects with a total scope of more than €1.1 million. This included charitable donations of almost €60,000. Through the OLB Foundation, established in 1994, OLB promotes culture, science, and environmental protection. The foundation's work focuses on projects that emphasize the strengths of the Weser-Ems region and support new development ideas for all of northwestern Germany. In 2019, the OLB Foundation awarded eight young scientists a total of €32,000 at the 10th OLB Science Award. The board of the OLB Foundation, which includes an OLB board member, is regularly informed about all funded projects. In addition to these charitable activities, OLB supports universities and colleges of the Weser-Ems region and Bremen within the framework of the German Scholarship and through professional training. The bank welcomes the volunteer efforts of its employees, who are involved in many associations and who have, for example, saved lives as stem cell donors.

Through its partnership with Feeding America, in 2019 **Smart & Final** saved over 4 million pounds of food, providing 3.3 million meals to communities that are economically hurting. Feeding America targets areas with the highest need, and partners with local food banks, churches, and food pantries in those regions. Smart & Final stores, in turn, work directly with each community partner to coordinate food distribution several times per week. These partnerships, apart from providing needed assistance to underserved communities, also help reduce GHG emissions by removing unnecessary food waste from landfills. Currently, 223 Smart & Final store locations in California, Nevada, and Arizona participate in the food rescue programs, and the company is working to connect its remaining 32 stores in more remote areas with additional Feeding America partners. In addition to collaborating with Feeding America, Smart & Final also has received widespread recognition for its community outreach initiatives. In 2019, Smart & Final was awarded the Food Industry Association's Community Outreach Award for its participation in the Caterina's Club PastaThon, for which the company raised over $115,300 over a four-year period to combat food insecurity among children in Southern California.

In 2019, **The Watches of Switzerland Group** announced a strategic partnership with The Prince's Trust, a charity founded by HRH the Prince of Wales, which helps individuals aged 11–30 to achieve their educational and professional goals. The partnership allows colleagues in the UK to get involved with a variety of programs to support young people across the country who face wide-ranging challenges. With its focus on education, the partnership's objective aligns with the company's vision to "Inspire Young Lives and Create Memories That Last a Lifetime." Rolex joined the initiative with an inaugural target of raising £300,000 for The Prince's Trust through the sale of 100 special-edition timepieces, each with a commemorative engraving to celebrate the company's 100-year anniversary of its status as an authorized Rolex retailer. For each watch sold, £1,000 is donated by Rolex, £1,000 by the client, and £1,000 by The Watches of Switzerland Group. In addition to The Prince's Trust, the company worked with Leicestershire Cares, a local UK charity dedicated to helping children reach their full potential, to support a Collect for Christmas appeal. In the US, the company continues to support both Feeding South Florida, South Florida's leading hunger-relief organization, and the Florida Department of Children and Families.

Jupiter Resources works actively to foster good relations between the company's operations and local indigenous communities. Jupiter regularly consults with those communities regarding their traditional rights and how the company's activities may affect these rights. Using remote sensing data, such as LIDAR and UAV technology, Jupiter surveys land to map proposed surface activities and identify development concerns. In one case, Jupiter proposed an access road and lease site that drew concern from the community due to the site's proximity

to a preferred fishing location. LIDAR maps were used to point out exactly how the indigenous communities accessed the fishing bank and trails, and the company adjusted development by creating a buffer around the area. Similarly, Jupiter has been actively involved in an industry group working to develop best practices for caribou habitat recovery and restoration, a species that has been deemed at risk by the Canadian Federal Government. The industry group holds planning sessions aimed at adjusting development to reduce habitat loss. Jupiter is also a member of the Foothills Stream Crossing Partnership, a multi-industry group that seeks to improve the condition of stream crossings for threatened fish habitats. As a member, Jupiter is responsible for inspecting and fixing fish barriers identified by the Partnership, resulting in some 60 crossing inspections per year.

In 2019, **OneMain** and its employees collectively donated more than $1.3 million to support community and economic development, education, and health and wellness initiatives. Employees reported over 4,000 volunteer hours and donated nearly $175,000 to nonprofit organizations, of which $157,000 qualified for a company match through OneMain's Matching Gifts Program. OneMain also donated $100,000 to the OneMain Employee Relief Fund, which offers assistance to employees adversely affected by federally declared disasters. Nearly 50% of OneMain's community grants and sponsorships were awarded to support financial literacy and financial education initiatives, including a $500,000 grant to Local Initiatives Support Corporation (LISC) to help fund financial coaching and literacy programs in four of OneMain's key markets — Philadelphia, Twin Cities, Phoenix, and Chicago. The company is also a member of the Veteran Jobs Mission and participated in several activities to support veterans and first responders. For example, as part of its participation in November's Veterans and Military Families Month, the company made a $20,000 grant to Operation Gratitude, a nonprofit meeting the needs of US military and first responder communities, to ship care packages to a battalion of soldiers. In addition, employees organized a crew-sock collection drive and a letter-writing campaign to express their gratitude to veterans, active-duty military, and first responders. OneMain also purchased supplies for team members to assemble 570 teddy bears, which were donated to children of deployed service members.

Sun Country Airlines is committed to addressing the impact of its operations on passengers and local communities, particularly at its home airport, the Minneapolis–Saint Paul International Airport (MSP). The company maintains a seat on the board of the MSP Airport Foundation, whose members also include representatives from the Metropolitan Airport Commission, the chambers of commerce, the local tourism industry, and other airlines. The foundation's mission is to enhance the experience of travelers at MSP, and to support the airport and broader aviation community by hosting arts and cultural programs and by offering services to address the ever-changing needs of consumers and employees alike. Sun Country also is committed to guaranteeing passenger safety in its operations. The company oversees an Internal Evaluation Program that is responsible for continuously auditing company operations for safety, regulatory, and flight safety policy compliance, and for identifying opportunities to improve policies, procedures, and processes. Additionally, Sun Country's Data Sharing Council and Safety Management Team assess data to determine the effectiveness of the company's safety performance, and to ensure that objectives and expectations are consistently met.

Athene is committed to making a difference in the communities where its employees live and work, as evidenced by the many awards and recognitions the company earned in 2019. For the fifth consecutive year, Athene was recognized by *The Des Moines Register*, based on employee feedback, as an Iowa Top Workplace in 2019; and for the fourth consecutive year, the company was designated as a Military Friendly® Employer and Military Friendly® Spouse Employer by VIQTORY. The company also was honored with the Seven Seals Award by Employer Support of the Guard and Reserve, and the Pro Patria award in recognition of Athene's supportive work environment for service members. Athene was honored as a Top Ten Employer in Bermuda, and announced a new scholarship program at Bermuda College, the largest of its kind at the college, that will provide educational funding for 10 students each academic year. In 2019, Athene and its employees continued to participate in the United Way campaign to help the nonprofit sector of Des Moines, IA. Athene celebrated its largest charitable campaign to date, raising over $1 million for United Way in 2019 with over 90% employee engagement. Athene was also a corporate sponsor of United Way's "Stuff the Bus" initiative and collected 16,049 children's books for childcare centers and educational programs in the Des Moines metro area. In recognition of these accomplishments, Athene

received the Spirit of Central Iowa Award, the United Way of Central Iowa's highest honor.

AmeriHome is in the business of supporting home ownership by providing liquidity to financial institutions and mortgage companies, so they can originate more loans at better rates for consumers. Through its purchases in 2019, AmeriHome supported almost $8 billion for over 51,000 loans to low-to-moderate-income borrowers, and $14.5 billion for over 70,000 loans to first-time homebuyers. AmeriHome, through financial contributions and volunteering, helps Habitat for Humanity to provide homeownership, and the company matches employee contributions to a variety of charities, both housing and non-housing related.

As one of the largest educational publishing and learning science companies, **McGraw Hill**'s central ambition is to unlock the full potential of each learner, while supporting education initiatives in local communities. Inspired by its signature "red cube" logo, McGraw Hill's Red Cube Cares Working Group sponsors global volunteer and fundraising events that provide financial support to local charities and community programs. The company also promotes and encourages employee participation in annual engagement events, such as #GivingTuesday, Earth Day, and Martin Luther King Jr. Day. In 2019, McGraw Hill held its first Global Volunteer Week, during which more than 400 employees took part in over 30 different events and provided more than 1,150 hours of service within their local communities. McGraw Hill's matching gift program encourages charitable giving by staff to support and enhance the areas in which they live and work, by providing additional funding to qualifying nonprofit organizations to which employees have donated. In 2019, McGraw Hill matched over $150,000 in employee charitable donations, and the company made additional in-kind donations of new books equal to nearly $1 million.

Athora seeks to engage with the communities it serves through company philanthropy and employee volunteering initiatives. In Ireland, Athora matches employee donations and directs all funds to charities voted on by employees, or to organizations that support the homeless in Dublin. In Belgium, company employees are given one day each year to volunteer for certain local charities. With regard to customer satisfaction, Athora measures and aspires to improve the customer experience at its Ireland and Belgium locations by carrying out Net Promoter Score (NPS) surveys, a management tool that gauges customer relationships and loyalty.

ESG Opportunities in Real Assets

2,282 hrs

volunteered to charitable organizations by employees of third-party property managers

All **Ashley Park** properties stay in close contact with community leaders and local authorities regarding the potential impacts of facility operations. Each property's marketing team is tasked with tracking local events that support social initiatives such as health and wellness, recycling, animal welfare, and community charities. For the **Chicago Manufactured Housing Platform**, community engagement is central to actively supporting affordable housing initiatives across the US, and to that end, it has engaged with low-income and under-housed populations through the provision of manufactured and multi-family housing. In addition, nearly all property operators give back to their local communities through volunteer work. **Hyatt**'s "Thrive Committee" actively engages communities by volunteering at local homeless shelters, conducting school supply drives, hosting fundraisers for the American Heart Association and the Breast Cancer Research Foundation, and organizing food donations. The **Cincinnati Office Portfolio** also sponsors the American Heart Association, in addition to hosting blood drives at the four Apollo-owned office buildings and organizing mobile mammography "vans" throughout the year.

Select Responsible Citizenship Data

Company	Company Donation Intensity ($/$MM revenue)	Consumer Donation Intensity ($/$MM revenue)	Employee Donation Intensity ($/$MM revenue)	Employee Volunteering Initiatives	Total Employee Volunteer Hours	Other Community Engagement Initiatives	Customer Satisfaction Initiative	Product or Service Quality or Safety Initiatives	Human Rights Initiatives	Third-Party Sustainability Certification(s)	ESG Awards and/or Accolades
Consumer Discretionary											
Company A	$97.54	—	—	✓	>10,000	—	✓	—	✓	—	—
Company B	$2,062.20	—	—	✓	—	—	✓	✓	✓	—	—
Company C	$24.69	$319.99	$2.80	✓	>10,000	✓	✓	✓	✗	✓	✓
Company D	$145.24	—	$87.63	✓	100–999	—	—	—	✓	✗	—
Company E	$868.31	$0.00	$0.00	✓	100–999	—	✓	✓	✓	✗	✓
Company F	$279.73	$119.50	$2.84	✓	<100	✗	✓	✓	✓	✓	✗
Company G	$9.85	—	—	✓	100–999	✓	✓	✓	✓	✗	✗
Company H	$2.78	$0.00	$2.78	✓	—	✗	✓	✓	✓	✓	—
Company I	$4,073.08	$0.00	$38.60	✓	1,000–9,999	✓	✓	✓	✓	✗	✓
Company J	$472.58	—	—	✓	—	✓	✓	✓	✓	—	✓
Company K	$0.00	$0.00	$0.00	✗	—	—	✓	✓	✓	✓	✗
Company L	$590.37	$0.00	$94.30	✓	1,000–9,999	✓	✓	✓	✓	✓	✓
Company M	$75.22	$0.00	$13.56	✓	100–999	✓	✓	✓	✓	✓	✓
Company N	—	$1,958.92	$37.52	✗	—	—	✓	—	✓	✓	✗
Company O	$147.06	$0.00	$24.46	✓	1,000–9,999	✓	✓	✓	✓	✓	✓
Company P	$88.17	$533.04	$9.54	✓	1,000–9,999	—	✓	✓	✓	✗	✓
Company Q	$81.35	$20,269.73	$81.35	✗	—	✗	✓	✓	✓	✗	✗
Company R	$3,767.54	$0.00	$25.27	✓	—	✓	✓	✓	✓	✗	✓
Consumer Staples and Healthcare											
Company A	$213.99	$185.85	$30.42	✓	1,000–9,999	✓	✓	✓	✓	✓	✓
Company B	$256.16	$0.00	$0.00	✗	—	✓	✓	✓	✓	✓	✗
Company C	$613.61	$0.00	$27.91	✓	>10,000	✓	✓	✓	✓	✓	✓
Energy											
Company A	$59.25	$0.00	$118.50	✓	<100	✓	✗	—	✓	✗	✗
Company B	$44.61	—	—	✓	—	—	✓	✓	✓	✗	✗
Company C	$277.51	$0.00	$0.00	✗	—	—	—	—	✓	✗	✗
Company D	$107.80	$0.00	$173.70	✓	100–999	—	—	—	✓	✗	✓
Company E	$0.00	$0.00	$0.00	✗	—	—	—	—	✗	✗	✗
Company F	$280.87	$0.00	$0.00	✓	—	✓	—	—	✗	✗	✗
Company G	—	—	—	✓	—	—	✓	—	✗	—	—
Company H	—	—	—	—	—	—	—	—	✗	—	—
Company I	$56.11	$0.00	$38.62	✓	—	—	✗	✗	✓	✗	✗
Company J	$842.66	—	—	✓	—	✗	✗	✗	✓	✗	✗
Company K	$0.59	$0.02	$0.17	✓	—	—	—	—	✓	✗	✗
Company L	$663.95	$0.00	$62.54	✓	—	✓	✗	✗	✗	✗	✗

Key — Company Did Not Report

Select Responsible Citizenship Data

Company	Company Donation Intensity ($/$MM revenue)	Consumer Donation Intensity ($/$MM revenue)	Employee Donation Intensity ($/$MM revenue)	Employee Volunteering Initiatives	Total Employee Volunteer Hours	Other Community Engagement Initiatives	Customer Satisfaction Initiative	Product or Service Quality or Safety Initiatives	Human Rights Initiatives	Third-Party Sustainability Certification(s)	ESG Awards and/or Accolades
Financials											
Company A	$746.37	$0.00	$34.21	✓	1,000–9,999	✗	✗	✗	✓	✗	✗
Company B	$424.53	$0.00	$66.04	✓	1,000–9,999	✓	✓	✓	✓	✓	✗
Company C	$40.16	$0.00	$42.25	✓	1,000–9,999	✓	✓	✓	✓	✗	✓
Company D	$7,518.80	$0.00	$0.00	✗	—	—	✗	—	✗	✗	✗
Company E	$32.40	—	—	✓	100–999	✗	✗	✗	✓	✗	✗
Company F	$0.32	$0.00	$1.25	✗	—	—	—	—	✓	✗	✗
Company G	$11.69	—	$13.28	✓	<100	✗	✓	—	✗	✗	✗
Company H	$426.50	$0.00	$6.07	✗	—	✓	—	—	✗	✗	✓
Company I	$2,636.15	$0.00	$0.00	✗	—	—	✓	✓	✓	✗	✗
Company J	—	—	—	✓	—	—	✓	—	✓	✗	✗
Company K	$482.65	—	$1,189.12	✓	100–999	✗	✓	✗	✓	✗	✗
Industrials and Materials											
Company A	$288.65	$0.00	$0.00	✗	—	—	—	—	✓	✗	—
Company B	$34.89	—	—	✗	—	✓	✓	—	✓	—	✓
Company C	$29.03	$0.00	$20.74	✓	100–999	—	✓	✓	✓	✓	✗
Company D	$17.83	—	—	✗	—	✓	✓	✓	✓	✗	✓
Company E	$359.48	—	—	✓	—	✓	✓	✓	✓	✗	✓
Company F	$299.01	$0.00	$0.00	✗	100–999	✓	—	✓	✗	✗	✗
Company G	$19.94	$0.00	$16.46	✓	1,000–9,999	✓	✓	✓	✓	✓	✓
Company H	—	—	—	—	—	✗	✗	✓	✓	✗	—
Company I	$71.96	$0.00	$32.15	✓	1,000–9,999	✓	✓	✓	✓	✓	✓
Information Technology and Communication Services											
Company A	$211.65	$0.00	$253.80	✓	>10,000	✗	✓	✓	✓	—	✓
Company B	$0.00	$0.00	$0.00	✗	—	—	✓	✓	✓	✓	✗
Company C	$8.50	$0.25	$0.00	✓	—	—	✓	—	✓	✓	✓
Company D	$71.00	—	$0.00	✗	—	✗	✗	✓	✗	✓	✗
Company E	$4.94	$0.00	$0.00	✓	100–999	✓	✓	✓	✓	✓	✗

Key — Company Did Not Report

Appendix A: Reporting Companies

Company	Sector	Company	Sector
ADT	Consumer Discretionary	Nova KBM	Financials
American Petroleum Partners (APP)	Energy	Oldenburgische Landesbank AG (OLB)	Financials
AmeriHome	Financials	OneMain	Financials
Amissima	Financials	Phoenix Services	Industrials
Apex Energy	Energy	PlanetCast	Communication Services
Aspen Insurance	Financials	PlayAGS (AGS)	Consumer Discretionary
Athene	Financials	QDOBA	Consumer Discretionary
Athora	Financials	Rackspace	Information Technology
CareerBuilder	Information Technology	Redbox	Consumer Discretionary
Catalina	Financials	Resource Energy	Energy
CBR Fashion Group	Consumer Discretionary	Ridgeback Resources	Energy
CEC Entertainment	Consumer Discretionary	Sbarro	Consumer Discretionary
Chisholm	Energy	Seguradoras Unidas	Financials
ClubCorp	Consumer Discretionary	Shutterfly	Consumer Discretionary
Coinstar	Consumer Discretionary	Smart & Final	Consumer Staples
Diamond Resorts	Consumer Discretionary	Sun Country Airlines	Industrials
Direct ChassisLink (DCLI)	Industrials	Talos	Energy
Double Eagle	Energy	Tegra	Consumer Discretionary
ecoATM	Consumer Discretionary	The Fresh Market	Consumer Staples
EP Energy	Energy	The Watches of Switzerland Group	Consumer Discretionary
Express Energy	Energy	Tidewater	Energy
Freestone Midstream	Industrials	University of Phoenix	Consumer Discretionary
IGT Solutions	Information Technology	Vacuumschmelze (VAC)	Industrials
Intrado	Communication Services	Vanta Education	Consumer Discretionary
Jupiter Resources	Energy	Ventia	Industrials
Lapithus	Financials	Verallia	Materials
LifePoint Health	Healthcare		
Lumileds	Industrials		
Maxim Crane	Industrials		
McGraw Hill	Consumer Discretionary		
Mood Media	Communication Services		
Northwoods Energy	Energy		

Appendix B: Reporting Real Assets

Asset	Asset Type
1801 West End	Office
ADH Hotels & Resorts	Hotel
Ashley Park	Retail
BGC Centre	Office
Chicago Manufactured Housing Platform	Residential
Cincinnati Office Portfolio	Office
Eclipse Senior Living	Residential
Florida Retail Portfolio	Retail
Hilton Atlanta	Hotel
Holiday Inn Fisherman's Wharf	Hotel
Hurstville Central	Retail
Hyatt Houston	Hotel
Inspire Communities	Residential
Kemper Lakes	Office
Northview Hotel Platform	Hotel
Palm Springs Resort Hotel	Hotel
Provender Industrial Platforms	Industrial
Shops at CenterPoint	Retail
Single Family Rental Platform	Residential
Steelbridge Office Platforms	Office
Tifco Hotel Group	Hotel
Towers at Williams Square	Office
Tullahennel	Industrial
Viseen Industrial Park	Industrial/Office
Volta Data Centre	Industrial

Appendix C: Defined Terms

Apollo	Apollo Global Management, Inc.
CDP	Climate Disclosure Project
CEO	Chief Executive Officer
CO_2	Carbon dioxide
CO_2e	Carbon dioxide equivalent
e-waste	Electronic waste
EHS	Environmental, health, and safety
EPA	US Environmental Protection Agency
ERG	Employee resource group
ESG	Environmental, social, and governance
gal	Gallon
GHG	Greenhouse gas
GRI	Global Reporting Initiative
HVAC	Heating, ventilation, and air conditioning
IT	Information technology
kg	Kilogram
kWh	Kilowatt hour
LDAR	Leak detection and repair
LED	Light-emitting diode
LEED	Leadership in Energy and Environmental Design
LTIR	Lost-time incident rate
m^3	Cubic meter
MPG	Miles per gallon
MT	Metric ton
MWh	Megawatt hour
OSHA	US Occupational Safety and Health Administration
Real assets	The assets set forth in Appendix B
Reporting companies	The companies set forth in Appendix A
S&P 500	Standard & Poor's 500 Index
S&P Global 1200	Standard & Poor's Global 1200 Index
Scope 1 GHG emissions	Direct GHG emissions occurring at sources that are owned or controlled by a company
Scope 2 GHG emissions	Indirect GHG emissions from the generation of purchased electricity or energy that occurs at the electricity- or energy-generating site that is consumed in a company's owned or controlled equipment or operations
SDGs	UN Sustainable Development Goals
Sedex	Supplier Ethical Data Exchange
TCB	The Conference Board
TIR	Total incident rate
US	United States
USD	US dollar
WMIUs	Water meter interface units

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Appendix E: Responsible Investing and Environmental, Social, and Governance Policy

Recognizing the Value of ESG

Since our founding in 1990, Apollo has been known for our consistent and rigorous approach to finding value. Taking many paths to value across private equity, credit, and real assets has made us one of the largest alternative investment managers. Woven into the fabric of our value-oriented business and our culture is Apollo's commitment to recognize and realize the full value of environmental, social, and governance (ESG) factors. Apollo believes that actively managing ESG risks and seizing ESG opportunities makes us better investors, and better stewards of our investors' money, by positioning Apollo and portfolio companies for sustainable success. Just as important, we believe that Apollo can and should have a positive impact on society, helping to make the world a better place and improving people's lives. Three principles of responsible investing and good stewardship are built into our firm and our investment processes across asset classes: Integration, Engagement and Transparency.

Specific ESG Policies for Each Asset Class, and for the Firm

Apollo recognizes that ESG issues can affect the firm and the companies in which Apollo-managed funds invest, both investment risk and performance. Approaches to Integration, Engagement and Transparency can vary depending on asset class, geography, investment strategy and portfolio construction, investment vehicle, type, or time horizon. Apollo also tailors consideration and integration of ESG issues to meet the specific goals and values of certain clients.

Private Equity

Throughout its 30-year history as a leader in private equity investing, Apollo has worked closely with the portfolio companies of the private equity funds it manages, to introduce and implement ESG best practices. Today those companies together employ hundreds of thousands of people across the globe, lending scope and scale to Apollo's efforts to promote diversity, encourage sustainability, and enhance local economies. Just as we take care of our own people, we seek to help portfolio companies take care of theirs. Our industry-leading ESG reporting program for portfolio companies is a rich resource for Apollo and for the companies themselves to enable them to perform better and create value.

Where Apollo-managed private equity funds own a controlling equity stake in, or can exercise influence over the operations of, portfolio companies, Apollo seeks to integrate, engage, and be transparent regarding ESG matters as follows:

Integration

- Incorporate ESG issues into investment analysis and decision-making processes through in-depth due diligence, discussion, and documentation
- Leverage the expertise of investment professionals, and third-party experts and advisors, frameworks, and tools to assess ESG risks and identify ESG opportunities throughout the term of an investment

Engagement

- Improve the long-term sustainability of portfolio companies, and increase the benefits they produce for all stakeholders
- Establish portfolio company governance structures that provide appropriate levels of oversight, and that encourage policies aligning the interests of management with Apollo-managed funds
- Serve as a resource for portfolio company management on ESG matters and provide periodic programming and operational assistance, as needed, on relevant ESG issues

Appendix E: Responsible Investing and Environmental, Social, and Governance Policy (continued)

Transparency

- Provide periodic reports to limited partners on the ESG performance of portfolio companies
- Encourage portfolio company management to be transparent with stakeholders, including but not limited to public ESG reporting and disclosure

Credit

Where Apollo-managed funds invest in the debt of an issuer or acquire a minority equity stake in a company, access to ESG information is generally limited. Nonetheless, Apollo aims to integrate, engage, and be transparent regarding ESG matters as follows:

Integration

- Consider relevant ESG risks that may affect an issuer's long-term financial performance, as part of the underwriting and investment decision-making process, through in-depth due diligence, discussion, and documentation

Engagement

- Enlist the expertise of investment professionals, and third-party experts and advisors, frameworks, and tools, to monitor and assess relevant ESG risks
- Where one or more ESG risks present a significant risk to an issuer's long-term financial performance, seek opportunities to raise the issue(s) directly with an issuer's management team or board of directors

Transparency

- Provide limited partners with a description of how ESG risks are considered in the underwriting process and how certain significant ESG risks are monitored during the holding period

Real Assets

Where Apollo-managed real assets funds control and can exercise significant influence over the operations of an underlying real asset, Apollo will seek to apply its Private Equity ESG policy, described above. Where a third-party property manager exercises control over the operations of a real asset, Apollo seeks to integrate, engage, and be transparent regarding ESG matters as follows:

Integration

- At both the property manager and the real asset level, conduct in-depth ESG due diligence, discussion, and documentation

Engagement

- Where ESG diligence reveals significant ESG risks, raise the issue(s) directly with the property manager
- Request periodic updates from property managers on steps taken to mitigate significant ESG risks, where applicable

Transparency

- Encourage third-party property managers to participate in Apollo's annual ESG reporting process and assess their ESG performance at the manager and real asset levels, where possible

Apollo as a Firm

Apollo recognizes that our conduct as a firm, whether in recruiting our people, shaping our business processes, or running our operations, adds to the value we bring to our investors and employees alike.

Integration

- Apollo integrates ESG into its management structure through Apollo's ESG Steering Committee, comprised of senior leaders across the firm, which is chaired by our Global Head of ESG, and Apollo's cross-functional Green Team, which is responsible for implementing ESG initiatives and coordinating ESG efforts across all of the firm's offices
- Apollo's policies are aligned with the American Investment Council's Guidelines for Responsible Investing, which provides a framework for Apollo's conduct as a firm, as well as its approach to investing across asset classes

Engagement

- Within our firm, ESG considerations start with identifying and hiring talent who believe in doing the right thing and understand the value of applying strong ethical standards to the way we conduct our business
- We recognize that the need for Apollo and the broader investment management and financial industries to be more diverse and inclusive, and we are committed to building a diverse workforce that is representative of the communities in which we live and work
- We nurture our employees by creating opportunities for them to grow professionally, in a workplace that promotes meritocracy
- We also offer opportunities to our employees to add value to their personal lives by engaging with their communities, including charitable grants and promoting volunteering opportunities
- We are committed to listening to our employees through team or individual discussions and firm-wide employee surveys

Transparency

- We strive to be transparent with all stakeholders, including our shareholders, employees, investors, regulators, and portfolio companies, about our financials, our workforce, or our ESG Program and processes
- We hold ourselves to the same standards we hold portfolio companies, and publish our publicly available ESG Report annually
- We understand the high value our employees place on timely, open communication from management, and we are committed to ensuring that we meet our employees' expectations in this regard

Appendix F: UN Sustainable Development Goals Content Index

The table below indicates where information that corresponds to the UN Sustainable Development Goals is located in Apollo's 2019 ESG Annual Report.

ESG Report Section	UN Sustainable Development Goals
Corporate Governance and Transparency	8 Decent Work and Economic Growth 10 Reduced Inequalities 16 Peace, Justice and Strong Institutions 17 Partnership for the Goals
Sustainable Consumption and Production	6 Clean Water and Sanitation 9 Industry, Innovation and Infrastructure 11 Sustainable Cities and Communities 12 Responsible Consumption and Production 14 Life Below Water
Climate Action	7 Affordable and Clean Energy 9 Industry, Innovation and Infrastructure 11 Sustainable Cities and Communities 13 Climate Action

ESG Report Section	UN Sustainable Development Goals
Respect for Workers	 Good Health and Well-Being  Gender Equality  Decent Work and Economic Growth  Reduced Inequalities
Responsible Citizenship	 No Poverty  Zero Hunger  Quality Education  Reduced Inequalities  Life Below Water  Life on Land  Peace, Justice and Strong Institutions  Partnerships for the Goals

Appendix G: GRI Content Index

The table below indicates where information that corresponds to the Global Reporting Initiative (GRI) Standards is located in Apollo's 2019 ESG Annual Report and other Apollo materials.

GRI 102: General Disclosures		
Disclosure	**Description**	**Location/response**
Organizational Profile		
102-1	Name of organization	Apollo Global Management, Inc. (Apollo)
102-2	Activities, brands, products, and services	Apollo 2019 ESG Annual Report (ESG Report), p. 3 *For additional information, see* www.apollo.com/our-business
102-3	Location of headquarters	New York, NY
102-4	Location of operations	ESG Report, p. 79 *For additional information, see* www.apollo.com/contact
102-5	Ownership and legal form	Apollo Form 10-K, filed February 21, 2020 (Apollo 10-K), p. 3
102-6	Markets served	ESG Report, p. 3
102-7	Scale of the organization	ESG Report, pp. 3–5
102-8	Information on employees and other workers	ESG Report, p. 3
102-9	Supply chain	As one of the world's leading alternative investment managers, Apollo engages a number of third-party service providers that support its business operations. In all such engagements, Apollo applies the principles and policies set forth in the firm's Vendor Engagement and Management Policy.
102-10	Significant changes to the organization and its supply chain	Effective September 5, 2019, Apollo converted from a Delaware limited liability company named Apollo Global Management, LLC to a Delaware corporation named Apollo Global Management, Inc. *For additional information, see* Apollo 10-K.
102-11	Precautionary Principle or approach	Apollo 10-K, pp. 137–41
102-12	External initiatives	ESG Report, pp. 4, 6–7
102-13	Membership of associations	American Investment Council
Strategy		
102-14	Statement from senior decision-maker	ESG Report, p. 2
102-15	Key impacts, risks, and opportunities	Apollo 10-K, pp. 9–89
Ethics and Integrity		
102-16	Values, principles, standards, and norms of behavior	Apollo Code of Business Conduct and Ethics
102-17	Mechanisms for advice and concerns about ethics	Apollo Code of Business Conduct and Ethics; Audit Committee Charter

GRI 102: General Disclosures		
Disclosure	**Description**	**Location/response**
Governance		
102-18	Governance structure	Apollo 10-K, pp. 213–219
102-22	Composition of the highest governance body and its committees	Apollo 10-K, pp. 213–219
102-23	Chair of the highest governance body	Apollo 10-K, p. 213
102-25	Conflicts of interest	Apollo 10-K, pp. 64–67
102-27	Collective knowledge of highest governance body	Apollo 10-K, pp. 213–216
102-28	Evaluating the highest governance body's performance	Apollo Corporate Governance Guidelines
102-30	Effectiveness of risk management processes	Apollo 10-K, pp. 64–67
Reporting Practices		
102-45	Entities included in the consolidated financial statements	Apollo 10-K, pp. 142–208; Exhibit 21.1
102-46	Defining report content and topic boundaries	ESG Report, pp. 8–11; Appendix A; Appendix B
102-48	Restatements of information	There have been no significant restatements of information contained in the previous reporting period's ESG report.
102-49	Changes in reporting	Apollo now makes the entirety of its ESG Annual Report publicly available on the firm's website.
102-50	Reporting period	January 1, 2019, through December 31, 2019, unless otherwise indicated.
102-51	Date of most recent report	Apollo 2018 ESG Summary Annual Report, published in July 2019.
102-52	Reporting cycle	Apollo's ESG reporting cycle is annual.
102-53	Contact point for questions regarding the report	Apollo's Global Head of ESG, Laurie D. Medley, is the contact point for questions regarding this ESG Report.
102-54	Claims of reporting in accordance with the GRI Standards	This ESG Report has been prepared in accordance with the GRI Standards: Core Option.
102-55	GRI Content Index	This Appendix G: GRI Content Index is in accordance with the GRI Standards.
102-56	External assurance	Apollo has not sought external assurance for the information contained in this ESG Report. Apollo's consolidated financial statements are externally audited.

Appendix G: GRI Content Index (continued)

GRI 200: Economic		
Disclosure	**Description**	**Location/response**
GRI 201: Economic Performance		
201-1	Direct economic value generated and distributed	Apollo 10-K, pp. 92–94
201-2	Financial implications and other risks and opportunities due to climate change	Apollo 10-K, pp. 38–39; ESG Report, pp. 32–41
GRI 205: Anti-corruption		
205-1	Operations assessed for risks related to corruption	Apollo 10-K, pp. 53–54
205-2	Communications and trainings about anti-corruption policies and procedures	Apollo's Code of Business Conduct and Ethics summarizes the key policies and procedures, including anti-corruption policies. On an annual basis, all employees are required to take and pass online compliance training programs.
GRI 207: Tax		
207-1	Approach to tax	Apollo 10-K, pp. 175–178
GRI 300: Environmental		
GRI 302: Energy		
302-1	Energy consumption within the organization	ESG Report, p. 5
302-3	Energy intensity	ESG Report, p. 5
GRI 305: Emissions		
305-1	Scope 1 GHG emissions	ESG Report, p. 5
305-2	Scope 2 GHG emissions	ESG Report, p. 5
305-3	Scope 3 GHG emissions	ESG Report, p. 5
305-4	GHG emissions intensity	ESG Report, p. 5
GRI 307: Environmental Compliance		
307-1	Non-compliance with environmental laws and regulations	During the reporting period, to Apollo's knowledge, no instances of material non-compliance with environmental laws or regulations resulting in fines or non-monetary sanctions from competent authorities were identified.
GRI 400: Social		
GRI 401: Employment		
401-1	New employee hires and employee turnover	ESG Report, p. 5

GRI 400: Social		
Disclosure	**Description**	**Location/response**
GRI 403: Occupational Health and Safety		
403-9	Work-related injuries	ESG Report, p. 5
GRI 404: Training and Education		
404-3	Percentage of employees receiving regular performance and career development reviews	All Apollo employees receive annual performance and career development reviews.
GRI 417: Marketing and Labeling		
417-3	Incidents of non-compliance concerning marketing communications	During the reporting period, to Apollo's knowledge, no instances of material non-compliance with regulations concerning marketing activities resulting in fines or non-monetary sanctions from competent authorities were identified.
GRI 418: Customer Privacy		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	During the reporting period, to Apollo's knowledge, no substantiated complaints regarding breaches of customer privacy and losses of customer data were identified.
GRI 419: Socioeconomic Compliance		
419-1	Non-compliance with laws and regulations in the social and economic area	During the reporting period, to Apollo's knowledge, no instances of material non-compliance with laws or regulations in the social and economic area resulting in fines or non-monetary sanctions from competent authorities were identified.

Appendix H: Legal Disclaimer

This ESG Annual Report (the "Report") is provided by Apollo Global Management, Inc. ("AGM," and, together with its subsidiaries, "Apollo") for informational purposes only and is solely intended to summarize Apollo's, the reporting companies', and the reporting real assets' ESG processes and strategies and not to summarize investment performance. This Report should not be relied upon for any other purpose. This Report does not constitute an offer to sell, or the solicitation of an offer to buy, any security, product, or service, including interests in any investment fund managed by subsidiaries of AGM (the "Funds").

This Report covers the time period beginning on January 1, 2019 and ending on December 31, 2019, unless otherwise indicated.

Any past performance information provided herein is not indicative nor a guarantee of future returns. References to reporting companies and reporting real assets are intended to illustrate the application of Apollo's investment process only and should not be viewed as a recommendation of any particular security, reporting company, or reporting real asset. Any information provided in this Report about past investments is provided solely to exemplify various aspects of Apollo's, reporting companies', and reporting real assets' previously utilized ESG processes and strategies. Data provided in this Report is intended to illustrate applicable, available information relating to Apollo, reporting companies, and reporting real assets. Not all ESG metrics are applicable to Apollo or each of the reporting companies or reporting real assets, and methodologies for measuring ESG metrics may differ. The investments described in the selected case studies were not made by any single fund or other product and do not represent all of the investments purchased or sold by any fund or other product.

The information contained in this Report may not necessarily be complete and may change at any time without notice. Apollo does not have any responsibility to update this Report to account for any such changes. Certain information contained herein may be "forward-looking" in nature. Due to various risks and uncertainties, actual events or results of the actual performance of any Fund may differ materially from those reflected or contemplated in such forward-looking information. As such, undue reliance should not be placed on such information, and no individual or entity should rely on such information in connection with buying or selling any securities or making or selling any investment. Forward-looking statements may be identified by the use of terminology including, but not limited to, "may", "will", "should", "expect", "anticipate", "target", "project", "estimate", "intend", "continue", or "believe", or the negatives thereof or other variations thereon or comparable terminology.

Apollo makes no representation or warranty, express or implied, with respect to the accuracy, reasonableness, or completeness of any of the information contained herein, including without limitation, information obtained from reporting companies, reporting real assets, or other third parties. Some of the information contained herein has been prepared and compiled by the applicable reporting company or reporting real asset and has not necessarily been reviewed or independently verified or assured by Apollo or any other third party. Apollo does not accept any responsibility for the content of such information and does not guarantee the accuracy, adequacy, or completeness of such information.

The information contained herein is not intended to address the circumstances of any particular individual or entity and is being shared solely for informational purposes. The securities, reporting companies, and reporting real assets identified and described herein do not represent all of the securities, companies, or real assets purchased, sold, or recommended by the Funds, and the reader should not assume that investments in the securities, companies, or real assets identified and discussed herein were or will be profitable.

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